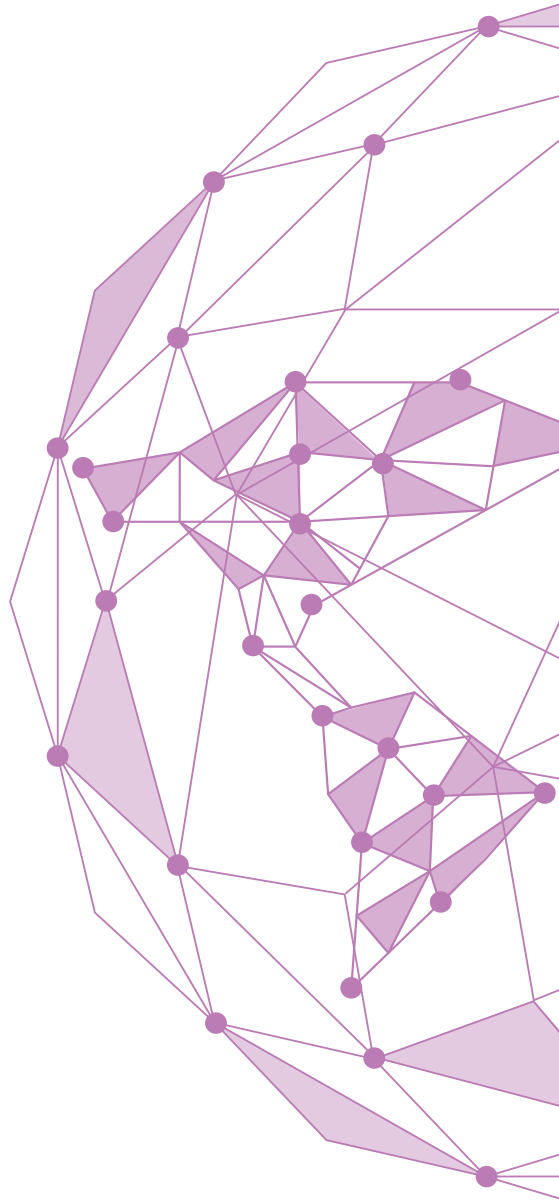


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ACRC KOREA Annual Report

20 20



Anti-Corruption &
Civil Rights Commission

ACRC KOREA Annual Report 2020



Anti-Corruption &
Civil Rights Commission

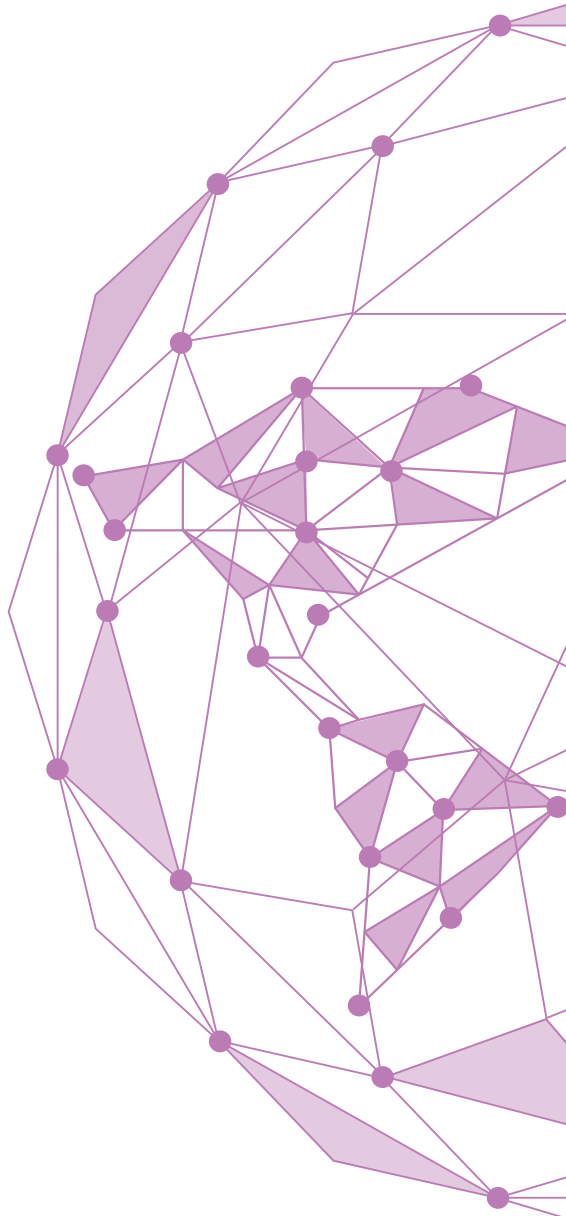


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Anti-Corruption &
Civil Rights Commission

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Greetings from the Chairperson



Since its launch in 2008, the Anti-Corruption and Civil Rights Commission (ACRC) has been committed to building a society free from corruption and rule-breaking and to making trusted-government by removing difficulties caused by illegal and irrational administrative actions.

In 2020, the ACRC dedicated itself to realizing integrity with one step closer to the people, generating tangible anti-corruption reform outcomes for citizens, and swiftly resolving COVID 19-related grievances through the promotion of proactive and empathetic administration.

The ACRC sought ways for anti-corruption reform in the post COVID 19 era through Anti-Corruption Policy Consultative Council, which is chaired by the President and participated by heads of anti-corruption agencies such as the ACRC (Secretariat), Ministry of Justice, Ministry of National Defense, Ministry of the Interior and safety, and through the Public-Private Anti-Corruption Council for Transparent Society, which consists of representatives of the public sector and the private sector such as civil society organizations, the economic circle, and the academia. An all-out investigation was carried out on 1,212 public agencies for irregularities in their employment procedure, which resulted in the detection of hiring irregularities and provision of re-applying opportunity to the victims as well as institutional improvement for a culture of fair recruitment. The ACRC developed three-year plan to monitor and remove corruption and irregularities in internal rules of around 490 public agencies. Under the plan, 69 organizations already received ACRC's monitoring and recommendations.

The ACRC also greatly increased the number of laws subject to the Protection of Public Interest Reporters Act from 284 to 457 to vastly expand the scope of protection for reporters and to proactively protect and reward them. The ACRC also hosted the 19th International Anti-Corruption Conference (IACC) virtually due to COVID 19. The conference brought together the highest number of participants in its history, which was around 1.7 million people around the world. The participants had an in-depth discussion on the emerging issues and cooperative measures, which, along with fairness in vaccine delivery and reduction of structural discrimination, were announced in the form of the Seoul Declaration.

As a result of the efforts above, Korea's country ranking and scores in the 2020 Corruption Perception Index (CPI) of the Transparency International (TI) increased for four consecutive years from 51th in 2017 to 33rd in 2020, with scores of 61, topping 60 for the first time. This indicates international community's heightened recognition on Korea's enhanced integrity level.



The ACRC pushed forward with policies to improve citizens' rights and interests in the COVID 19 situation as well. In addition, long-pending issues, such as ownerless lands in the demilitarized zone in Yanggu, and poor residential environment of a village of leprosy patients in Gyeongju, were resolved through mediation. The ACRC also actively relieved infringed rights and interests due to illegal and unfair administrative actions by accepting 1,500 administrative appeals filed in an active manner.

The ACRC continued communication with citizens in policy-making. Reforming of e-People system enhanced conveniences for citizens and allowed for expansion of citizen participation in policy-making through People's Idea box. In addition, the ACRC analyzed complaints on public safety and urgent social issues such as COVID 19-related issues and delivery workers' working conditions, and then improved relevant laws and regulations.

In 2021, the ACRC will strengthen the anti-corruption and fairness foundation to make Korea full of integrity and fairness and will stay closer to the people to listen and resolve their difficulties, giving the help they need.

As part of such efforts, the ACRC will establish the Conflict of Interest Act for Public Officials that applies stricter codes of conduct to public officials to meet citizens' heightened expectations. The ACRC will also improve the corruption and public interest reporter protection system to swiftly provide practical protections to those reporting corruption and public interest violation, so as to make a safe environment for any one to make a report.

The ACRC will prioritize resolving difficulties of the disadvantaged and the self-employed under severe difficulties due to COVID 19 and will pro-actively mediate collective complaints to prevent social conflicts from occurring. We will reflect various citizens' opinions collected through People's Idea Box and e-People in resolving social conflicts and making improvement on irrational laws and regulations.

The ACRC 2021 Annual Report is a faithful record of the efforts made by our Commission over the years. We hope that this Annual Report will be helpful for anyone interested in our works and be able to serve as a source for policy development and research.

June 2021



Jeon Hyeonhui

Chairperson
Anti-Corruption and Civil Rights Commission





Part 01

Assessment and Future
Direction of the ACRC



Chapter 1.

Achievements for the Past Year and the Way Forward

The Anti-Corruption and Civil Rights Commission (the ACRC) of Korea was established on February 29, 2008 by integrating three institutions, Ombudsman of Korea, Korea Independent Commission Against Corruption, and the Administrative Appeals Commission under the Prime Minister to swiftly resolve infringements on people's rights and interests caused by unreasonable administrative actions and to effectively prevent corrupt practices.

1. Major Achievements for the Past Year

A. Enhancement of National Integrity by Leading Anti-corruption Reforms Continuously

The ACRC focused on helping anti-corruption reforms take root in civil service as well as in everyday lives of people, so that our society becomes more transparent and fairer. The Commission continued to push forward with comprehensive and systematic anti-corruption reforms at a national level through the Anti-Corruption Policy Consultative Council. At the 6th council meeting held in June 2020, measures for addressing corruption and injustice issues in Korean society were discussed under the theme of "Overcoming National Crisis with People, Korea of Justice". The agenda for the meeting included "direction of anti-corruption initiative in the post-COVID times" and "eradication of injustice in on-line platform businesses and realization of fair economy on digital platform".

Plus, the ACRC took bold actions to raise anti-corruption and integrity issues — issues that are unlikely to be raised by the government — through the Public-Private Consultative Council for Transparent Society, and proposed solutions to tackle corruption in our society

to live up to the expectations of the public. Over the past year, the council presented four anti-corruption policy proposals, including “strengthening ethics of members of the National Assembly and local councils”, “enhancing effectiveness of local government’s information disclosure”, and “enhancing effectiveness of internal audit of businesses”.

From December 1 to 4 in 2020, the ACRC hosted the 19th IACC (International Anti-Corruption Conference) which is the world’s biggest international anti-corruption forum, jointly with Transparency International (TI). The conference was held as an online video conference due to COVID-19 and it was wrapped up in a great success, setting unprecedented records of 500 and more speakers, more than 10,000 registered participants, and more than 1.7 million cumulative views of the conference’s videos from around the world. The 19th IACC helped the world better know Korea’s successful anti-corruption policies and institutions, and “Seoul Declaration” for new anti-corruption cooperation in the post-COVID times, including fair supply of vaccines and eradication of structural discrimination, was proclaimed.

As a result of such efforts, Korea scored 61 out of 100 and took 33rd place in 180 countries in 2020’s Corruption Perception Index (CPI) released by Transparency International on January 28. It was the highest-ever score recorded by Korea since the launch of the index in 1995. Korea’s score rose by two points year on year and the national rank rose by six notches from the previous year. Korea’s rank has risen for four consecutive years from the 52nd place (53 points) in 2016, to 51st (54 points) in 2017, 45th (57 points) in 2018, and then to 39th (59 points) in 2019, demonstrating global society’s recognition of Korea’s high level of anti-corruption reform and integrity.

B. Continuous Strengthening of Trustworthy Whistleblower Protection System

The system for protection of whistleblowers has been consistently reinforced to create an environment where people can feel safe with whistleblowing. Enforcement of the revised Protection of Public Interest Reporters Act on November 20, 2020, has added 182 laws including the Act on the Punishment of Child Abuse Crimes, the Act on the Punishment of

Sexual Crimes, and Military Service Act, etc. to the subject of public interest reporting, thereby widely expanding the number of laws subject to public interest reporting from 284 to 467. In addition, an organization dedicated to acceptance and handling of public interest reports has been newly established, for better accountability in receiving and handling public interest reports and for better efficiency in handling such works following the revision of the act.

In the meantime, whistleblowing about acts of violating public interests with regards to COVID-19 was encouraged and it contributed to overcoming the national crisis caused by the pandemic. Pan-governmental reporting period was open for reporting of acts of violating public interests, such as cornering of face masks and hand sanitizers, rejection of COVID patients' hospitalization, violation of self-quarantine orders, acts of rejecting or interrupting epidemiologic investigation, and so on. Reported cases were addressed swiftly, to prevent spread of the virus.

Level of people's awareness of the reporter protection system has continuously risen from 30.6% in 2017 to 49.2% in 2020, thanks to active protection and rewarding of reporters, as well as reinforced promotion of relevant institutions and policies. Active protection of reporters has raised the number of the handled cases in 2020 to reach 233, which is about 3.7-times increase from 63, the average from 2011 to 2019. The number of cases of protecting public interest reporters has also greatly increased from 17 in 2017 to 81 in 2020.

C. People-Oriented & Field-Centered Resolution of Social Conflicts and Grievances

In 2020, the ACRC continued to actively resolve civil complaints, which are the voices of people. A quick reaction unit for civil complaints was launched in September 2020, for a prompt protection of the rights and interests of people in vulnerable communities and the disadvantaged who face difficulties aggravating due to COVID-19. Total 18,211 cases of civil complaints about people's grievances were handled over the past year, 2,085 of which were accepted to resolve violation of people's rights and interests. Also, 22,367 cases of

administrative appeal were handled and 1,573 cases of request for administrative appeal against administrative agencies' unlawful or unfair dispositions, etc. were accepted.

In addition, long-unresolved collective complaints regarding local governments, etc. have been found out and addressed through active mediation, to reduce social costs incurred by conflicts and to resolve long-standing troubles for people. For example, decades-long issue of ownerless real estate inside the civilian control line in Yanggu-gun, Gangwon-do has been finally resolved and the issue of poor residential environment in leprosy patients' community in Gyeongju-si was settled through mediation. In the meantime, efforts were made for enactment of "Act on Mediation of Collective Complaints" for a systematic and professional resolution of collective complaints.

D. Improvement of Policy and Institutions to Reflect People's Voices

As the window of communication between the government and people which manages diverse platforms for policy communication with people such as e-People, 110 Government Call Center, and People's Idea Box, the ACRC continued its efforts to find out problems in systems and policies and improve them by analyzing people's voices and causes of corruption suggested through various channels of communication. e-People system was completely reorganized so that the platform for people's participation and communication since 2005 would function more conveniently and efficiently. People's voices were actively collected on "People's Idea Box" to expand the platform for people's participation in policy-making. People's Idea Box that began from 16,000 people's participation in 2016 has now grown into the leading policy participation platform taken part in by as many as 358,000 people, recording 22-fold growth in five years in 2020. '

The ACRC actively supported swift institutional improvement of public agencies at difference levels, based on analysis of the data of civil complaints about major national policies and social issues. In 2020, in particular, three surveys were carried out regarding COVID-19, to monitor and analyze approximately 100,000 cases of related civil complaints. Based on the result of the analysis, 68 tasks for institutional improvement were discovered and notified to

relevant public agencies for voluntary institutional improvement.

Institutional improvement that begins from the voices of people and that can actually improve people's everyday lives were pursued. In 2020, eradication of daily injustice and blind spots of structural corruption were selected as the focus area of anti-corruption institutional reform and recommendation for improvement of 12 loopholes in relevant laws and institutions were issued. In addition, 25 plans for institutional improvement were established and recommended to resolve inconvenience felt by people in their lives, as well as to support ordinary families' finances hit hard by COVID-19 and reinforce social safety net. Plus, total 34 measures for institutional improvement for people's daily lives were established and recommended based on the result of analysis on civil complaints that have been frequently raised through diverse channels of communication with people such as 110 Government Call Center and e-People, so that daily inconveniences such as complex administrative service are swiftly resolved.

2. The Way Forward

In 2021, the ACRC will continue to pave the way for a great leap forward in the national integrity level by completing the anti-corruption and justice reform under the vision of "Transparent and Fair Korea, ACRC that Empowers People" and to overcome the COVID-19 crisis at a national level by prioritizing resolution of people's grievances and social conflicts.





Chapter 2.

Organization and Operation of the ACRC

1. Organization and Budget

A. Commission Body

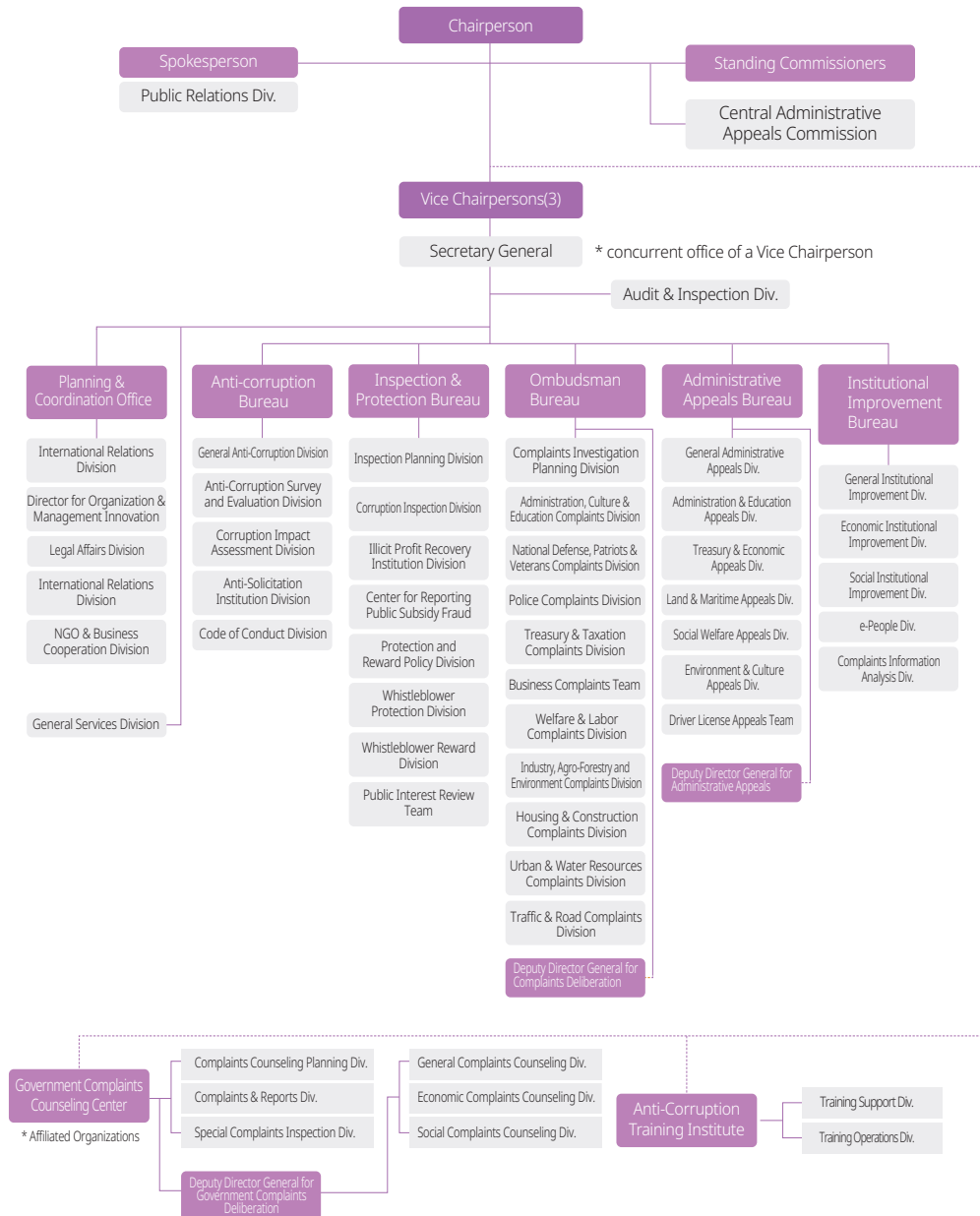
The ACRC commission body consists of 15 members, including a Chairperson, three Vice Chairpersons, and three standing commissioners. The Chairperson, Vice Chairpersons, and commissioners are appointed or commissioned according to qualifications prescribed by law, based on their ability to fairly and independently perform duties with respect to civil complaints and anti-corruption. Three Vice Chairpersons assist the Chairperson by taking charge of works on complaints and grievances, anti-corruption, and the Central Administrative Appeals Commission (CAAC), respectively.

A secretariat has been established under the ACRC. The position of Secretary General is concurrently held by the Vice Chairperson designated by the Chairperson. The Secretary General receives orders from the Chairperson in order to take charge of work and direct and supervise employees.

<Table 1-1> Number of employees

Category	Total	Political service	Senior executive service	Grade 3 · 4	Grade 4	Grade 4 · 5	Grade 5	Grade 6 and under	Office with special experiences	Research service	Special service
Number	558	4	17	14	35	41	203	233	7	1	3

○ [Figure 1-1] Organization chart



Major reorganization in 2020

Illicit Profit Recovery Institution Division has been newly established in order to prevent false claim of public funds and further strengthen the soundness of public finances by laying the foundation for operation of the institutions for recovery of illicit profits from false claim of public funds, and the number of employees has increased by five for the new division (implemented on Apr. 28, '20)

B. Budget

The ACRC's annual revenue budget for 2020 was KRW 471 million and the tax expenditure budget was KRW 90,088 million. This included KRW 47,029 million for personnel expenses, KRW 7,403 million for basic expenses, and KRW 35,656 million for primary work expenses.

C. Committee Operation

In 2020, the plenary committee held 24 meetings to handle 663 items, the small committees held 230 meetings to handle 29,282 items, and the subcommittees held 67 meetings to handle 1,215 items. The plenary committee, consisting of the ACRC members, deliberates and decides upon major issues for the ACRC. Five small committees, each consisting of three members, deliberate and decide upon items regarding civil complaints, and two subcommittees deliberate and decide upon items regarding anti-corruption.

<Table 1-2> Committee meetings held in 2020

(unit : times, cases)

Committee			2020
Plenary committee	Meeting		24
	Resolution		103
	Decision		378
	Report		182
	Total		663
Small committee	1st small committee	Meeting	46
		Item	10,235
	2nd small committee	Meeting	46
		Item	6,431
	3rd small committee	Meeting	46
		Item	8,644
	4th small committee	Meeting	46
		Item	1,819
	5th small committee	Meeting	46
		Item	2,153
	Total	Meeting	230
		Item	29,282
Subcommittee	First subcommittee	Meeting	32
		Item	808
	Second subcommittee	Meeting	35
		Item	407
	Total	Meeting	67
		Item	1,215



Chapter 3.

Private-Public Cooperation and Support for Ethical Business Management

The ACRC has expanded the scope of its communication and cooperation with different sectors in society in order to protect people's rights and interests and spread a culture of integrity. It has also made diverse efforts to help ethical business management take firm root.

Section 1 Promotion of Private-Public Governance

1. Operation of the Public-Private Consultative Council for Transparent Society

The Public-Private Consultative Council for Transparent Society, composed of leaders not only from the ACRC and the civil society, but also from different sectors of Korean society including economy, professional circles, journalism, and academia, is a public-civil consultative body that selects major anti-corruption tasks and suggests direction for progress.

Participating Organization of the Council

- Civil society (9): Citizens' Coalition for Economic Justice, Whistleblowing Practice Movement, People's Solidarity for Participatory Democracy, Korean Women's Association United, Korean National Council of Women, YMCA Korea, The National Council of Young Organizations in Korea, Transparency International-Korea, HungSaDan Transparency Movement

- Economy (6): Korea Chamber of Commerce and Industry, UNGC Korea Network, BEST ESG Forum, Korea Federation of Small and Medium Business, Korea Employers Federation, Korean Women Entrepreneur Association
- Professional (5): Korean Bar Association, The Institute of Internal Auditors, The Korean Institute of Certified Public Accountants, Korea National Council on Social Welfare, Public Enterprises' Consultative Council for Transparency Society
- Media/Academia (7): Korean Broadcasters Association, Korean Association of Newspapers, The Women's News, The Korea Institute of Public Administration, Korean Institute of Criminology, The Korean Association for Corruption Studies, The Korean Academy of Business Ethics.
- Public (3): The Anti-Corruption & Civil Rights Commission, Governors Association of Korea, National Association of Mayors
- Public Interest (2): Communication Culture Academy, Korea Transparency Movement Headquarters

According to the Rules on the Establishment and Operation of Public-Private Consultative Council for Transparent Society (Prime Minister's directive), the chairperson of the ACRC is appointed as the ex-officio co-chairperson (public chairperson) of the Council and one co-chairperson (civil chairperson) of two-year term of office is elected among appointed council members in mutual voting.

This year, the number of the members of the Council has been raised to 40 from 30, for the purpose of expanded participation from more diverse sectors of society. Plus, the number of steps of discussion was simplified from three to two steps for more efficient discovery of anti-corruption policy agenda and discussions. Six working-level sub-councils have been established and operated under the Council.

In June 2020, a revision bill for the Corruption Prevention and ACRC Act has been submitted to the National Assembly, so that a legal ground for the establishment of the Council is secured for its stable operation.

In 2020, total four policies were proposed: "enhancement of the ethics of National Assembly members and local council members" and "reinforcement of the effectiveness of information disclosure system for local governments" in the first meeting; "reinforcement of the effectiveness of internal audit system for businesses" in the second meeting; and "active public-private cooperation for successful hosting of the IACC" in the third meeting.

Policy proposals made by the Council

Content	
1st (May 27.)	Enhancement of the ethics of National Assembly members and local council members
	· Proposed measures to enhance ethical level of the member of the National Assembly and local councils by reorganizing special ethics committees of the National Assembly and local councils into independent ethics committees and thereby restoring people's trust in them - (Establishment of independent ethics committee) To include external members including an external chairperson in greater part - (Establishment of ethics investigation committee) To establish a standing investigation committee and give it authority to investigate matters regarding disciplinary actions of the members of the National Assembly and local councils - (Reorganization of disciplinary system) To strengthen criteria of discipline and define deadline for handling of disciplinary actions
	Reinforcement of the effectiveness of information disclosure system for local governments
	· Proposed plans to guarantee people's rights to know and realize local government administration led by people, by operating information disclosure system effectively - (Specification in administrative information disclosure ordinance) To directly specify the scope/period/time/method of disclosure in the ordinance - (Support for local governments) To support local government's abilities for administrative information disclosure by improving information disclosure accessibility, etc. - (Deliberation of criteria for undisclosed information) To deliberate appropriateness of the criteria of non-disclosure by information disclosure deliberation committee
2nd (Oct. 29)	Reinforcement of the effectiveness of internal audit system for businesses
	· Proposed measures to enhance accountability and transparency of business management through voluntary and effective improvement of internal control system of businesses - (Reinforcement of full-time auditors' capabilities) To appoint full-time auditors who have expertise in audit or experiences in the field - (Establishment of support system for internal audit) To support independent/professional auditing work of auditors - (Public disclosure of internal audit system) To disclose information about auditors/support system faithfully
3rd (Nov. 20)	Active public-private cooperation for successful hosting of the IACC
	· Proposed plans for public-private cooperation for successful hosting of the 19th IACC - (ACRC) To spread Korea's anti-corruption policies and achievements to the global society - (Public agencies/organizations at difference levels) To understand global anti-corruption standards by employees' participation in conferences - (Academia/media) To utilize conference materials for academic purposes and offer substantial conference information

2. Implementation of Public Monitoring on Policies for Transparency

The ACRC has formed and operated People's Integrity Policy Monitoring Group, consisting of 100 ordinary citizens including college students, workers, and full-time mothers, to get feedback about what people think of the policy direction and policy changes from the viewpoint of the general public, who are the user and beneficiary of anti-corruption and transparency policies.

In 2020, based on opinions and suggestions collected from two offline and online discussions and People's Idea Box, total 10 cases of injustice and solution to them were suggested, including reinforcement of fairness in the process of selecting beneficiaries of national scholarship, improvement of field placement of students of vocational high schools, and so on.

3. Facilitation of Operation of Citizen Integrity Inspector System

To facilitate Citizen Integrity Inspector System which is a corruption prevention system participated by the private sector, the ACRC assesses performance and achievement of the Citizen Integrity Inspector System of public institutions at all levels through the Anti-Corruption Initiative Assessment (AIA). As of 2020, 256 out of 263 public institutions (97.3%) subject to the assessment are utilizing the system and 218 institutions (85.2%) performed practical activities under the system, such as enactment and revision of relevant rules and implementation of audits in compliance with Citizen Inspectors' demand for correction, audit, institutional improvement, etc.

Section 2 Multi-directional Spread of a Culture of Integrity through Participation and Collaboration

1. Support for Signing of the Transparent Society Pact in Different Regions and Sectors

The ACRC has supported signing of the Transparent Society Pact in different regions and fields since 2018.

Signing the Transparent Society Pact is an action of promising to resolve corruption problems and to practice anti-corruption and integrity by establishing a horizontal network between diverse stakeholders and through interaction between them.

The Pact is not an one-off work agreement signed for a specific business. It is composed of six elements: 1) parties who sign the pact, 2) mutual goal, 3) bodies for coordination (implementation) of the pact, 4) agenda for practice, 5) written agreement, and 6) evaluation of the pact's implementation.

○ [Figure 1-2] Six factors of Transparent Society Pact



This year, on-site consulting was provided in different places across the nation, to support signing and implementation of the Pact in different regions and fields, for 278 institutions in 14 regions.

A model for inspection and evaluation has been developed and deployed to institutions of different levels, so that the Pact is consistently implemented through interaction between parties of the Pact and it can produce achievements that can be actually seen by people.

In 2020, the Pact was signed in four fields including finance, business management, and education. Voluntary pact for fair hiring in the financial field was signed on February 20, 2020; a pact for realization of ethical business management, on May 22, 2020; a pact for social contribution of businesses invested by foreigners and the spread of culture of integrity, on October 7, 2020; and a pact for reinforced transparency in education of Gyeonggi-do, on October 19, 2020.

In sum, 17 local governments across the country and more than 720 institutions in nine fields have been participating by signing the Pact from 2018 to 2020.



<Table 1-3> Participants and implementation tasks of Transparent Society Pact

Participant	· Diverse participants including businesses, local governments, education offices, civil society, academia, media outlets, local councils, colleges, public enterprises, public authorities, public corporations, associations, accounting circles, banks, corporations, etc.
Major implementation tasks	· To realize a fair and transparent society by complying with the Improper Solicitation Act, prohibiting abuse of power, preventing employment corruption, introducing institutions for ethical business management, transparent public administration, prevention of conflict of interests, strengthening protection of whistleblowers, reinforcing social accountability, improving unreasonable systems, practicing transparency education, etc.

The Pact is not just an one-off declaration of will. It is actually producing substantial outcome, such as definition and implementation of practical tasks based on participants' voluntary and democratic commitment, as well as encouragement of policy participation and better recognition by people, based on inspection and evaluation of the tasks at a level easily understandable for people.

2. Deployment of the 'One Integrity Practice per Public Institution Movement' Based on Collaboration with Public Institutions

"One Integrity Practice per Public Institution Movement" is designed to encourage public institutions to take the lead in improving fairness and transparency in carrying out their own duties. Based on a close cooperation and solidarity between public institutions of various levels that work as the window of communication with people, the public sector has successfully spread the culture of integrity.

Practical and effective institutional improvement has been realized, including redressing of overcharging by tow trucks on highways, crackdown on illegal overcharging of restaurants located on valleys, and demolition of illegal structures on valleys and streams, and so on.

3. Discovery of and Support for Programs for Voluntary Spread of Integrity and Promotion of People's Rights and Interests in the Private Sector

The ACRC has publicly recruited and supported private integrity culture projects since 2007 and offered subsidies for them with the goal of helping civic and social groups voluntarily spread a culture of integrity and promote their own projects for improving people's rights.

In 2020, 12 projects were selected based on the assessment of their implications, creativity, and business capacity of the applicant organizations, and total KRW 189 million of budget was provided for them.

This year, focus was set on innovative and diverse programs that use cultural contents in reflection of changes in social environment, as well as activities for improvement of integrity awareness for young people in their 20's and 30's. Organizations from more diverse regions were selected so that they are not concentrated in the metropolitan area, while adjusting the ratio of out-of-pocket expenses for them to be higher than 10 percent, to reinforce accountability of the participants of the projects (organizations that perform the projects).

Section 3 Support for Ethical Management

The International Organization for Standardization (ISO)'s Anti-Bribery Management System (ISO37001) was announced on October 13, 2016 and the International Accounting Standards Board (IASB)'s IFRS was introduced in 2011, to handle the negative perception of corruption that has spread throughout the world. Since such international standards, in effect, work as non-financial trade barriers, transparency and ethics are emerging as key elements for survival and competitiveness of businesses in global trade.

1. Production and Distribution of the Monthly Web-magazine “Business Ethics Brief”

The “Business Ethics Brief” is a web-magazine published since April 2005 to support ethical management of domestic companies. The monthly magazine sent in the form of email and brochure provides businesses and the academia with up-to-date information and trends in ethical management from both at home and abroad. It is posted on the website and blog of the ACRC as well.

In 2020, the magazine created a new section called “Understanding Business Ethics through SDGs (Sustainable Development Goals)” to help Korean businesses’ successful response to new environment changed by COVID-19, as well as “CSR White Paper for SMEs” to help small-and-medium-sized businesses’ easier approach to ethical management. An editorial advisory council meeting of the magazine was held in the first and second half of the year to enhance reader satisfaction by actively listening to the opinions of subscribers and improving the content and readability.

2. Operation of Education Courses for Ethical Business Management

Since 2009, the ACRC has run diverse education courses to help build the capabilities of compliance personnel and raise awareness of ethical management among corporate executives.

This year, "Ethical Business Management Expert Training" which had been a group training program was changed into an online program due to the pandemic and the curriculum of the program was designed to include introduction of overseas cases of professional ethics, presentation about best practices of ethical business management of Korean companies, lecture on the internal accounting management system strengthened by a revision of the External Audit Act, so that the education can help practical work of businesses' staff in charge of ethical management.





Chapter 4. International Cooperation

In 2020, the coronavirus pandemic exerted a great influence to the way of operating international cooperation projects and most of international conferences were held online.

Section 1 International Anti-Corruption Cooperation

The focus of international cooperation in the anti-corruption field in 2020 was the hosting of the 19th IACC. The ACRC also participated in multilateral anti-corruption rounds such as implementation of the UN Convention against Corruption and the OECD Anti-Bribery Convention, while actively implementing exchanges and collaboration with international organizations and foreign anti-corruption institutions.

1. Hosting of the 19th IACC

A. Background of the Conference and Preparation

Korea has planned to host the 19th IACC as a task for strengthening of anti-corruption cooperation with the global society out of the Five-Year Comprehensive Anti-Corruption Plan ('18-'22). The theme and objective of the conference was defined to be “Designing 2030 : Truth, Trust, and Transparency”, to discuss what kind of efforts we should make for the next decade to make a fair and sustainable 2030 come true.

The ACRC and Transparency International jointly hosted the 19th IACC (International Anti-Corruption Conference) from December 1 to 4 in 2020. The 19th IACC was hosted in a

manner that connects the on-site studio in Korea with overseas speakers in online video conference and broadcasts the meeting throughout the world, due to the coronavirus pandemic. As a result of making most of online video conference, the 19th IACC was wrapped up in a great success, setting many records of highest numbers, including 500 and more speakers, 10,000 officially-registered experts, and more than 1.7 million cumulative number of views of the conference's videos by ordinary citizens (as of the end of December '20).

As the 19th IACC was hosted online, the ACRC took a bold action of exempting KRW 600,000-worth registration fee for access to all meetings. More diverse programs were planned to utilize the advantage of online conference that enables participation without limits of time and space, while strengthening online promotion so that more people can participate.

B. Conference Operation

The 19th IACC hosted as an online video conference for the first time in its history was designed to enable registration, selection of agenda to take part in, and mutual interaction such as chatting, question and answer, and debate between participants on an online platform established in consideration of overseas network service environment and users' convenience around the world (19thiacc.pathable.co). In addition, most meetings of the conference connected the on-site studio in Korea with overseas speakers in the form of video conference to be broadcasted throughout the world. Notably, primary events of the conference — opening/closing ceremonies, Korea session, and plenary session — were simultaneously interpreted into six UN official languages and the online platform of the conference will continue to be operated for one year after the conference, for video streaming and question and answer.

The number of programs doubled for the 19th IACC to 121 from 60 before, and pre/post

conference period was operated for a day before and after the official conference period (December 1 to 4).

C. Achievements of the Conference

1) Contribution to reinforced global anti-corruption solidarity through great success

The 19th IACC was the biggest-ever one in IACC's history and it set many records, including the largest number and scale of speakers, participants, and programs. The conference gave Korea an opportunity to lead global anti-corruption agenda and form consensus. More than 500 anti-corruption experts took part in the conference as speakers, including heads of major international organizations such as the UN, OECD, IMF, WEF, and ADB, government officials from governments of countries around the world, representatives of global NGOs, CEOs of multinational companies, and so on.

KRW 600,000-worth registration fee was exempted as the conference was held online, to further facilitate global anti-corruption experts' and citizens' interest and participation in the conference. Consequently, the number of officially-registered experts reached as many as 10,000 from 174 countries around the world. Plus, ordinary citizens could freely watch the meetings so the cumulative number of views of the conference videos recorded higher than 1.7 million throughout the world (as of the end of Dec. '20).

The number of programs doubled for the 19th IACC to 121 from 60 before, to encompass various important issues of the global society, such as human rights, women, environment, industry, administration, education, and so on. As such, more diverse issues were widely covered by the conference and participants shared various best practices.

2) Enhancement of global society's awareness of Korea and "K-Integrity"

By hosting the IACC again in 17 years after the 11th one held in Korea in 2003, Korea showed leadership based on the country's integrity to the global society.

In “Korea Session”, which was the first-ever title of a session named after a host country, Korea shared its outstanding anti-corruption policies and achievements, and proposed preemptive future strategies for better integrity. “K-virus control” based on three principles (openness, transparency, democracy) which has become a desirable model for the world was introduced in the session as well.

3) First-ever online IACC, COVID-free and effective

A platform specialized in a large-scale video conference was utilized for the programs of the 19th IACC, for a better convenience of participants. Furthermore, for speakers and participants who are not used to online video conference, prior education, conference guide, and 24-hours real-time technical support were provided.

Section 2 Multilateral Anti-Corruption Cooperation

The Republic of Korea signed the UN Convention Against Corruption (UNCAC) in 2003. The Act on Special Cases Concerning Confiscation and Recovery of Stolen Assets was passed by the National Assembly on February 29, 2008, resulting in the official ratification and implementation of the convention. A total of 187 countries, including Korea, are the participating parties as of the end of 2020.

The second-round review (2016-2021) for Chapter 2 (Preventive Measures) and Chapter 5 (Asset Recovery) of the Convention began in June 2019. A liaison for the implementation review (the ACRC, Justice Ministry, and Foreign Affairs Ministry) was appointed (Sep. '19), a check list for self-assessment was submitted (Nov. '19), and written questions and answers were completed (Oct. '20). The final review by visit to each country, which is the last process of the review, will be conducted after April 2021, in consideration of the situations surrounding COVID-19. In the meantime, Korea was selected as a second-round reviewer for Japan in a reviewer draw (June 25-26) held before the 11th implementation review group meeting (Jun. 29, Vienna/online meeting), along with Papua New Guinea.

Korea ratified the OECD Anti-Bribery Convention by enacting the Act on Combating Bribery of Foreign Public Officials in International Business Transactions in December 1998, which has been enforced since February 1999. As of the end of 2020, 44 countries including 36 OECD members and eight non-member countries have ratified the Convention. As Saudi Arabia has shown their intention to join the OECD Anti-Bribery Convention, the number of members is expected to rise. In 2020, all meetings were held online due to the pandemic and the follow-up reporting about recommendations for Korea's fourth-round review has been postponed to June 2021.

This year, Saudi Arabia is the chair country of the G20 working group and G20 Anti-Corruption minister-level meeting (video conference) was hosted (Oct. 22) in celebration of the 10th anniversary of the establishment of the working group. Standing commissioner Kim Ui-hwan attended the meeting as the Korean government's representative and made a presentation: "Success Cases of Korea's Anti-Corruption Policy Utilizing ICT". Notably, in a book of successful cases of corruption eradication regarding the coronavirus, Korea's diverse best practices including disclosure of information about face mask supply and medicine supply were offered.

The ACRC participates in "APEC Anti-Corruption/Transparency Working-Group Meeting" and its workshop every year, to promote Korean government's anti-corruption efforts and commitment and to contribute to strengthening of other members' anti-corruption capabilities. In 2020, the 30th meeting (Feb. 13-14, Putrajaya) and the 31st meeting (Oct. 23, video conference) were held in the APEC host country Malaysia.

Regarding the ADB/OECD Anti-Corruption Initiative for Asia-Pacific, the 2020 coordination group meeting was hosted online (Dec. 17), where the 2021-2023 project plan including measures to expand the Asia-Pacific Anti-Corruption Initiative, strengthening of public transparency network, and reinforcement of law enforcement network and business integrity activities was adopted. In addition, Azerbaijan and Georgia were accepted as new member countries.

Section 3 International Cooperation for Ombudsman Institutions

1. Multilateral Cooperation



At the board meeting of the International Ombudsman Institute (IOI) hosted online on May 18, 2020, evaluation on qualifications of IOI members was implemented, an IOI best practice book was released, and progress of a comparative study about ombudsmen in the African region was reported. The best practice book will be published in paper edition, so that ombudsman institutions can utilize it for their own purposes. Plus, a COVID-19 resolution that explains ombudsmen's attitude and role under the pandemic circumstances was adopted at the meeting.

The ACRC is also a member of the Asian Ombudsman Association (AOA). The ACRC Chairperson was elected to be a board member of the AOA, at the general assembly hosted in Turkey in November 2019. The AOA was established in 1996 and has been pursuing spread and progress of ombudsman systems in the Asian region. The AOA has 44 member organizations from 21 regular and associate member jurisdictions including Korea, China, Japan, Pakistan, Thailand, Hong Kong, and so on.

2. Bilateral Cooperation

The ACRC signed an MOU with the Indonesian Ombudsman to protect the rights and interests of Korean expatriates in Indonesia and to share best policies in 2010. Since then, the ACRC has continued to establish direct bilateral cooperative relations with foreign ombudsmen by signing MOU with the ombudsman of Thailand, Vietnam, and NSW of Australia.

Expatriate-protecting instruments in MOU

- ▶ Reciprocal consideration of complaints from each other's expatriates and businesses
- ▶ Offering of translation service or an exclusive window for complaints which enables submission of civil complaints and replies to them in each other's language
- ▶ On-site visits to directly listen to each other's citizens or businesses' grievances when necessary
- ▶ Regular exchange of information about current status of civil complaints raised by each other's citizens
- ▶ Improvement of unreasonable laws or institutions found out in the process of handling grievances raised by citizens of each other



Chapter 5. Public Relations

The ACRC, the anti-corruption control tower of Korea, has carried out publicity campaigns for spread of the culture of integrity and protection of people's rights and interests, reflecting its continuous anti-corruption activities such as improvement of daily corruption, eradication of employment corruption, and active administrative support, as well as its consistent efforts for people-centered and field-focused resolution of social conflicts and grievances.

A wide range of publicity campaigns including promotion through the media and digital media as well as policy advertisements about major anti-corruption policies and activities were conducted to communicate with people and raise the public awareness of anti-corruption policies. Notably, in response to changes in the public relations environment because of the COVID-19 crisis, a system for contact-free public relations was established, to carry out stable and effective PR activities by making most of the new PR environment. The PR for the 19th IACC was implemented successfully based on the new PR system and various training programs including integrity training were live-broadcasted on the ACRC's YouTube channel "ACRC Vision". In addition, ever-changing PR trends were analyzed to go beyond quantitative expansion of online contents and produce and spread more diverse and multi-faceted contents that contain touching and useful stories, thereby encouraging greater interest and participation of people and raising people's awareness.

1. Raising People's Understanding of Policy and Establishing Social Consensus through Media Coverage

One of the major channels to publicize policies of the ACRC is the Chairperson and Vice

Chairperson's appearing in TV and radio shows, interview and contribution to newspapers and press releases. In addition, the Commission strengthened its international public relations activities, distributing 35 English press releases to foreign media outlets, businesses, and multi-cultural families to improve the country's Corruption Perception Index (CPI) and Index of Public Integrity (IPI) and to publicize the government's anti-corruption efforts and achievements.

By hosting the 19th IACC from December 1 to 4, 2020, the ACRC paved the foundation for global solidarity and cooperation for a fairer and more impartial society. At the meeting held online due to the COVID-19 pandemic, ACRC Chairperson Jeon Hyun-Heui was interviewed by various media outlets such as Korea Joongang Daily and Arirang TV and the ACRC spokesperson gave briefings everyday about what was discussed in yesterday's sessions, to draw much attention from the media and press from in and out of the country.



International Anti-Corruption Conference (IACC) (Dec. 2, '20)

2. Expanded Communication with the Public through Digital Media

The Korean government pushed forward with reinforcement of digital communication government-wide to actively respond to the rapidly changing digital media environment. At the moment, 31 government agencies have professional staff to create digital content and

are operating digital communication teams. The ACRC also employed seven professional digital communication staff including a writer, video producer and graphic designer in June 2019 and formed the Task Force for Digital Communication to directly communicate with people by producing diverse policy PR contents on its own and operating diverse social network channels.

3. Raising Awareness of Major Policies through Policy Advertisements

The ACRC was active in promoting its policies through policy advertisements and PR collaboration with public institutions, to raise the public awareness of the Commission's new policies and facilitate people's participation and suggestions for reporting and institutional improvement about corrupt actions and acts of violating public interests.

Animation videos that introduce major anti-corruption policies with anti-corruption mascots were produced. People's awareness of anti-corruption policies was raised by displaying information about 110 Government Call Center, e-People, rewards for corruption reporters, system of protecting whistleblowers, system of administrative appeal, People's Idea Box, etc., on TV, radio, newspaper, bus, and electronic display boards. Active participation and use of those systems were encouraged in such manner.

4. Forming Better Consensus among the Public through Newsletters and Video Clips

The ACRC produced and distributed ACRC Newsletter, a newsletter covering its major activities and citizen-friendly policies, as well as video clips explaining its major policies.

The first issue of the ACRC's quarterly Newsletter was released in March 2008, and 67 issues in total (the 67th issue being the Winter issue for 2020) have been published to date. In 2020, 10,500 copies of each issue were distributed to community service centers, post offices, banks and libraries, which serve as windows of communication with the public.

A regular show was opened based on collaboration with TBN for a consistent promotion of the ACRC's activities to protect people's rights and interests. In addition, PR ambassadors including MONSTA X (IACC) and Kim Myung-soo (honorary secret inspector) were appointed for different occasions to better publicize the ACRC's activities and policies in a more diverse and active manner.



PR collaboration with TBN and ACRC promotion by PR ambassadors (MONSTA X, Kim Myung-soo)





Part 02

Implementation of Anti-Corruption
Policies for a Country of Integrity



Chapter 1.

Reinforced Implementation of Government-wide Anti-Corruption Policies

Section 1 Operation of the Anti-Corruption Policy Consultation Council for a Fair Society

1. Background and History

The current administration of Korea has highlighted the value of justice and anti-corruption including equal opportunity, fair process, and righteous result since its launch in 2017. It has established diverse policy measures and operation systems for such purpose. In 2020, in celebration of the third anniversary of the current administration, the government discussed current social issues and came up with solutions so that newly-emerging corruption and injustice would not damage lives of people, while consistently implementing existing policies to bear fruits.

<Table 2-1> Major agenda for the Anti-Corruption Policy Consultation Council

Session	Major agenda
1st (Sep. 26, '17)	<A country free of corruption> ■ Strategies for anti-corruption policy implementation; reinforced punishment for grave corruption crimes; measures to eradicate unfair acts, etc.
2nd (Apr. 18, '18)	<A country of integrity for its people> ■ The Five-Year Comprehensive Anti-Corruption Plan; corruption prevention measures in the field of safety; measures to eradicate power abuse, etc.

Session	Major agenda
3rd (Nov. 20, '18)	<A fair society without privileges and foul play> ■ Eradication of school corruption; implementation plan for eradication of corrupt hiring practices in public institutions; eradication of entrenched corruption at a local level, etc.
4th (Jun. 20, '19)	<A fair country without privileges> ■ Eradication of tax evasion through new kinds of illegal schemes by high-income people; measures to address illegal acts at long-term care centers for the elderly, etc.
5th (Nov. 8, '19)	<A fair country with continuous reforms for anti-corruption> ■ Achievements and future direction of the Anti-Corruption Policy Consultation Council; measures to eradicate preferential treatments for retired officials, etc.
6th (Jun. 22, '20)	<Overcoming national crisis with people, fair Korea > ■ Achievement of anti-corruption policies and direction for anti-corruption implementation in the post-pandemic times, etc.

2. Composition and Function

The legal ground for the establishment and operation of the Council is the “Rule on the Anti-Corruption Policy Consultation Council for a Fair Society” (Presidential order No. 414, partially amended on January 14, 2020). According to the rule, the Council operates under the president. At the Council, organizations of Korea's anti-corruption and justice-related policies discuss and share matters regarding those policies and report the result to the president and commissioners to get a greater momentum for implementation of the policies.

3. Items Discussed at the 6th Council Meeting

At the 6th Council meeting held on June 22, 2020, total five anti-corruption and justice agenda including one for reporting and four for discussion were put on the table and discussed by relevant institutions under the theme of “Overcoming Crisis with People, Korea of Justice”.

In celebration of the 3rd anniversary of the launch of the current administration, the ACRC reported about “Achievement of anti-corruption policies and direction of anti-corruption implementation in post-COVID times”. At the discussion, how much Korea’s anti-corruption and integrity standards including international assessment in CPI and IPI has improved for the past three years and major factors of such improvement were analyzed and the direction of anti-corruption reform to be continuously pushed for Korea’s leap forward into top 20 list of CPI in 2022 in the post-COVID times was suggested.

Section 2 Management for Smooth Implementation of the Five-Year Comprehensive Anti-Corruption Plan

1. Background

The Five-Year Comprehensive Anti-Corruption Plan was officially announced at the 2nd Anti-Corruption Policy Consultation Council meeting held on April 18, 2018. The Plan was specified based on public opinion-gathering and coordination among relevant agencies through People’s Idea Box, the Public-Private Consultative Council for Transparent Society and meetings with young people in their 20’s and 30’s, and reflects the anti-corruption tasks collected by each government agency.

2. Content

The five-year plan proposes a goal for Korea to become one of top 20 countries of integrity around the world until 2022, under the vision of “Korea of Integrity with People”. For such purpose, 50 tasks (85 unit-tasks) in four strategies — integrity together, clean public offices, transparent management environment, integrity in practice — have been developed.

“Integrity together” is a pan-governmental strategy to respond to corruption together with people. It mainly deals with matters related with private-public anti-corruption governance such as the Private-Public Consultative Council for Transparent Society, along with operation of the presidential anti-corruption policy consultative council.

“Clean public offices” is a strategy to improve integrity in the public offices by steadily eradicating factors that cause corruption in the public sector. It is composed of tasks for public service ethics including prevention of leak of public money, settlement of the Improper Solicitation Act, and reinforcement of the code of conduct for public officials.

Support for improvement of integrity standards in the private sector to live up to people's expectations is included in the area of the “transparent management environment”.

Lastly, the “integrity in practice” strategy consists of diverse practical tasks such as strict sanctions against corrupt acts, protection of public interest whistleblowers, spread of the culture of integrity in our society, and so on.





Chapter 2.

Prompt Response to Corruption Issues to Live up to People's Expectations

Section 1 Eradication of Improper Hiring Practices in Public Institutions

1. Background and Progress

The government implemented a special inspection on hiring practices of 1,190 public institutions starting from November 2017, in collaboration with the ACRC, the Ministry of Economy and Finance, and the Ministry of the Interior and Safety. For a comprehensive and systematic response against improper hiring practices, the government launched Team on the Eradication of Improper Hiring Practices in Public Institutions in November 2018 and decided to conduct regular inspections on the hiring practices of all public institutions every year.

2. 2019 Regular Total Inspection on Hiring Practices of Public Institutions

A. Total Inspection and Follow-up Actions

As a result of the 2019 total inspection, 83 cases of hiring irregularity were detected. Out of them, nine cases that require criminal investigation were referred to investigative agencies and for 74 cases that require discipline, strict sanction against concerned people was demanded. Plus, improvement actions were demanded for 1,887 cases of negligence in handling of work such as minor violation of procedures or simple error in application of rules in the process of hiring.

<Table 2-2> Number of cases of hiring irregularity detected by 2017-2019 total inspection on hiring practices

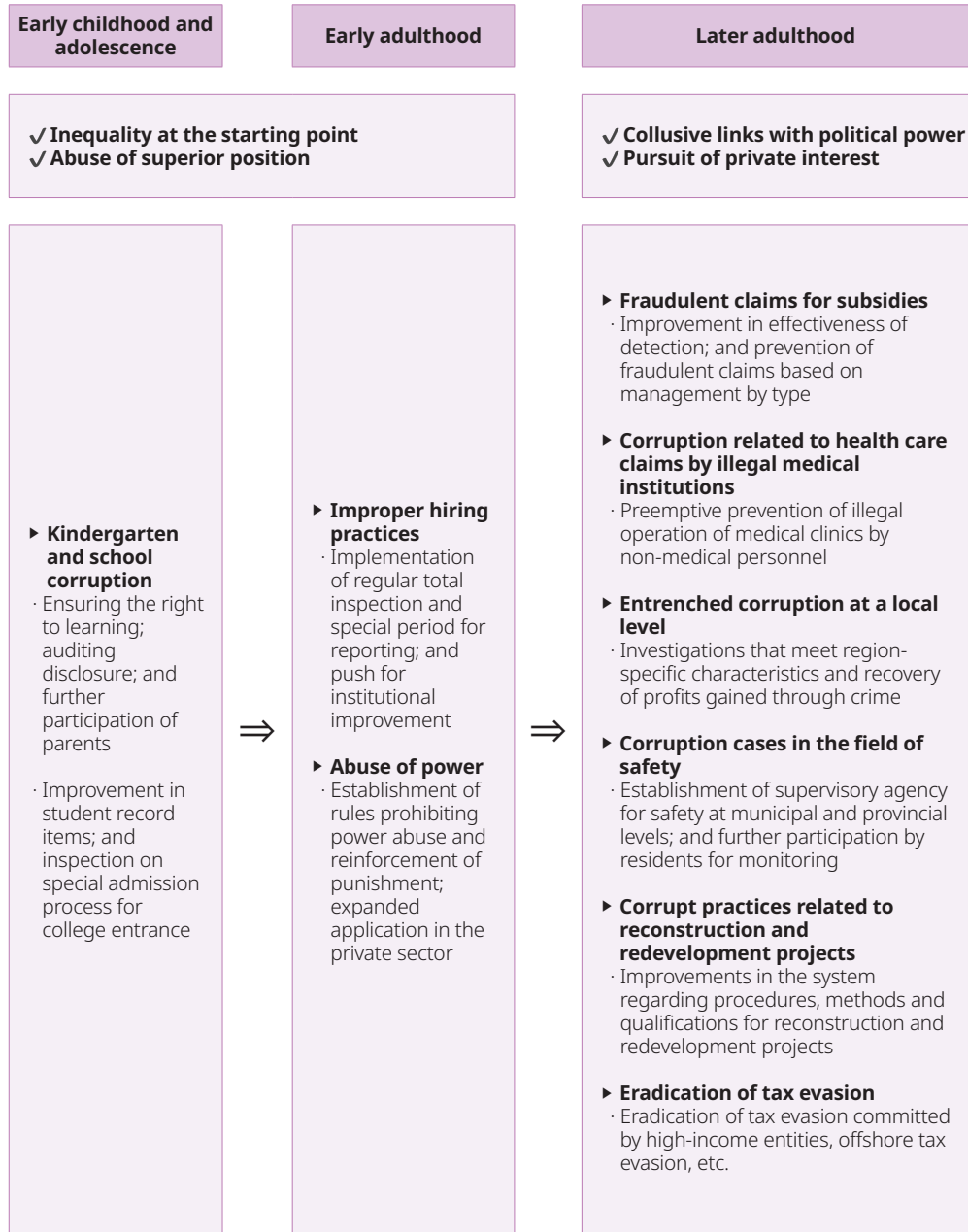
Year	2017			2018			2019		
	Total	Request for investigation	Request for discipline	Total	Request for investigation	Request for discipline	Total	Request for investigation	Request for discipline
Number	338	83	255	182	36	146	83	9	74

Section 2 Implementation of Measures to Tackle Cheating and Unfair Privileges in Daily Lives (Everyday Corruption)

1. Overview

The ACRC has defined nine tasks for eradication of typical cheating and unfair privileges that people encounter in their daily lives, such as corruption of kindergartens and corruption in college acceptance, since December 2018. Such corruption has been tackled by legislative measures including enactment and amendment of laws, as well as administrative measures such as on-site inspection and investigation.

<Table 2-3> 9 tasks related to everyday corruption in each stage of people's life cycle



2. Progress and Major Achievements

During March and April 2020, the ACRC reviewed approximately 270 tasks proposed by different public institutions and the public for discovery and improvement of matters that trigger cheating and unfair privileges in everyday life.

Among them, “reinforcement of support for those who sustained losses by illegal private loan” proposed by public institutions and people was officially tabled as agenda for the 6th Anti-Corruption Policy Consultative Council for Fair Society meeting. The agenda of “prevention of public-interest corporations’ pursuit of private interest” and “introduction of agent service for private-public audit on apartment houses” that had been reported to the Private-Public Consultative Council for Transparent Society were recommended after internal discussion or are currently under discussion.



Chapter 3.

Re-establishing Standards of Conduct for Civil Service with Integrity

Section 1 Achievements and Improvement Plans for the Implementation of the Improper Solicitation and Graft Act

1. Overview

Enacted and implemented on September 28, 2016 based on the public aspirations for a society of integrity and transparency, the Improper Solicitation and Graft Act has now taken root as basic rules not only for the civil service but also for daily lives of people, to be evaluated by the people that it has led various positive changes in all sectors of the country. In a survey on the awareness of the Improper Solicitation and Graft Act conducted in August 2020, 88.1% of the public and 97.2% of public officials said that the implementation of the Act gives positive influence to our society, demonstrating a high level of support for the Act in general in our society.

2. Details and Achievements

A. Investigation on the Enforcement of the Improper Solicitation and Graft Act in Public Institutions

In an attempt to understand the status of institutional management and enforcement achievements of the Improper Solicitation and Graft Act from its enforcement (Sep. 28, '16) to the end of June 2020, the ACRC investigated the receipt and handling of the violation reports and the status of education about the Act.

The investigation found a total of 9,877 cases of receipt of violation reports, of which improper solicitations accounted for 6,492 cases (65.7%), acceptance of money or valuables 3,071 cases (31.1%), and external lectures 314 cases (3.2%). And for 846 cases out of them, administrative fines, criminal punishments, etc. were imposed.

<Table 2-4> Receipt and handling of reports on the violation of the Act (Sep. 28, '16 – Jun. 30, '20)

Time period	Improper solicitation	Acceptance of money and other valuables	Outside lectures (excessive compensation)	Total
'Sep. 28, 16.-Dec. 31, '17	435 cases	967 cases	166 cases	1,568 cases
'18	3,330 cases	959 cases	97 cases	4,386 cases
'19	2,098 cases	879 cases	43 cases	3,020 cases
Jun. '20	629 cases	266 cases	8 cases	903 cases
Total	6,492 cases	3,071 cases	314 cases	9,877 cases
Penalty*	38 people	802 people	6 people	846 people

* Criminal penalty, fine, disciplinary surcharge

B. Awareness Survey on the Effectiveness of the Enforcement of the Improper Solicitation and Graft Act

The awareness survey on the Improper Solicitation and Graft Act released by Hankook Research in August 2020 suggests that changes in the perceptions and behaviors of major actors show improvements in social perceptions and practices in general with the enforcement of the Improper Solicitation and Graft Act.

* Conducted on total 2,070 people: 700 citizens, 354 public officials, 201 executives and employees at public service-related institutions, 320 teachers and school staff at primary and secondary schools and colleges, 195 executives and employees at media companies, and 300 people in the affected occupations

A majority of respondents said that the implementation of the Act has positive effects on our society and that they have come to perceive routinely offered gifts, entertainment and favors as “inappropriate acts” after the Act's implementation.

<Table 2-5 > Awareness survey result (Aug. '20, Hankook Research)

[Percentage of respondents who said that the Act's implementation has positive effects on our society (%)]

Survey period	Citizens	Public officials	Public service-related institutions	Journalists	Teachers and school staff
Aug. '20	88.1	97.2	96.5	82.1	94.4
Aug. '19	87.7	96.6	97.7	79.2	92.8

[Percentage of respondents who said that they have come to perceive routinely offered entertainment and favors as inappropriate acts (%)]

Survey period	Citizens	Public officials	Public service-related institutions	Journalists	Teachers and school staff
Aug. '20	82.2	82.8	94.5	86.2	90.0
Aug. '19	79.5	87.2	87.3	78.7	83.5

Section 2 Strengthening the Code of Conduct for Public Officials and the Initiative for the Enactment of the Act on Prevention of Conflict of Interest in Activities of Public Officials

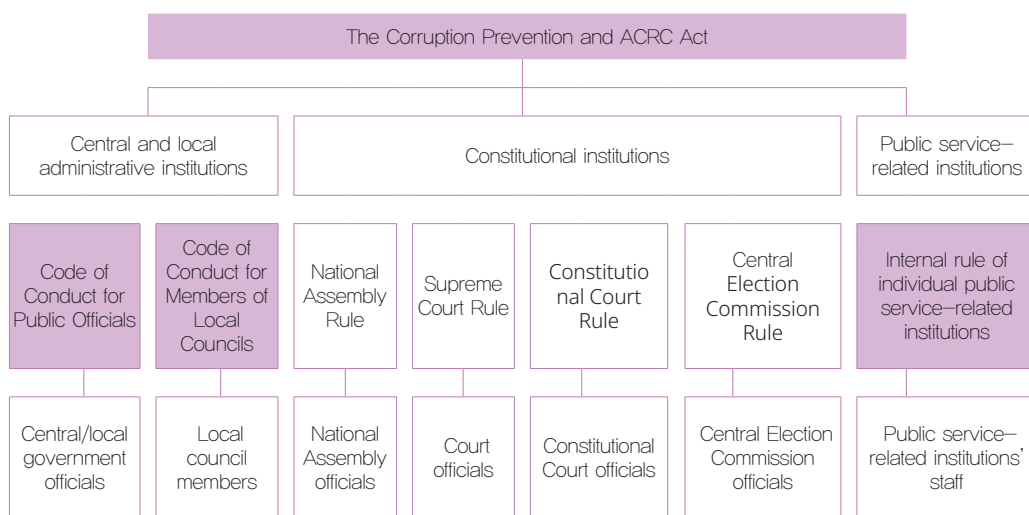
1. Strengthening of the Code of Conduct for Public Officials

Article 8 of the Act on the Corruption Prevention and ACRC Act which is the legal basis of the Code of Conduct for Public Officials stipulates that the code of conduct to be complied by public officials be specified as a presidential decree, National Assembly rule, Supreme Court rule, Constitutional Court rule, National Election Commission rule, or internal rule of public service-related institutions, to impose the obligation of enacting and implementing code of conduct to all public institutions. The regulation specifies ① matters regarding prohibition/restriction of acts of receiving entertainment/money and other valuables from work-related persons, ② matters regarding prohibition/restriction of acts of involvement in personnel management/intervention in interests/arrangement/solicitation by using one's position, ③ matters that should be abided by public officials for settlement of sound civil service environment including fair HR management, and ④ matters necessary for corruption prevention and maintenance of public officials' work integrity and dignity, as matters that

should be defined by the code of conduct for public officials.

Accordingly, the “Code of Conduct for Maintenance of Public Officials’ Integrity” applied to public officials of the administrative body was enforced from May 19, 2003, while constitutional institutions including the Supreme Court, Constitutional Court, and National Election Commission have also enacted and enforced their own code of conduct. The codes have advanced through consistent improvement and supplementation in the process of their enforcement and implementation. Starting from the first revision of the Code of Conduct for Public Officials on December 9, 2005, there have been eight revisions for the code of conduct so far.

<Table 2-6 > System of operating the Code of Conduct for Public Officials



2. Major Achievements in 2020

A. Initiative for the Enactment of the Act on Prevention of Conflict of Interest in Activities of Public Officials

The ACRC submitted a government proposal for the Act on Prevention of Conflict of Interest in

Activities of Public Officials to the National Assembly in January 2020 after issuing a notice of legislative bill for the Act in July 2019 and collecting various opinions through government legislation procedures. However, the legislative bill was repealed due to expiration of the National Assembly session. After another legislative bill notice in May 2020 and a vice-minister and cabinet meeting in June 2020, the government legislative proposal was submitted to the 21st National Assembly.

In cases where public officials — those in charge of permit and license, approval, inspection and examination, budgeting and funding, investigation and judgment, hiring and promotion, and auditing — come to realize that there exist private interests between themselves and a person related with their duties, they are required to report to the head of the agency they belong to and make a recusal request within five days from the date when they became aware of the fact, so that they can be excluded from the task in question.

The Act on Prevention of Conflict of Interest in Activities of Public Officials also bans public officials from using the goods, vehicles, land and facilities of public institutions for a private use. They are also strictly prohibited from using or letting third-parties use or gain profit from goods of public institutions for private purposes. In such a case, not more than KRW 20 million of administrative fine is imposed and the profit in property gained from such act of violation is recovered in full amount.

Notably, stronger rules for prevention of conflict of interests are to be applied to high-ranking public officials, as well as personnel in charge of corruption-prone duties regarding human resources and contract than to other public officials. The Act requires high-ranking officials — public officials at the vice-minister level or higher, members of the National Assembly, and heads of local governments and public service-related institutions — to submit their work experience in the private sector for three years prior to their appointment or inauguration to the head of the institution they belong to.

Enactment of the Act on Prevention of Conflict of Interest in Activities of Public Officials is expected to enhance people's trust in the civil service in general by preventing public officials from pursuing improper private interests by using their public position and authority.



Chapter 4.

Support for Public Institutions to Enhance Integrity

Section 1 Integrity Assessment for Public Institutions

1. Overview of the System

The ACRC has scientifically diagnosed the integrity level of public institutions and announced the outcome every year since 2002, in order to overcome¹⁾ the limitation of existing anti-corruption policies of the public sector, which are mostly focused on countermeasures such as detection and punishment. By such means, an opportunity of forming consensus for corruption eradication and enhancement of integrity level is provided by letting public institutions improve their integrity level voluntarily and making people have consistent interest in the level of integrity in the public sector.

The level of public institutions' integrity is estimated in the form of "Comprehensive Integrity," based on the results of surveys responded by the public who have experienced the administrative services of public institutions (external integrity) and employees of the institutions including public officials (internal integrity), as well as on the occurrences of corruption cases in the institutions, which then are interpreted as numeric points and deducted from the overall score. A separate model is used to assess the integrity level of public institutions with functions that are different from other regular public institutions, such as public health institutions, national and public universities, and local councils.

1) In 2020, total 723 public institutions' Comprehensive Integrity was assessed and announced, including central/local administrative agencies and education offices (including district education offices), 580 public service-related institutions (conducted a questionnaire survey on total 208,152 people during August-November) and local councils, as well as 143 national/public universities and public medical institutions (conducted a questionnaire survey on total 46,339 people during September-November)

The integrity level is calculated in the form of institutional grades (1st to 5th grades) and scores (a 10-point scale), and the grades with smaller numbers and points in higher numbers represent a higher integrity level. As a side effect of institutions' hesitation to share best practices was incurred because announcement of the score per institution caused excessive competition between them, comprehensive integrity by type of institution and grade in each area of assessment have been disclosed and announced since 2018. Score per institution and detailed analysis result are offered to respective public institutions separately, to help them freely use the information as reference data for establishment of integrity policies.

2. Overview of Assessment and Improvements in 2020

In 2020, integrity of total 723 public institutions including central and local administrative agencies, education offices (including district education offices), public service-related institutions, local councils, national and public universities, and public health institutions were assessed. The assessment was implemented more thoroughly and effectively by pilot-assessing 15 small-scale local district assemblies of local communities with 200,000 or less population and adjusting the scope of subject of assessment to include the sports sector including local athletic associations, while exempting and excluding institutions that have consistently maintained good results recently and institutions whose integrity assessment is not that meaningful.

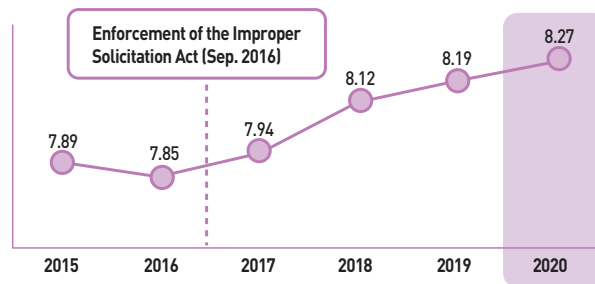
The Comprehensive Integrity of 723 public institutions in 2020 was calculated by reflecting both the result of a questionnaire survey conducted on total 254,000 people who have experienced service of those public institutions and internal public officials from August to November 2020 and the status of corruption cases for the past year.

3. Result of Integrity Assessment on Administrative Agencies and Public Service-related Institutions in 2020

As for the result of integrity assessment of 580 public institutions (central administrative

agencies, local governments, education offices, and public service-related institutions) which were analyzed through the common model, the average Comprehensive Integrity score was 8.27 out of 10, which was a 0.08 rise year on year. The average score had slightly fluctuated until 2016, but increased for four consecutive years since then.

○ [Figure 2-1] Score trend of Comprehensive Integrity assessment (2015-2020)



By the area of assessment, the external integrity score assessed by the public who have experienced service of public institutions rose by 0.06 point from the previous year, while the internal integrity score assessed by public officials declined. The rate of public officials' corruption experience in the process of performing internal duties declined, but the score of perception of organizational culture or corruption control system declined, resulting in decline in the score of internal integrity. This seems to be because the trend of public officials' stricter assessment of internal corruption of their organizations was partially reflected in the result of the survey. Measures for public officials to feel closer to and participate in anti-corruption policies need to be explored in diverse dimensions, while helping the culture of integrity take root in civil service by implementing anti-corruption policies ceaselessly.

○ [Figure 2-2] Comparison of Comprehensive Integrity and score of each area
(2019-2020)



Comprehensive Integrity score for all types of public institutions rose year on year, but local governments recorded relatively lower scores in most assessment items including the comprehensive integrity and external and internal integrity than other type of institutions.

Section 2 Anti-Corruption Initiative Assessment (AIA) for Public Institutions

1. System Overview

In an attempt to encourage enhancement of integrity in the public sector by evaluating and supporting voluntary anti-corruption efforts by public institutions, the ACRC has conducted Anti-corruption Initiative Assessments (AIA) of public institutions since 2002.

The AIA score is calculated by reviewing the achievements reported by each institution based on written evaluations and on-site examinations by external and internal experts to determine and announce the integrity level (grade 1 to 5) of target institutions by type.

The 2020 AIA was conducted for 263²⁾ public institutions, including central government agencies, local governments, and public service-related institutions over a certain size. The

2) 38 central administrative agencies, 15 metropolitan city/provincial governments, 40 local district governments, 14 education offices, 12 national/public universities, 13 public health institutions, 131 public service-related institutions

institutions with low scores in the Integrity Assessment of the previous year (9 institutions that received grade 4 and 5) were newly included for the AIA assessment, whereas those with high scores (12 institutions that received grade 2 or higher and that had no case of corruption cases for 2 years in a row) were excluded to strengthen the link between the integrity assessment and AIA.

2. Assessment System in 2020

Corresponding to the procedures of integrity policy enforcement, the AIA was conducted for three phases of planning, implementation, and achievement and wider adoption. The assessment scores were deducted for the non-implementation of anti-corruption measures and seven unit-tasks in four areas were evaluated. In 2020, the assessment system was reorganized so that public institutions can focus of practical anti-corruption efforts. Indicators that have well-settled down with high implementation rate and effectiveness were regrouped into a category for voluntary implementation. As such, the indicators of the assessment were streamlined by reducing the number from 30 in 2019 to 20 in 2020 (including 4 deduction indicators), while increasing the weight of the indicators related with production and spread of practical achievements and essential for improvement of public institutions' integrity level.

<Table 2-7> 2020 AIA indicator system (excluding deduction indicators)

Planning (1)	Implementation (8)	Achievement/wider adoption (7)
• Establishment of annual anti-corruption implementation plan per institution	• Anti-corruption commitment and effort of high-ranking officials • Operation of the Citizen Integrity Inspector system • Implementation of institutional improvement recommendations in corrupt areas • Efforts for improvement in corruption-prone areas • Improvement of factors that cause corruption in institutions' rules • Substantialization of operation of public officials' code of conduct • Reinforcement of effectiveness of anti-corruption/integrity education • Effort for prevention of violation of the Improper Solicitation Act	• Improvement of Comprehensive Integrity of public institutions • Outcome of implementation of anti-corruption implementation plan • Activities for spread of culture of integrity • Efforts for sharing/disclosure of anti-corruption information • Implementation of the "5-year Anti-Corruption Comprehensive Plan" • Effort for affiliated organizations' implementation of anti-corruption initiative • Effort for mentor institution's implementation of integrity consulting

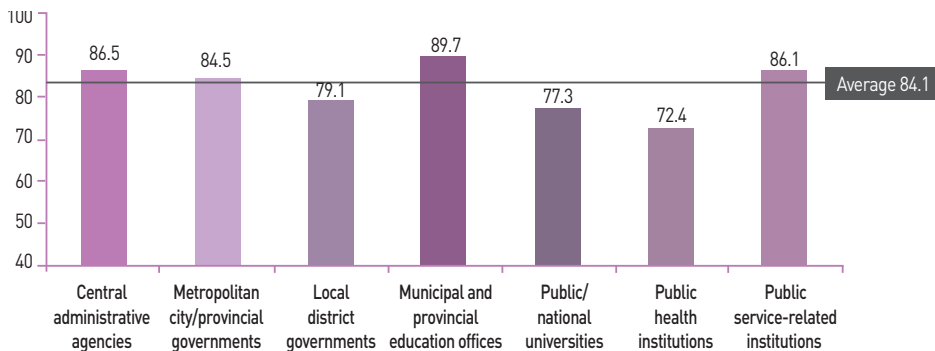
3. 2020 Assessment Result

A. Overall Assessment Result

In 2020, in spite of spread of the pandemic, public institutions at different levels made diverse anti-corruption efforts, implementing anti-corruption and integrity policies based on the Anti-Corruption Initiative Assessment. The average score of all of the 263 institutions assessed in 2020 was 84.1 and the score for municipal and provincial education offices was the highest (89.7 points), followed by central administrative agencies (86.5 points), public service-related institutions (86.1 points), metropolitan city and provincial governments (84.5

points). The result also revealed that local district governments (79.1 points), universities (77.3 points), and public health institutions (72.4 points) need to make further efforts.

○ [Figure 2-3] Assessment result by type of institution



Section 3 Support for Integrity Consulting for Institutions Vulnerable to Corruption

1. Background

Integrity consulting is a program provided by the ACRC for public institutions with a relatively low level of integrity or for those in need of improving anti-corruption capabilities, aiming to analyze their problems and causes and come up with solutions that suit the needs of each institution. The ACRC is committed to enhancing the overall integrity level of public institutions by helping institutions with low integrity improve through integrity consulting and spreading those successes to other institutions.

2. Progress

Integrity consulting has been implemented since 2006 as part of the efforts to provide better consulting for public institutions, as reported at the 7th Anti-Corruption Consultative Council of Relevant Agencies (Mar. 17, '06). It is provided for all types of public institutions, including central government agencies, local governments, municipal and provincial offices

of education and public service-related institutions.

Total 171 sessions of the consulting were provided to 153 institutions in 2020, which was a remarkable increase from two in 2006. By the type of institution, 21 were for central government agencies, 20 for metropolitan municipal and provincial governments, 53 for local district governments, 11 for municipal and provincial education offices, 5 for district education offices, 56 for public service-related institutions, and 3 for national and public universities and hospitals.

3. Details

The ACRC and mentor institutions implemented an anti-corruption capability diagnosis that analyzes the work, system, anti-corruption implementation system, internal control system, and conducts of the members of mentee institutions, in order to find out the cause of low level of integrity in mentee institutions. In the process, result of integrity assessment/AIA, internal rules and control system of the institutions, occurrence of cases of corrupt public officials, result of external institutions' audit, media coverage materials, etc. were utilized. In addition, questionnaire surveys on the employees of the institutions were conducted and content and effectiveness of anti-corruption initiatives carried out by mentee institutions so far were reviewed at meetings participated by the ACRC, mentor institutions, mentee institutions, and advisers, for an intensive analysis on why their integrity level has not improved.

In 2020, the time of the consulting was advanced to January so that mentee institutions can carry out their anti-corruption initiatives earlier based on the result of the integrity consulting. Despite delay and adjustment of face-to-face meetings due to COVID-19, the consulting was provided through both face-to-face and non-contact meetings between mentor and mentee institutions.

4. Achievements

Out of the 25 institutions which received the integrity consulting in 2020, most institutions



experienced an increase in their integrity levels. Those 25 institutions autonomously established and implemented plans according to the consulting recommendations and showed an average improvement rate of 4.1 %, which is 3.1%p higher than the average improvement rate of 1.0% for all institutions. The comprehensive integrity scores of 16 out of the 25 institutions (64%) increased from the previous year, while those of eight institutions (32%) stayed the same and one institution (4%) decreased.

<Table 2-8 > Improvement of integrity level of institutions that received integrity consulting

Item	2018	2019	2020	Increase
Institutions for integrity consulting	7.49	7.87	8.19	+0.32(4.1%↑)
Integrity level of all public institutions	8.12	8.19	8.27	+0.08(1.0%↑)



Chapter 5.

Improvement of Laws and Systems for Effective Prevention of Corruption

Section 1 Operation of Corruption Risk Assessment

1. Overview of the Corruption Risk Assessment

The Corruption Risk Assessment (CRA) is a system which prevents acts of corruption through analysis and evaluation of corruption-causing factors in laws and other types of regulations and through establishment of countermeasures. It can be largely divided into evaluation of enactment and revision of laws, evaluation of autonomous rules, and evaluation of internal rules of public service-related institutions. In the evaluation of the enactment and revision of laws, the ACRC directly reviews corruption-causing factors in advance from the phase of legislation of a law proposed by a central government agency. The evaluation on current laws is implemented to analyze and review corruption-causing factors that exist in current laws or that have emerged as a social issue due to occurrence of a corruption scandal and to improve them.

In the Corruption Risk Assessment, evaluation is conducted according to 12 criteria, largely in four areas: compliance, enforcement, administrative procedure, and corruption control. In 2020, in consideration of the fact that “passive public administration is another type of corruption” from the perspective of people, possibility of passive public administration was included as a criterion for the Corruption Risk Assessment, to evaluate whether passive performance of public officials’ duties such as omission or neglect of duties have a potential of violating people’s rights and interests.

After the introduction of the system through an amendment of the Anti-Corruption Act on

December 29, 2005, it was enforced in earnest from April 1, 2006. As for public service-related institutions, the system has been introduced and operated from December 28, 2007. As uniform reorganization of autonomous rules of public service-related institutions through CRA became possible through an amendment of the Corruption Prevention Act on April 16, 2019, internal rules of total 495 public institutions will go through a total inspection for three years from 2020 until 2022.

2. Performance of the CRA

In 2020, the CRA was conducted on 1,999 draft or revision bills. Within these bills, 347 corruption-causing factors were identified in 169 statutes, and improvement was recommended to relevant institutions. In 2020, the number of evaluated laws was 1,999, which was an increase by 355 (21.6%) from 2019. The proportion of laws that received recommendation of improvement in the evaluated laws increased by 8.5%p and the number of improvement recommendations increased by 12 (3.6%), while the average time period of processing was 12.1 days, 0.5 day shorter than the previous year.

<Table 2-9 > Statistics of new & amended bills assessed in 2020 (2020)

Total number of laws assessed	Agreement on the original bill	Recommendation for improvement
1,999 laws (100%)	1,830 laws (91.5%)	169 (8.5%), 347 improvement recommendations

Out of 169 legislations for which improvement was recommended for elimination of corruption-causing factors, there were 23 laws, 106 presidential decrees, and 40 prime minister and ministry decrees. The number of laws that received improvement recommendation in the number of laws subject to the assessment was 23 out of 336 (6.8%) for laws, 106 out of 916 (11.6%) for presidential decrees, and 40 out of 740 (5.4%) for prime minister and ministry decrees.

<Table 2-10> Improvement opinion by legislation type (2020)

Legislation Category	Total number	Law	Presidential decree	Prime minister/ ministry decree	Administrative rule, etc.
Assessed legislations	1,999	336	916	740	7
Improved legislations	169	23	106	40	0
Number of improvement cases	347	38	235	74	0

Section 2 Institutional Improvement for Eradication of Injustice/ Improper Privilege in Daily Life

1. Background

Because of repeated occurrence of unfair and unreasonable acts by public institutions closely related with people's everyday lives and rising demand for effective policy implementation other than existing control measures (audit by the Board of Audit and Inspection and parliamentary inspection of the administration), a uniform reorganization of the autonomous rules of public institutions has become possible by the revision (Apr. 16, '19) and implementation (Oct. 17, '19) of the Corruption Prevention and the ACRC Act. Accordingly, a three-year plan for review of the autonomous rules of public institutions was established and 495 public institutions were divided into three groups for each year for total inspection on their rules, to detect and improve factors of unfair work practices and abuse of discretionary authority.

2. Outcome

In 2020, the subject of the inspection — public enterprises, local public enterprises, and public corporations — were classified into five sectors according to their major tasks (energy, airport/port, transportation, urban development, tourism/leisure) and CRA was conducted for each sector on 8,393 rules of 69 institutions. Based on the result of the

assessment, 316 improvement recommendations were issued in 64 recommendation types, such as spread of a fair contracting culture based on a measure for fair cost-bearing for electronic stamp duty.

<Table 2-11> Number of rules and recommendations in respective sector

(unit: number, number of cases)

	Energy	Airport/port	Transportation	Urban development	Tourism/leisure	Total
Public institutions	18	8	10	19	14	69
Rules	2,277	816	1,631	2,676	993	8,393
Recommendation type	18	13	12	11	10	64
Recommendation	49	41	80	87	59	316



Chapter 6.

Anti-Corruption and Integrity Education for Raising Integrity Awareness

Section 1 Change in the Paradigm of Integrity Education in the Post-COVID Times

1. Operation of Integrity Academy

A. Operation Overview

As the only institute dedicated to anti-corruption and integrity education in Korea, the Anti-Corruption Training Institute (ACTI) has been implementing integrity education for public officials (civil servants and employees of public service-related institutions), to meet the demand for integrity education increasing more than ever since public officials are legally required to complete the education.

B. Achievements

The ACTI replaced its group education programs provided at the institute with online courses due to the spread of COVID-19 and 43,514 people completed them (18 courses, 182 sessions, as of Dec. 31, '20). In spite of the crisis of the pandemic, the number of people who completed the integrity education increased remarkable by more than 120% from the previous year (19,694). Notably, the ACTI operated a real-time online education program on YouTube for the first time among training institutions for public officials (Mar. '20) and established its own video production studio at which high-quality education video clips are produced and broadcasted (May, '20).

Plus, the ACTI provided customized integrity education programs for (640) elected public officials including the members of the National Assembly and local councils and (97) manager-level staff of central administrative agencies, including a code of conduct talk show and discussions in connection with integrity consulting.

As part of official development assistance (ODA) projects to provide support for improving anti-corruption capabilities of developing countries' public officials, the ACRC has operated training courses for public officials of foreign countries. This year, those programs were offered in a real-time non-contact mode due to the spread of the coronavirus. Following the rising demand for the training in the Eurasian region where the Russian language is used and Korean government's "new northward policy", a training course for Russian-speaking countries was newly created.

In detail, the 1st "multinational anti-corruption capability reinforcement course" in the Russian language was offered for five days from November 3 for 29 public officials from 10 countries including Russia, Ukraine, Mongolia, and Kazakhstan. Then, the 8th multinational course in English was operated for six days from November 17 for 31 public officials from 15 countries including Taiwan, Ethiopia, Costa Rica, and Tunisia. In addition, following the Korea-Uzbekistan Anti-Corruption Cooperation MOU signed in 2019, a customized anti-corruption policy training course was provided for three days from December 9 for 44 staff members of Uzbekistan's supreme prosecutors' office and anti-corruption agency. As such, the ACTI offered Korean integrity education online for 104 foreign public officials from total 26 countries.

<Table 2-12> 2020 curriculum for face-to-face integrity training courses

Field in detail	Course name
Integrity education for institutions (3 courses)	▶ On-site integrity education course at individual institutions ▶ Integrity education course for institutions of cooperation ▶ Integrity training course for local councils

Customized training for mandatory integrity education (5 courses)	▶ Course for improvement in integrity leadership (high-ranking public officials) ▶ Course for improvement in integrity capability for newcomers (new public officials) ▶ Course for improvement in integrity capability for the promoted (promoted public officials) ▶ Course for improvement in corruption response capability (employees of public institutions in corruption risk area) ▶ Integrity expert course (staff in charge of audit/integrity tasks in public institutions)
Instructor training and education for teachers (4 courses)	▶ Course for anti-corruption instructor training (3 courses: basic/professional/supplementary) ▶ Job training for integrity education DREAM teachers
Others (5 courses)	▶ Course for millennial integrity leadership (public officials of the millennial generation) ▶ Course for reinforcing integrity capability (public officials/non-officials) ▶ Course for accurate understanding about the Improper Solicitation and Graft Act (public officials) ▶ Course for reinforcing capabilities of protecting people's rights and interests (public institution officials in charge of handling of civil complaints) ▶ Course for reinforcing capabilities for common tasks regarding people's rights and interests (ACRC staff)

2. Operation of Online Anti-Corruption Training Courses

A. Overview

The ACTI runs the “Online Anti-Corruption Training Course” through its “Government e-Learning Platform (<http://acti.nhi.go.kr>)”, so that more public officials can receive integrity education online conveniently. In the 13-year period since the establishment of the ACRC (2008-2020), approximately 1,240,000 public officials have completed online courses.

Twelve integrity education courseware programs directly developed by the ACTI are offered on the Government e-Learning Platform to be co-used by multiple institutions. Plus, related contents are provided to public institutions of different levels.

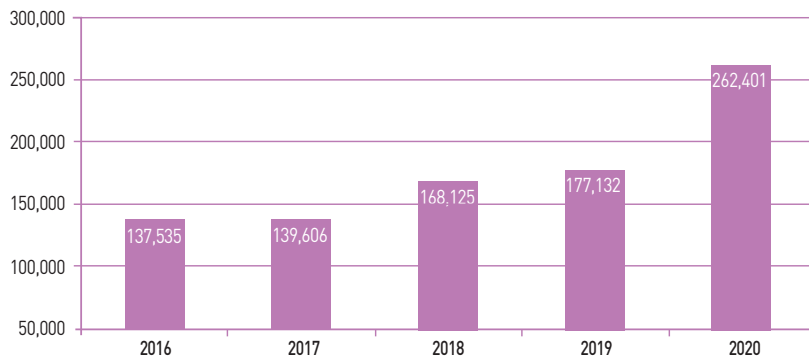
* Understanding of the Improper Solicitation Act, New “Mokmin Shimseo” for Public Officials, Self-Awareness of Corruption Situations, Nurturing Good Judgment on Integrity, etc.

B. Achievements

The number of officials taking such online training courses has been increasing every year. In the case of the courses directly operated by the ACTI – excluding courses operated by each public institution – 262,401 public officials received online training in 2020, or twice the number in 2016.

○ [Figure 2-4] Number of people who completed online ACTI courses for the recent 5 years

(unit : number of people)



Section 2 Operation of Anti-Corruption Outreach Programs to Spread a Culture of Integrity

1. Operation of Participatory Integrity Education for the General Public

A. Overview

The ACTI has stepped up its efforts to connect and communicate with the public about the value of integrity. By utilizing the budget for people's participation* introduced by the Moon Jae-in administration for the first time, diverse integrity education programs that are customized for the characteristics of different generations and groups of people were operated.

B. Achievements

The ACTI produced special video lecture “Let’s Read History” for spread of the awareness of integrity and shared it on “Sapiens Studio” channel on YouTube. The program was produced for an easy and interesting understanding and communication about integrity focusing on content about integrity and justice in old books “Nanjung Ilgi (War Diary of Admiral Yi Sun-sin)” and “Mokmin Shimseo (Public Servant Ethics)” from the Joseon Dynasty era. The video clips were shared on YouTube and tvN and showed a significant ripple effect, recording approximately 1 million views as of December.

Plus, a new paradigm of integrity education was explored, based on the changes in the environment and way of people’s consumption of contents. Integrity education contents in a new format were produced by utilizing Book Learning which is drawing much attention recently based on rising interest in reading and awareness of its importance. Such high-quality integrity education contents directly produced by the ACTI were released on IPTV, YouTube, etc., to further spread integrity education in people’s daily lives and reinforce the effectiveness of integrity education by improving people’s access to it.



Part
03

**Systematic Handling of Corruption
and Public Interest Reports, and
Protection of Whistleblowers**



Chapter 1.

Promotion of Reforms in Our Society by Handling of Reported Corruption and Public Interest-related Cases

Section 1 Operation of System for Reporting Corruption and Public Interest Violations

The corruption reporting system was established to protect people's basic rights and interests, ensure appropriateness of public administration, and establish a social environment with integrity by preventing power abuse or violations of the law on the part of public officials, thereby efficiently regulating the corrupt acts specified in the ACRC Act. The system was introduced under the former Anti-Corruption Act enacted on July 24, 2001 and enforced on January 25, 2002.

The public interest reporting system is a framework to establish a transparent society. It is an efficient measure to eradicate chronic corruption in our society by preventing and controlling acts of violating public interests in the private sector, such as those undermining public health and safety, the environment, consumer interests, fair competition and other equivalent public interest. The system started to be implemented on the basis of the enactment of the Protection of Public Interest Reporters Act on September 30, 2011.

Report received at the corruption/public interest violation report center are assigned to the department in charge of handling the reported cases and go through examination and check by inspectors, review by commissioner in charge, and then deliberation by the ACRC's internal committee. When a case is recognized to be in need of an inspection according to the Board of Audit and Inspection Act, it is referred to the Board of Audit and Inspection; when the case involves criminal charges or raises the need for criminal investigations, it is referred to the investigative authorities; and other cases are referred to the supervisory institution of relevant public agencies.

The investigative agency to which the report is referred to should finish an audit, investigation or inspection, and notify the result to the ACRC within 10 days. The ACRC shall inform the reporter of the result summary upon being notified of the investigation or inspection result, and shall report it to the internal committee. In addition, in cases where the audit, investigation or inspection by the investigative authorities is deemed inadequate, re-inspection may be requested to the investigative authorities based on rational reasons such as the submission of new evidentiary materials.

1. Statistics of Corruption Reports Received and Resolved

Total 156,997 cases of counseling and guidance regarding corruption have been provided. While the number moves slightly up and down every year, it shows overall trend of increasing.

<Table 3-1> Counseling & guidance services by year

(Unit: case, %)

Mode of use	Total		'02~'04	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020
		%																	
Total	156,997	100	18,673	6,733	5,761	4,941	4,049	6,742	5,597	5,275	6,406	10,727	9,596	9,728	11,104	10,884	12,312	14,465	14,004
Phone call	128,675	81.9	11,642	4,739	4,352	4,418	3,628	5,129	5,063	4,689	5,714	9,943	8,287	8,577	9,719	10,014	11,082	11,479	10,200
Internet	17,542	11.2	2,970	1,177	937	165	212	1,364	396	361	325	400	812	742	1,001	485	676	2,342	3,177
Visitation	10,780	6.9	4,061	817	472	358	209	249	138	225	367	384	497	409	384	385	554	644	627

* The number of counseling and guidance services offered through fax, mail, and in-person meeting is included in the number of the "visitation" category.

From January 25, 2002, when the former Korea Independent Commission against Corruption was launched, to the end of December 2020, a total of 67,449 reports were submitted, with 296 reports received per month on average.

<Table 3-2> Number of reports received annually

(unit : case)

Category	Total	'02~'04	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020
No. of cases	67,449	6,014	1,974	1,745	2,544	1,504	2,693	3,099	2,529	2,527	3,735	4,510	3,885	3,758	4,066	7,328	9,435	6,103
Monthly average	296	167	165	145	212	125	224	258	211	211	311	376	324	313	339	610	786	506

From January 25, 2002 to the end of December 2020, a total of 67,449 reports were received and 66,634 out of them were resolved.

<Table 3-3> Status of reports handled

(Unit: case)

Category	Total	Referral	Notification of violation of code of conduct	Forwarding to public institutions	Closed
Report handling	66,634	3,279	1,198	11,693	50,464

The number of referral cases was total 3,279 and as of December 2020, the rate of confirmation of suspicion out of 2,890 cases except for 389 cases on which investigation and inspection were underway was 73.4%.

<Table 3-4> Referral to investigative agencies by year

(unit : case, %)

Category	Total	Notification of investigation result			Under investigation	Corruption detection rate (②/①)
		Sub-total ①	Corruption confirmed ②	Acquitted		
Total	3,279	2,890	2,125	765	389	74.0

A total of 2,125 cases for which a corruption charge was detected were investigated out of the referred cases. Consequently, 5,185 people were prosecuted and 2,067 people were disciplined. The amount subject to charging/restitution following detection of corrupt acts reached more than KRW 855.7 billion.

<Table 3-5> Result notification by investigative agencies

Category	Prosecution/discipline, etc. (people)				Institutional warning (case)	Others (case)	Amount to be collected of recovered (KRW 1 million)
	Total	Prosecution	Discipline	Accusation/dismissal from office			
Total	7,360	5,185	2,067	108	229	638	855,711

* The number does not include 389 cases under investigation by investigative agencies

2. Statistics of Public Interest Reports Received and Resolved

Between the original implementation of the Public Interest Whistleblower Protection Act and the end of December 2020, a total of 38,998 reports were submitted to the ACRC. Public health violations, including production of harmful food products and sales of unlicensed medical products, were the most common type of report with 14,564 cases (37.3%), followed by public safety violations, including faulty construction and non-establishment of fire-fighting facilities, with 6,709 cases (17.2%).

<Table 3-6> Reports received by year

(Unit: case)

Category	Total	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020
No. of cases	38,998	292	1,153	2,887	9,130	5,771	2,611	2,521	3,923	5,164	5,546
Monthly average	351	97	96	241	761	481	218	210	327	430	462

The number of public interest reports received in 2020 was 5,546, a 7.4% increase year on year. By sector, the number of reports in the sectors of public health, safety, and other equivalent public interests greatly increased, while the number for the sectors of environment, consumer interest, and fair competition decreased.

<Table 3-7> Handling of public interest reports

(Unit: case)

Category	Sector	Handling classification			
		Sub-total	Referred	Forwarded	Closed
	Total	38,655	1,661	19,654	17,340
'11~'15	Sub-total	19,177	443	11,860	6,874
	Public health	9,267	238	8,340	683
	Public safety	2,963	33	2,158	772
	Environment	1,829	128	554	1,147
	Consumer interest	854	28	569	257
	Fair competition	263	10	158	95
	Others	4,001	0	81	3,920
'16	Sub-total	2,560	79	1,155	1,326
	Public health	884	33	589	262
	Public safety	369	22	275	72
	Environment	222	10	163	49
	Consumer interest	164	11	91	62
	Fair competition	71	3	37	31
	Others	850	0	0	850
'17	Sub-total	2,238	85	534	1,619
	Public health	498	31	221	246
	Public safety	408	40	182	186
	Environment	195	7	64	124
	Consumer interest	137	4	50	83
	Fair competition	48	3	17	28
	Others	952	0	0	952
'18	Sub-total	3,952	37	943	2,972
	Public health	836	15	403	418
	Public safety	686	11	344	331
	Environment	153	8	61	84
	Consumer interest	224	1	64	159
	Fair competition	198	2	70	126
	Equivalent public interest	1	0	1	0
	Others	1,854	0	0	1,854

Category	Sector	Handling classification			
		Sub-total	Referred	Forwarded	Closed
'19	Sub-total	5,165	388	2,187	2,590
	Public health	1,047	154	710	183
	Public safety	877	121	571	185
	Environment	546	23	433	90
	Consumer interest	609	73	396	140
	Fair competition	147	17	72	58
	Equivalent public interest	10	0	5	5
	Others	1,929	0	0	1,929
'20	Sub-total	5,563	629	2,975	1,959
	Public health	1,791	322	1,288	181
	Public safety	1,324	153	993	178
	Environment	365	40	294	31
	Consumer interest	571	104	336	131
	Fair competition	96	8	46	42
	Equivalent public interest	28	2	18	8
	Others	1,388	0	0	1,388

<Table 3-8> Result of cases referred/forwarded to investigative agencies

(unit : case, KRW 1 million)

Result of investigation on referred/forwarded cases					Action taken						
Status of result notification				Under inspection/ investigation by another agency	Prosecution	Accusation	Fine	Penalty surcharge	Administrative fine	Administrative fine	Others
Total (D=F+G)	Suspicion confirmed (F)	Confirmation rate (F/D)	Acquitted (G)								
18,227	8,687	47.7%	9,540	3,088	1,059	1,109	138 (963)	957 (15,279)	1,153 (1,795)	4,591	4,591

3. Reinforcement of Protection of Corruption and Public Interest Reporters

A. Improvement of the Protection Program for Corruption Reporters

The amendment of the ACRC Act on June 11, 2020 substantially strengthened the level of punishment for those who violate the duty to protect corruption reporters. The amended act imposes stricter punishments on those who have let others know a corruption reporter's personal information or facts that suggest he/she is a corruption reporter without the reporter's consent. Those persons may be sentenced to imprisonment with labor for not more than five years or a fine not exceeding KRW 50 million, which is a stricter punishment than imprisonment with labor for not more than three years and a fine not exceeding KRW 30 million before. Plus, the level of punishment for those who do not comply with a request to temporarily suspend the process of a disadvantageous measure taken against a whistleblower without a legitimate reason was also strengthened to imprisonment with labor for not more than one year or a fine not exceeding KRW 10 million, from imprisonment with labor for not more than six months or a fine not exceeding KRW 5 million before.

B. Initiative for Improvement of the Protection Program for Public Interest Reporters

The ACRC has enacted and enforced the Act on the Protection of Public Interest Reporters (Sep. 30, '11) which stipulates protection of and support for public interest reporters, to prevent and control acts of violating public interests in the private sector, which exert a great influence to the lives of people. However, it had been pointed out that the Act had loopholes in protecting reporters because it failed to include all statutes related to acts of violating public interest, as it just enumerates the laws subject to public interest reporting in its attachment.

Accordingly, the number of laws subject to public interest whistleblowing has been raised from 180 at the time of the Act's enactment to 279 in 2016 and then to 284 in 2018, through amendments of the Act. A foundation to expand the subject of public interest whistleblowing has been established by adding a large number of laws that have significant

impact on people's daily lives, as the number of areas subject to public interest reporting was raised to include the area of "equivalent public interests" along with existing five sectors — public health, safety, environment, consumer interest, and fair competition — in 2018.

Then, in 2019, the ACRC received a policy research service for reinforcement of the management of laws subject to public interest whistleblowing, to examine all current laws. Based on the result of the research, a revision bill for the Act on the Protection of Public Interest Reporters was drafted and it went through consultation with relevant government agencies and pre-announcement of legislation. After a legislation review and Cabinet meeting, a revision bill for the Act on the Protection of Public Interest Reporters to newly add 141 laws subject to the Act was submitted to the National Assembly.

The revision bill passed the National Assembly plenary session in April 2020, after discussions at the National Assembly. The revision bill was mainly about newly adding 182 laws, deleting three repealed laws from the existing list of laws subject to the Act, and adding four laws branched out from other laws to expand the number of laws subject to the Act to 467 from 284 before. It reflected both the laws listed in the government proposals submitted by the ACRC in 2018 and 2020 and the laws included in the revision bill submitted by the members of the 20th National Assembly. It was an addition of laws subject to public interest whistleblowing in the largest-ever number since the enforcement of the Act in September 2011. The newly-added laws include the Act on Punishment of Child Abuse Crimes, Act on the Punishment of Sexual Crimes, Military Service Act, Act on the Safety of Products for Children, Act on Air Quality Control Area, Act on Mobile Device Trade, Fair Agency Trade Act, and so on.

The amended Act on Protection of Public Interest Reporters that passed the National Assembly plenary session was proclaimed in May 2020 and enforced from November 20, 2020. The enforcement of the revised Act enables more thorough protection of reporters who report acts of violating 182 laws that had been in the blind spot of reporter protection in the past.

C. Initiative for Reinforcement of Foundation for Public Interest Whistleblower Protection by Respective Public Institutions

The ACRC has distributed the “Standard Guidelines on Operations Regarding Handling of Public Interest Reports and Protection of Reporters” to public institutions of different levels to reinforce the capabilities for handling of reports and protection of reporters by public institutions that receive public interest reports. The ACRC has also encouraged those public institutions to establish their own operation rules, install a window for public interest reporting, and appoint an official in charge of public interest reporting who carries out overall work of protection of reporters and has inspected the current status of such operation every year.

According to the result of the inspection in 2020, 380 out of 440 institutions (86.4%) subject to the inspection including central administrative agencies, local governments, and public institutions have established their own operation rules for the system of protecting public interest reporters, which was a 2.6%p increase from 2019. Plus, 427 institutions (97.0%) were operating their own window for public interest reporting by showing a link to the Clean Portal of the ACRC and in other ways, which was a 6.3%p increase from 2019. An official in charge of public interest reporting was appointed by 388 institutions out of 440 (88.2%), which was a 1.6%p increase from 2019. Such increases demonstrate how much the infrastructure for operation of whistleblower protection system has expanded.

Section 2 Operation of the Center for Reporting Welfare and Subsidy Fraud

The government discussed the need to come up with government-wide measures to fight corruption that causes losses of public funds and eradicate fraudulent claims in the field of welfare. The Joint Government Report Center for Welfare Fraud was established within the ACRC on October 15, 2013 for comprehensive management on fraudulent claims handled by different government agencies and on-site inspection at any time. On January 6, 2015, the Joint Government Report Center for Welfare Fraud was reorganized into the Center for Reporting Welfare and Subsidy Fraud, which is entitled to handle the reports on subsidy fraud as well as welfare fraud.

Targets for report are the fraudulent receipt of any public services or goods related to government policy, project, or budget (including wages, subsidies and support funds, support for human resources, and material resources).

Since the launch of the Center for Reporting Public Subsidy Fraud, 7,501 cases of fraudulent receipt of public subsidy have been reported. Among these reports, 7,336 cases (97.8%) were handled and concluded, with 2,563 cases (34.9%) referred to investigative or supervisory institutions.

<Table 3-9 > Reports consulted/received and handled (as of Dec. 31, '20)

(Unit: case)

Year	Reports received	Type of handling			
		Total	Referred	Forwarded	Closed
Total	7,501	7,336	1,547	1,016	4,773
2020	1,187	1,205	299	313	593
2019	1,536	1,526	321	225	980
2018	1,443	1,425	265	227	933
2017	960	892	168	66	658
2016	593	582	192	22	368
2015	861	865	198	64	603
2014	776	740	103	78	559
2013	145	101	1	21	79

Of the 2,563 cases referred and forwarded, investigation of 2,061 cases was completed, with 1,553 cases confirmed as fraudulent receipts of public subsidies. Accordingly, the recoverable or collectible amount was decided to be KRW 134.4 billion.

<Table 3-10 > Suspicion confirmed in referred/forwarded cases (as of Dec. 31, '20)

(Unit: case)

Referred and forwarded	Investigation completed (result notified)	Suspicion confirmed		Under investigation by investigative agency
		Suspicion confirmed	Acquitted	
2,563	2,061 (100%) (Restitution of KRW 134.4bn decided)	1,553 (75.4%)	508 (24.6%)	502



Chapter 2.

Effective Protection and Reward for Whistleblowers

Section 1 Protection of Corruption and Public Interest Whistleblowers

The corruption and public interest reporting system is a policy to prevent corruption in the public sector and acts of violating public interest in the private sector based on people's awareness of the need for their voluntary reporting. The system of protecting those reporters was created to encourage anyone to report about corruption and violation of public interest with a peace of mind, by making sure that those who make reports are protected. The corruption reporter protection system has been in operation since 2002, when the former Korea Independent Commission against Corruption was launched as part of the former Anti-Corruption Act. The public interest reporter protection system has been enforced since 2011 when the Protection of Public Interest Whistleblowers Act was enacted. The Act was amended several times afterwards.

1. Corruption Reporter Protection System

The subject of corruption report includes the acts of corruption defined in Article 2, subparagraph 4 of the ACRC Act as well as acts of violating the code of conduct for public officials, which are specified in Article 8 of the Act. Reporting should be performed in the form of document submission with affixation of name, along with clarification of the subject of the report and evidence of the acts of corruption. If a reporter faces disadvantageous actions due to such reporting, he/she is entitled to protection. A reporter is not entitled to protection however, if he/she knew or could have known that content of the report was false.

The system of protecting corruption reporters largely includes guarantee of confidentiality that prohibits disclosing of or alluding to the identity of corruption reporters without their consent; guarantee of position and other economic and administrative rights that are granted to reporters subjected to disadvantageous measures in their position such as getting disciplined or employment disadvantages or discrimination in working conditions from the institution they work for because of corruption reporting, making statements, or document submission pursuant to law; and protection of personal safety. In addition, if a reporter's criminal involvement is revealed as a result of his/her reporting, culpability of the reporter can be mitigated or exempted.

2. Public Interest Reporter Protection System

Acts of public interest violation subject to reporting are defined as acts that undermine public health, safety, the environment, consumer interest and fair competition, and other equivalent public interests according to Article 2, subparagraph 1 of the Protection of Public Interest Reporters Act, which are subject to criminal punishment or administrative disposition such as cancellation of license or permission or injunction, etc., according to 467 applicable laws.

Anyone can report to an institution that receives public interest reporting in case an act of violating public interest has occurred or there exists a concern of such occurrence and get protected. Not only reporters themselves, but also persons who have made a statement or testimony or offered materials for a public interest report and an inspection/investigation/litigation on a public interest report, and an inspection/investigation regarding protective actions for a reporter, are included in the category of "public interest reporter, etc.", so that they are entitled to protection as well. A reporter is not entitled to protection however, if he/she knew or could have known that content of the report was false or made a report for an unfair intention.

Protective measures for public interest reporters largely include protection of confidentiality



to prohibit disclosure of a reporter's identity or media coverage about him/her without the reporter's consent, protection of the reporter from disadvantages taking place due to public interest reporting or recovery from damages that have already been caused, as well as protection of personal safety. The range of disadvantages for a public interest reporter includes disadvantages for his/her position such as dismissal or suspension, financial disadvantages such as wage discrimination or cancellation of goods supply contract, administrative disadvantages such as cancellation of license, as well as psychological disadvantages such as bullying.

3. Protection Performance

A. Performance of Protecting Corruption Reporters

Between the 2008 launch of the ACRC and the end of December 2020, a total of 480 and annual average of 37 requests for protection were received by corruption reporters and cooperators.

<Table 3-11> Requests for protective measures for corruption reporters or cooperators by year

(Unit: case)

Year	Total	Guarantee of position	Protection of personal safety	Confirmation of details on identity disclosures	Temporary suspension
Total	480	351	32	75	22
2008	20	18	2	-	-
2009	14	12	2	-	-
2010	13	9	3	1	-
2011	11	11	-	-	-
2012	27	19	2	6	-
2013	27	20	4	3	-
2014	25	16	3	6	-
2015	23	20	3	-	-

2016	5	5	-	-	-
2017	17	14	1	2	-
2018	51	33	-	15	3
2019	123	83	6	22	12
2020	124	91	6	20	7

Out of 351 requests for guarantee of position, 305 cases were handled and 97 cases were accepted, recording 81.5% of acceptance rate.

B. Performance of Public Interest Violation Reporters

From the date of initial enforcement of the Protection of Public Interest Reporters Act through December 2020, a total of 490 requests for protection were submitted by public interest violation reporters and cooperators, approximately 49 requests on annual average.

<Table 3-12> Public interest whistleblower protection requests handled by year

(Unit: case)

Year	Total	Protective measure	Personal protection	Confirmation of details on identity disclosures	Prohibition of disadvantageous measures	Mitigation of culpability
Total	490	253	48	113	27	49
2011	6	2	-	2	2	-
2012	11	5	3	1	1	1
2013	17	13	1	2	-	1
2014	17	3	2	10	1	1
2015	16	9	1	4	2	-
2016	20	12	1	3	2	2
2017	34	19	2	7	1	5
2018	61	33	8	10	3	7
2019	147	75	17	36	8	11
2020	161	82	13	38	7	21

4. Cases of Protection of Corruption and Public Interest Violation Reporters

A. Decision on protective measure: protective action for whistleblowers who reported violation of the Social Welfare Services Act

The whistleblowers requested protection, stating that they faced disadvantages such as exclusion from work after reporting a suspicion of embezzlement of donated money. The ACRC judged that such disadvantages against the whistleblowers were due to their reporting and demanded granting of system authority, stopping of transfer of accounting authority, cancellation of change in working place, etc. to the respondent.

B. Request for personal safety protection: personal safety protective action regarding a report about an act of discounting/exempting patients' co-pay amount

The whistleblower requested personal safety protection, stating that he/she was threatened by physical attack from other employees of the hospital he/she works for and being consistently coaxed to cancel the report or to resign, after reporting about the hospital's act of illegally discounting/exempting patients' co-pay amount. The ACRC recognized the need for physical protection and took an action of appointing a police officer for the whistleblower's protection at a competent police station, registration in the list of 112 urgent physical protection, provision of a smart watch for protection, and strengthened police patrol around the reporter's residence.

C. Confirmation of details on identity disclosure: check on the background of personal identity disclosure regarding a report about a private university's accounting irregularity

The whistleblower reported about accounting irregularities of a private university and accused related persons. The reporter specified the fact of his/her reporting to the ACRC in

the written accusation. Information disclosure personnel of the competent police station disclosed the reporter's personal information and his/her reporting to the ACRC in the written accusation to the accused without hiding the reporter's name, thereby revealing the identity of the reporter. The ACRC demanded discipline of the information disclosure personnel in question for the reason of violating the duty of protecting whistleblowers' confidentiality.

Section 2 Compensation for Corruption and Public Interest Reporter

The reward and award system for reporters is to provide financial compensation to reporters whose reporting about corruption or violation of public interest contributed to promotion of public interest or directly led to recovery of or increase in revenues or decrease in public expenses. The system is playing an effective function in eradicating corruption and preventing violation of public interest, which can encourage people's voluntary participation in corruption and public interest reporting by rewarding individuals' acts of courage done for public interest despite diverse risks.

1. Awards and Awarding System

When whistleblowing has made a substantial contribution to public interest, the reporter may be recommended by a public institution or by the ACRC for an award, according to the Awards and Decorations Act. If the reporter fulfills specific criteria for the payment, he/she can be paid with a maximum of KRW 200 million in monetary award.

2. Rewarding System

Unlike awards, a reward is paid to a whistleblower at his/her own request, in cases where the report has led to a direct recovery of the public institution's income. The maximum amount of rewards is KRW 3 billion.



<Table 3-13> Annual payment of rewards

(unit: case, KRW 1,000)

Year	Corruption reporters			Public interest violation reporters		
	Cases	Benefits incurred *	Rewards paid	Cases	Benefits incurred*	Rewards paid
Total	757	200,063,756	16,954,222	6,193	113,482,406	8,361,857
09	20	5,811,771	642,146	-	-	-
10	23	4,505,568	603,641	-	-	-
11	12	18,834,014	1,499,401	-	-	-
12	40	11,131,730	1,400,444	32	147,860	28,475
13	37	8,393,380	951,210	319	1,230,929	227,708
14	30	6,878,647	619,347	657	2,239,585	397,340
15	29	28,770,531	1,426,658	511	1,988,446	379,997
16	90	23,997,537	2,275,033	2,476	8,344,742	1,603,578
17	113	26,539,641	2,108,374	1,710	11,198,923	1,976,511
18	166	36,836,590	3,114,994	277	66,077,269	2,213,658
19	197	28,364,346	2,312,974	211	22,254,652	1,534,593
20	238	46,003,611	3,842,099	249	25,258,924	1,560,901

* Benefit incurred: the value of the recovered or increased revenues of the State or local governments through a report.
The amount of reward is calculated based on it.

3. Relief Fund

Whistleblowers can be paid with relief fund for the costs incurred to themselves and those who helped them, including cost for physical and mental treatments, moving costs, litigation expenses, wages lost during the period of disadvantage caused by the act of reporting.

4. Major Cases

A. Payment of reward for a whistleblower who reported a suspicion over public budget loss following non-collection of tuition lent by a public institution to its employees

The public institution reported by the whistleblower lent tuition money to its employees without interest and decided to repay uncollected amount from the profits of the company fund corporation in the process of merging with another public corporation and launching as a new company. However, it did not implement the plan and neglected the uncollected amount, thereby causing budget loss. The report led to a court ruling confirmation that KRW 14 billion of uncollected repayments and interests was outstanding and the institution recovered the full amount from the company fund corporation. Reward worth KRW 763 million was paid to the reporter.

B. Payment of reward to a whistleblower who reported a suspicion over fraudulent claim of job security fund

The whistleblower reported about a suspicion over defrauding of job security fund by a company that made a fraudulent report of new employment of an employee who actually did not work. An inspection was conducted and the result confirmed that the company falsely received approximately KRW 57 million, which was recovered in full amount. KRW 17 million of reward money was paid to the whistleblower.

C. Payment of reward to a report about suspicion over unlicensed medical practice

The whistleblower reported that a medical practitioner let an administrative staff member who had no medical license at all carry out a medical practice of taking part in surgery as an assistant. An inspection found out that the report was true; KRW 41 million of penalty surcharge was imposed to the hospital in question, and KRW 30 million of fine was imposed on the person subject to the report and the administrative staff member in question for violation of the Medical Service Act. Reward worth KRW 25 million was paid to the whistleblower.



Chapter 3.

Enforcement of the Act on Prohibition of False Claims for Public Funds and Recovery of Illicit Profits

1. Enforcement of the Act on Prohibition of False Claims for Public Funds and Recovery of Illicit Profits

With an increase in fraudulent claims for public funds following increase in the government's obligatory spending on the welfare budget (approximately KRW 252 trillion as of '20), the ACRC has pushed forward with the enactment of a general law on the recovery of and sanctions on fraudulent claims for public funds since 2014. The Act on Prohibition of False Claims for Public Funds and Recovery of Illicit Profits (the Public Funds Recovery Act) was enacted on April 16, 2019 and enforced on January 1, 2020.

2. Main Content

The Public Funds Recovery Act stipulates that relevant public institutions recover the entire amount of the unfair gains and interests from four types of fraudulent claims including unqualified or excessive claims for public finance payments such as subsidies, rewards and contributions and use or receiving of the funds for any purpose other than the specified purpose or use. The Act states that additional sanctions of up to five times that of the recovered amount be imposed on top of the recovery of gains, in the case of fraudulent claim, excessive claim, or use for other than specified purpose.

3. Inspection on Implementation Status

The ACRC conducted an inspection on the status of public budget execution and implementation of sanctions on fraudulent claims of public funds, as the Public Funds

Recovery Act was enforced in January 2020.

※ (Public fund payment) Approximately KRW 251.5 trillion as of '20 (148.2 trillion from the central government, 82.9 trillion from local governments, 19.4 trillion for education)

The subject of the implementation inspection included ① the sector of R&D projects and employment support projects where fraudulent claims for central government budget have taken place continuously year after year, ② six vulnerable sectors that receive local government budget (support for social enterprises, support for social welfare facilities, support for sports and art associations, support for agriculture/fishery businesses, support for daycare centers, fuel subsidies for transportation companies, etc.), and ③ the sector of education subsidies and school expenses out of education budget. A joint inspection with police was conducted on total 18 institutions including public institutions (10), local governments (6), and education offices (2), over the period from August 31 to December 18, 2020 (10 weeks).

According to the result of the inspection on those 18 institutions, 49 cases of improper public budget execution (KRW 454 million) were detected. Investigation and inspection was requested for eight grave cases among them and notification was issued to supervisory agencies for an action such as restitution for 41 cases. In addition, for eight cases that showed an administrative issue and needed institutional improvement, improvement measures will be taken based on consultation with relevant government agencies.



Chapter 4.

Operation of System to Restrict Employment of Former Public Officials Dismissed for Corruption Charges

Public officials who have rightly resigned, or have been dismissed or removed from office for corrupt acts in connection with their duties during the term of their offices shall be prohibited from getting employment at public institutions or for-profit companies closely related to the department or institution to which they belonged to from five years before their resignation, for five years after the date of resignation. Since its introduction into the Anti-Corruption Act in 2001, the restriction on employment of public officials dismissed for corruption has expanded the scope of subject individuals and institutions of application, according to the revision of the applicable act in March 2016.

The ACRC identifies violators employed by the restricted institutions by conducting regular inspections on the employment status of public officials who have been dismissed for corruption and reviewing rule violation of those who got employed.

Over the past five years ('15~'19), a total of 1,541 public officials were dismissed for corruption.

By type of corruption, the number of receipt of money, entertainment, or other valuables was the highest at 908; followed by 282 for embezzlement and misappropriation of public funds; 75 for abuse of authority or dereliction of duty; and 39 for document forgery or counterfeiting. 237 were dismissed for other reasons (inappropriate handling of the task and violation of statutes related to budget and finances).

<Table 3-14> Breakdown of the reasons for dismissal of public officials

(unit : persons)

Type of corruption	'15	'16	'17	'18	'19	Total
Receipt of money, entertainment	223	206	191	159	129	908
Embezzlement or misappropriation of public funds	69	52	51	45	65	282
Abuse of authority or dereliction of duty	6	24	15	15	15	75
Document forgery or counterfeiting	8	5	3	12	11	39
Others	14	25	48	60	90	237
Total	320	312	308	291	310	1,541

The ACRC conducted an inspection on the employment of former public officials dismissed for corruption. The Commission detected 41, 63, and 22 violators of the employment restriction provision in the inspections conducted in the first half of 2018, 2019, and 2020, respectively, some of whom were hired by entities that had been closely related to their public duties before dismissal.

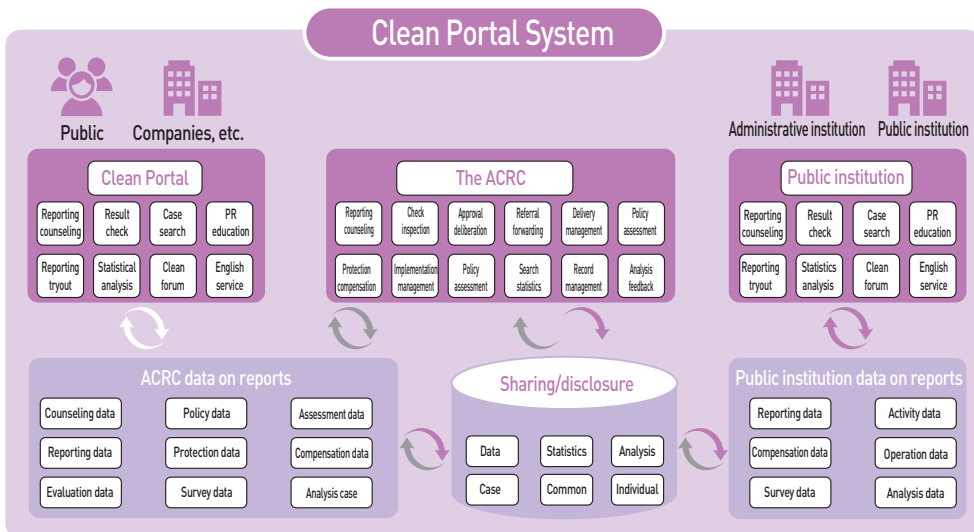
In the first half of 2018, the number of such violators was 12, which nearly doubled in the latest inspections. This is attributable to the amendment of the ACRC Act in September 2016, which expanded the scope of institutions that are subject to employment restrictions on former public officials. (Out of violators of the employment restriction provision, the number of those who were hired by entities related to their former public duties was 2 in 2015, 3 in 2016, 11 in 2017, 31 in 2018, and 40 in 2019, and 14 in the first half of 2020.)

In the inspection conducted in 2019, the ACRC reviewed the data on other income — a category for consulting fees paid to former public officials — for the first time provided by the National Tax Service. Thereby the Commission detected four people who violated the employment restriction provision by applying the extended scope of employment to the former public officials who retired on September 30, 2016 and later and are subject to the restriction provision and then 5 in 2020. As such the loophole that had existed in the employment restriction system is being reduced.

Chapter 5.

Innovation of Anti-Corruption Tasks by Advancing Clean Portal System

The Clean Portal corruption reporting³⁾ system is a comprehensive anti-corruption information platform which enables people to report corruption online conveniently and to search for necessary anti-corruption information easily. Corruption Prevention System, a corruption reporting system operated since 2003, was reorganized into the Clean Portal system, to provide a one-stop service from reporting customized for different types of users to application for protection and compensation and to support anti-corruption systems systematically and efficiently. In addition, anti-corruption information is disclosed and shared on the system, so that public institutions' staff can handle anti-corruption tasks swiftly and accurately based on it.



3) The ACRC changed the name of the system into "Clean Portal_Corruption Reporting" on September 1, 2020, to clarify the function of the reporting portal, but in this Chapter, the name "Clean Portal" is used for a convenience purpose.



Part 04

Protecting People's Rights and
Interests by Addressing Grievances
with a Focus on Real-Life Problems



Chapter 1. Handling Civil Complaints

1. Civil Complaints Overview

Definition

The term "civil petition for grievance" means a civil petition for the redress of a grievance pertaining to matters that infringe the rights of the people, or give any inconvenience or burden to people, due to unlawful, irrational or passive disposition (including factual act and omission) of an administrative agency, etc., or the irrational administrative system (including grievance petitions of active-duty soldiers and persons serving mandatory military service). (Article 2(5) of the Act on the Prevention of Corruption and the Establishment of the Anti-Corruption and Civil Rights Commission)

A. General complaints and grievance complaints

1) Article 2 of the Civil Petitions Treatment Act categorizes civil complaints into general complaints and grievance complaints, defining the former in the same law while referring the definition of the latter to the Act on the Prevention of Corruption and the Establishment of the Anti-Corruption and Civil Rights Commission. General complaints are classified into legal complaints related to request for authorization, permission, registration in registers, verification, etc. from administrative agencies; inquisitive complaints requesting explanation or interpretation of an administrative agency regarding statutes, systems, etc.; and recommendatory complaints requesting improvement of the administrative system and operation. The petitioner can file a grievance complaint when he finds the result of the handling of his complaint to be unsatisfactory.

2) In principle, grievance complaints shall be handled by the inspection department of the agency in charge or by the supervisory agency with the authority of guidance on the tasks related to the grievance complaint in question. But they can also be handled by the ACRC, which has the jurisdiction over handling grievance complaints as the government agency with the utmost authority over complaint handling.

B. Recommendations for redress and opinion statements on unlawful and unjust administrative disposition

The ACRC provides relevant agencies with an opportunity to correct the problems on their own by recommending measures for redress when there are substantial grounds to acknowledge that an administrative disposition is unlawful and unjust, and by expressing opinions when the claim of the petitioner is supported by substantial evidence.

C. Recommendations for redress and opinion statements on irrational statutes and systems

In cases where relevant statutes, systems and policies are deemed to be in need of improvement while handling grievance complaints, the ACRC provides recommendations for improvement measures and expresses opinions to the heads of relevant agencies to prevent the same kind of complaints from occurring again.

D. Settlement and mediation of grievance complaints between the petitioner and the agency in charge from a third-party perspective

The ACRC plays a role as a[n] mediator/arbitrator between the petitioner and the agency in charge from a third-party perspective to reach a settlement, or arbitrate/mediate disputes involving multiple parties.

As one form of alternative dispute resolution (ADR)⁴⁾, mediation is conducted for complaints involving multiple parties, or those deemed to have far-reaching social consequences.

2. Cooperation, Support and Education for Local Grievance Commissions (Local Ombudsman)

As the national ombudsman⁵⁾, the ACRC provides support for local governments to facilitate the establishment and operation of local grievance commissions, and shares knowhow and information on handling grievance complaints to help local grievance commissions function as local ombudsmen that protect and enhance the rights and interests of the residents.

3. Comprehensive Assessment on Complaint Services of Local Governments and Administrative Agencies

Every year, the ACRC jointly implements the Comprehensive Assessment on Complaint Services with the Ministry of the Interior and Safety to improve responsiveness of local governments, Offices of Education, etc. The commission also provides support to address inadequate practices in handling complaints through visits to each agency for consultation about handling grievance complaints and collective disputes.

4. Pursuing Indemnity on Proactive Administration⁶⁾

With the administrative environment changing at a rapid pace and the disparities between laws and reality growing more than ever, it has become a matter of utmost importance for public officials to play a role that goes beyond a passive implementer, with an active mindset of trying to accurately acknowledge and address real problems. Over the years, the government has been putting much effort to that end by pursuing indemnity on proactive administration and prior consultation, but has not been particularly successful in living up to the expectations of people.

4) Alternative Dispute Resolution (ADR): A process of bringing disagreeing parties for dispute settlement with the help of a fair and neutral third party — except for the court — without resorting to litigation

5) Ombudsman: Having started in Northern European countries such as Sweden, Finland, Denmark and Norway, the ombudsman system mandates a public official to monitor on behalf of the public whether civil servants are properly performing their duties as stipulated by the law.

6) 'Proactive administration' refers to public officials performing their duties in a proactive manner based on creativity and expertise to fulfill their mandate of serving the public and promoting public interest.

In March 2019, 8 agencies including the Office of Government Policy Coordination, the Board of Audit and Inspection of Korea, the Ministry of the Interior and Safety and the ACRC formed a joint task force (TF) at the request of the public to discuss measures to establish a system to facilitate proactive administration. On its part, the ACRC made it clear that the indemnity standards for proactive administration be applied when relevant agencies accept the commission's recommendations for redress and opinion statements.

With growing demand for proactive administration, the ACRC requested cooperation from relevant agencies to overhaul the rules to increase the rate of accepting the commission's decisions while reducing the unacceptance rate, so that indemnity standards for proactive administration⁷⁾ can be applied if the agency in question takes action in accordance with the ACRC's recommendations for redress and opinion statements, presuming that the action was taken pursuant to the Act on the Prevention of Corruption and the Establishment and Management of the Anti-Corruption and Civil Rights Commission. As of January 2021, 42 central government agencies, 166 local government agencies and 258 public institutions overhauled and established the rules related to proactive administration for grievance complaints.

Although the ACRC's recommendations for redress and opinion statements are not legally binding and only have recommendatory effects, relevant administrative agencies shall respect⁸⁾ the commission's decisions. Consisting of experts with broad expertise recommended by the National Assembly and the Chief Justice of the Supreme Court and appointed by the President, the ACRC is committed to providing an appropriate judgment on the issue at hand based on the latest social changes and the will of the public.

7) Indemnity standards for proactive administration: ① The action was aimed at promoting public interest by improving irrational regulations, implementing projects for public interest, etc.; ② The public official performed his duties in a proactive manner; and ③ There was no deliberate intention or gross negligence.

8) Article 50 (Notification etc., of Processing Result) (1) of the Act on the Prevention of Corruption and the Establishment and Management of the Anti-Corruption and Civil Rights Commission states that "[t]he head of any relevant administrative agency, etc. that has received a recommendation or an opinion under Article 46 or 47 shall respect such recommendation or opinion."



Chapter 2.

Receipt and Handling of Grievance Complaints

1. Trends of Grievance Handling in 2020

2020 was a difficult year for everyone both at home and abroad because of the emergence and persistence of COVID-19. It was no exception for administrative agencies, with the number of site visits for grievance investigation decreasing by 1,180 from 3,753 in 2019 to 2,573 in 2020. The rate of accepting the petitioner's request (hereinafter referred to as the acceptance rate) also went down from 20.7% in 2019 to 18.5% in 2020.

At the same time, the year 2020 saw an increase of 3,626 cases of grievance complaints handled, up from 42,031 in 2019 to 45,657 in 2020 when the number of grievance complaints received decreased by 6,799 from 56,189 in 2019 to 49,390 in 2020. There were 93 more cases of recommendations for redress and opinion statements, up from 633 in 2019 to 726 in 2020. The satisfaction score increased by 1 point from 75.9 in 2019 to 76.9 in 2020.

2. Receipt and Handling of Grievance Complaints

The number of grievance complaints received by the ACRC has rapidly increased (37.8%) over the past three years. This is because people are collectively filing similar complaints on a certain issue as if they are staging an online protest. To be sure, the number of complaints handled excepting similar and repeated cases also increased by 1.5% (264 cases) compared to that of 2019.

<Table 4-1> YoY comparison of major indicators

Category	2018	2019	2020	YoY increase/ decrease
Number of cases received	30,712	56,189	49,390	△ 13.8%
Number of cases handled	29,609 (14,094)*	42,031 (17,947)*	45,657 (18,211)*	7.9% (1.5%)
Acceptance rate	24.7%	20.7%	18.5	△ 2.2%p
Average period of handling	19.8 days	23.0 days	24.0 days	1 day
Satisfaction score	76.7 points	75.9 points	76.9 points	1 point

* The number in the parentheses () is the combined number of similar and repeated complaints that were handled.

<Table 4-2> Complaints breakdown by handling outcome

Category	Total	Grievance complaints								Other complaints
		Subtotal	Recommendations for redress	Opinion statements	Settlement/ Mediation	Guidance/ Rejection	Dismissal	Transfer/ Referral	Closed	
2020	18,211	12,130	292	434	1,519	3,822	778	2,957	2,328	6,081
2019	17,947	11,855	317	316	1,819	2,907	812	1,756	3,928	6,092
2018	14,094	9,769	210	238	1,965	1,115	555	89	5,597	4,325

The tables above suggest that the acceptance rate and satisfaction scores go down and the average period of handling increases when the number of grievance complaints handled rises without a corresponding increase in the number of personnel in charge of handling the cases. This situation requires improvement, as the number of grievance complaints is expected to continue to increase into the future.



Chapter 3.

Grievance Consultation and Handling with Enhanced Responsiveness

1. Overview

The number of grievance complaints received via the e-People system online was 38,607 in 2020, which is far greater than that of complaints received in writing (3,815 cases) and through in-person visits (584 cases) — the methods preferred by those who have difficulty using the Internet. The percentage of such complaints is hovering steadily at around 9 percent (9.1% in 2019 and 8.9% in 2020).

The ACRC has been implementing the Outreach Program for Complaint-Handling since 2003 to help reduce regional and social disparities by visiting remote and underprivileged areas to consult with the petitioners and redress their grievances face to face. In 2020, the ACRC had to scale back the Outreach Program by 26.4% in 2020 in compliance with the government's guidelines on the prohibition and restriction of site visits to curb the spread of COVID-19 since its outbreak at the beginning of the year. Still, the on-site resolution rate was as high as 51.8%.

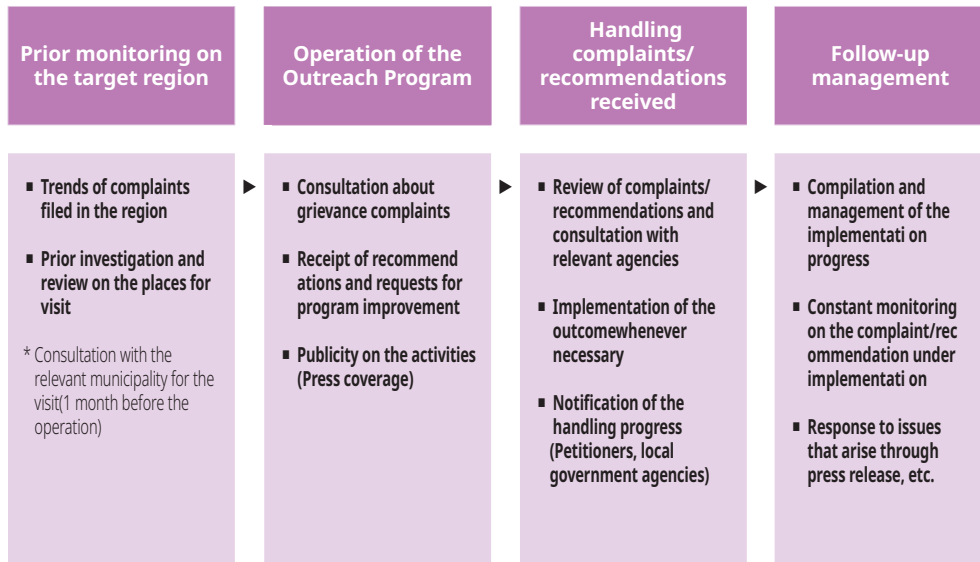
The commission established the National Grievance Emergency Response Division and has been operating it since September 2020, with an aim to promptly take measures to protect people's rights and interests in response to urgent grievances caused by the coronavirus pandemic, such as threats to livelihood, occurrence of massive fatalities or losses of property.

2. Outreach Program for Complaint-Handling for Full Protection of People's Rights and Interests

Having started in Cheongju City in October 2003 under the name of the 'Consultation Circuit,' the Outreach Program for Complaint-Handling is aimed at handling grievance complaints with a focus

on actual people and real-life problems by visiting people living in areas with limited access to complaint filing, so that their grievances can be heard and redressed.

○ [Figure 4-1] Operation and follow-up management of the Outreach Program for Complaint-Handling



Since the establishment of the ACRC in 2008, the Outreach Program for Complaint-Handling was implemented in 733 regions and addressed 21,562 complaints as of 2020, which is a dramatic increase in the number of regions visited (55 locales) and complaints handled (1,543 cases) before its establishment from 2003 to 2007.

※ On-site resolution rate ([Number of complaints redressed] divided by [Total number of cases consulted]): 47.7% (2018) → 50.4% (2019) → 51.8% (2020)

With the spread of COVID-19 and social distancing measures, the Outreach Program was conducted in fewer regions in 2020. However, it experienced a qualitative improvement, with the on-site resolution rate increasing from 50.4% to 51.8%.

<Table 4-3> Yearly consultation record of complaints received through the Outreach Program
(Complete statistics with breakdown by region and consultation category)

(Unit: cases)

Category		Total	Before 2008	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020
Number of regions visited		788	55	20	28	33	46	51	51	52	57	61	71	84	101	78
Consultation record	Receipt of grievance complaints	3,244	541	86	272	199	129	196	178	245	235	234	268	240	211	210
	On-site resolution	7,864	-	96	244	290	244	332	633	634	650	778	880	1,032	1,269	782
	Guidance on deliberation	11,997	1,002	381	1,004	1,000	865	1,103	937	737	821	843	855	891	1,039	519
	Total	23,105	1,543	563	1,520	1,489	1,238	1,631	1,748	1,616	1,706	1,855	2,003	2,163	2,519	1,511

There was a change in the way the Outreach Program is implemented, and starting from 2012, it is functioning as a channel to provide comprehensive consultation, addressing minor inconveniences in daily life as well as complaints against administrative agencies. The ACRC was the sole agency involved in the implementation of the program before such change, but now other agencies are also taking part.

※ In collaboration with: Korea National Council on Social Welfare, Korea Legal Aid Corporation, Korea Consumer Agency, Korea Land and Geospatial Information Corporation, Ministry of Employment and Labor, Korea Inclusive Finance Agency, Ombudsman Commission of Gangwon Province

3. Operation of the National Grievance Emergency Response Division for Prompt Response to Urgent Issues

The ACRC established the National Grievance Emergency Response Division under direct control of the Vice Chairperson (Ombudsman) to promptly protect the rights and interests of vulnerable groups and those living in remote regions, who experienced more difficulties with the COVID-19 pandemic (Directive No. 235 – September 14, 2020).

※ Formulated the Emergency Response Division consisting of 7 temporary members to support the Division Director (Grade-4 official (1 person), Grade-5 officials (3 persons) and Grade-6 officials (3 persons))

Upon the establishment of the Emergency Response Division, the division members visited Saha-

gu, Busan, in September 2020 along with the ACRC Chairperson, holding a meeting with relevant agencies, and the fishermen and residents who suffered damage caused by two consecutive storms. After a visit to the site damaged by the storms, including Natgae breakwater, the ACRC notified measures for improvement in December 2020 based on the discussions at the meeting (Measures for Efficiency Improvement in Marine Waste Treatment in Rivers and Estuaries)

○ [Figure 4-2] Grievance meeting to address damage caused by the storms





Chapter 4.

Efforts to Further Protect People's Rights and Interests

1. Overview

As mentioned earlier, grievance complaints are filed when the petitioner finds the result of the handling of his complaint to be unsatisfactory in the case of general complaints (legal, inquisitive, recommendatory complaints, etc.).

To better address grievance complaints, for starters, the ACRC is working to establish the Act on the Mediation of Collective Complaints to handle collective complaints in a more systematic and professional way, since it is difficult to resolve such complaints, which by definition often involve multiple agencies and complex interests, and it also takes a long period of time even when they are actually resolved.

Second, the ACRC is conducting the Comprehensive Assessment on Complaint Services every year with the Ministry of the Interior and Safety to improve the capability of local governments, Offices of Education, etc. in addressing grievance complaints while enhancing the satisfaction levels of service users.

Third, the ACRC is providing support for the establishment of local grievance commissions (Local Ombudsman) and is seeking to facilitate their operation, so that the local commissions can address grievance complaints that arise in their jurisdictions in a prompt and fair manner with the same authority as the ACRC.

Lastly, the ACRC is implementing a range of professional training programs to improve the way investigators at the ACRC and other agencies handle grievance complaints. The commission also has the Grievance Complaint Special Investigation Team, whose mission is to better protect

people's rights and interests by reducing administrative costs incurred by irrational, unusual or repeated complaints.

2. Mediation of Collective Complaints as a Means to Facilitate Alternative Dispute Resolution

A. Progress

Recently, the ACRC experienced a slight decrease in the number of cases resolved through mediation and the percentage of cases resolved through mediation relative to the number of complaint receipts involving multiple parties. But the overall numbers are on the rise every year, which is attributable to the ACRC's consistent efforts to facilitate mediation by sharing best practices and expertise in mediation and stepping up professional training. In 2020 in particular, the ACRC resolved 53 cases of collective complaints involving nearly 37,000 individuals through on-site mediation. This is an 89%p increase from 28 cases in 2008, suggesting the usefulness of mediation as a means to resolve public disputes.

<Table 4-4> Progress in resolving grievance complaints through mediation

Category	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020
Receipt of collective complaints	334	259	280	285	361	362	241	255	242	216	227	264	299
Number of cases resolved through mediation	28	26	19	24	42	43	54	65	72	76	65	47	53
Rate of resolution through mediation	8.4	10.0	6.8	8.4	11.6	11.9	22.4	25.5	29.7	35.2	28.6	17.8	17.7

B. A major example of on-site mediation of a collective complaint

One of the leading examples of on-site mediation of a collective complaint in 2020 was about a collective request that the government establish ownership over ownerless land in Haeon-myeon, Yanggu-gun, Gangwon-do, before selling it to the residents. Located north of the Civilian Control

Line, the region in question was recovered during the Korean War. There were two rounds of government-led migration projects to the region after the Korean Armistice Agreement in July 1953, and the residents filed a complaint requesting that the government take measures to address the restraints on the exercise of their property rights and address the unstable ownership, since it is they who moved in and reclaimed the land to transform it into fertile farmland.

With more than 80% of the original owners of the land having fled to North Korea, the then military government of South Korea implemented migration projects in 1956 and 1972, where 1,394 individuals in 260 households moved to the region, so that it could normalize the management of the land in Hae-an-myeon, which had been devastated during the long years of the war. Afterwards, the government promised to acknowledge the ownership of the residents over the land when certain criteria are met, in recognition of their efforts to reclaim the barren land.

However, there was no sign of resolution because of the following factors: (a) the land ownership of those who fled to the North is still legally valid, with the Constitution stipulating that the land north of the 38th parallel is also part of the South Korean territory; (b) while it was the military that primarily dealt with this issue right after the war, there are now nearly 10 agencies involved due to specialization within the government over the years; and (c) the issue was compounded in 1983, when the government established state ownership and provided financing measures only for some lands adjacent to the land in question, which raised issues about fairness and equity.

The ACRC created a task force (TF) across the government involving central agencies in charge, public institutions and local government agencies, and worked to restore confidence of the residents over the past three years, conducting on-site visits and hosting briefing sessions for nearly 20 times. After consulting with experts, the commission came up with a pivotal solution by raising funds through loans as well as state acquisition and resale of the land to make sure that the residents are prepared against the potential exercise of the property rights of the land owners living in North Korea.

Thanks to all these efforts, the Act on the Special Measures of Restoration and Preservation Registration, etc. of Unclaimed Lands within the Regained Areas got through the National Assembly in January 2020, and the enforcement decree thereof was implemented in August, which stipulates

the specifics about establishing state ownership over the land in question and selling it to those who actually worked for its reclamation. In addition to facilitating the land sale, the ACRC also played a role in formulating and implementing extensive measures to modernize the underdeveloped area and improve the living conditions for the residents.



Mediation meeting for a collective complaint regarding the establishment of state ownership over and resale of ownerless land in Haean-myeon, Yanggu-gun, Gangwon-do (August 4, 2020)



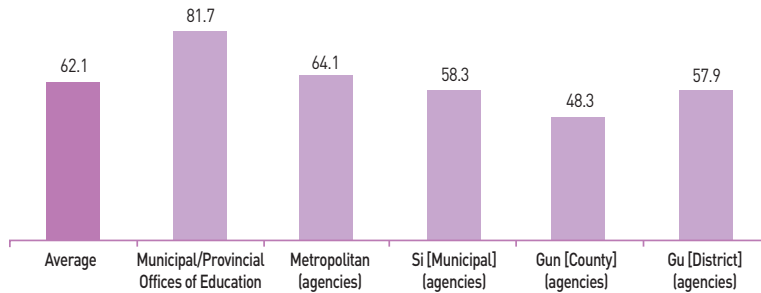
On-site visit and consultation with relevant agencies

3. Evaluation of Administrative agencies on Grievance Complaint Handling to Improve the Quality of Complaint Services

As part of the Comprehensive Assessment on Complaint Services — an integrated evaluation framework of the ACRC's assessment on the e-People system and the Ministry of the Interior and Safety's assessment on complaint administration and the procedures to reduce the burden on the agencies subject to the assessment — the ACRC has been conducting the evaluation on grievance complaint handling since 2017 on local government agencies and Municipal/Provincial Offices of Education.

In the 2020 evaluation, the average score of the entire agencies subject to the evaluation was 62.1, up 2.5 points from 59.6 of the previous year. The scores of agencies categorized by type were high in the order of Municipal/Provincial Offices of Education (81.7) > Metropolitan agencies (64.1) > Si [Municipal] agencies (58.3) > Gu [District] agencies (57.9) > Gun [County] agencies (48.3).

- [Figure 4-3] Comparison of the average scores of agencies categorized by type (added and/or subtracted points excluded)



The ACRC is committed to continuing to improve the evaluation on grievance complaint handling, so that a better system is in place for local government agencies and Municipal/Provincial Offices of Education to handle grievance complaints. It is also planning to step up measures to further protect the rights and interests of people while enhancing the satisfaction level of users by boosting the capability of local agencies in dealing with grievance complaints.

4. Facilitating Local Grievance Commissions for Further Protection of Rights and Interests of Local Residents

The ACRC recommends that local governments and their affiliated agencies establish local grievance commissions (Local Ombudsman) equipped with expertise and independence, so that they can address grievance complaints on their own in a prompt and fair manner.

Established in Bucheon-si in 1997, the Local Ombudsman had its legal basis in the Ombudsman of Korea Establishment and Operation Act of 2005. As of December 2020, 49 local governments — 6 metropolitan agencies and 43 county and municipal agencies — have Local Ombudsman established and up and running.

Major content and progress

- ▶ Major content
 - (Target) Local governments with a population of 500,000 and under
 - (Qualification mitigation) Associate Professor or higher, Grade-4 public official or higher → Full-time instructor or higher, Grade-5 public official or higher
 - (Repeal of the restrictions on reappointment) 4-year single term → Reappointment possible up to two terms, with each term lasting for 4 years
 - (Reinforcement of dismissal procedures) No procedures for dismissal → Consent from the local council

- ▶ Progress
 - (May 15, 2020) Draft legislation → (May 15, 2020) Inquiry of opinions from relevant ministries and agencies for coordination → (November 2020) Evaluation on regulations → (January 2020) Submission to the National Assembly

5. Training to Improve Capability of Agencies and Investigator

The ACRC is conducting online training every year with an aim to improve the quality of complaint services provided by all administrative agencies and public service-related institutions, enhance understanding about grievance complaints and the ombudsman system, and raise awareness of protecting people's rights and interests.

To better deal with a growing number of disputes involving multiple parties, the ACRC was commissioned to train 11 personnel through the Expert Course on Mediation for the Korean Commercial Arbitration Board and the Course on Dispute Management Skills for the Korea Institute of Public Administration to help cultivate expertise in mediation and dispute management skills.

- [Figure 4-4] Task training to improve capability of grievance-handling investigators



6. Operation of the Grievance Complaint Special Investigation Team

A. Active handling of and response to special complaints

The ACRC established the Grievance Complaint Special Investigation Team in July 2011 to handle special complaints (i.e. unusual and repeated complaints) in a more systematic way. There have been such complaints involving 270 individuals which have not been resolved for a long time, and the team addressed those involving 220 individuals through settlement/mediation and understanding/persuasion.

<Table 4-5> Unusual and repeated complaints breakdown by handling outcome

Subject individuals	Handling completed			Handling in progress
	Subtotal	Settlement/Mediation	Understanding/Persuasion	
270 persons	220 persons	64 persons	156 persons	50 persons

Individuals who filed special complaints exhibited a range of aggressive behaviors including filing the same complaint for tens to tens of thousands of times, staging protests and/or disturbances at the commission, committing physical assault/blackmailing/menacing, and accusing or charging the investigator. In addressing the complaints filed by such individuals, the ACRC placed a focus on providing a detailed and repeated explanation about the requests of the petitioner in a convincing manner after a thorough review, and on creating an environment where the petitioner and the agency in charge can listen to and connect with each other to dispel misunderstandings and restore trust.

<Table 4-6> Special complaints breakdown by type

Total	Repetition	Physical assault/Blackmailing	Protest/Disturbance	Accusation/Charge	Others
270 persons	141 persons	62 persons	25 persons	23 persons	19 persons

B. Improving the capability of managing and addressing special complaints across the government

Arising from many different causes including the petitioners themselves, administrative agencies and other situational factors, special complaints exacerbate job stress of the personnel in charge and worsen the quality of administrative services for the general public, causing a disproportionate amount of resources to be allocated for addressing those complaints.

To share the experiences and cases of handling special complaints with every agency, the ACRC revised and published the Response Manual for Special Complaints, which has been shared by 16,434 officials to date.

In 2019 alone, the ACRC hosted 5 workshop sessions and 77 visiting lectures to share expertise on addressing special complaints with 18,262 public officials at central and local government agencies. In 2020, the sessions were conducted online to prevent the spread of COVID-19. The commission also worked to improve the capabilities of officials in charge of addressing such complaints by frequently conducting phone and visiting consultation for public agencies suffering from disruptions to their work due to special complaints.

Chapter 5.

Handling Grievance Complaints in Different Sectors

1. Administration/Culture/Education

The administration, culture, education, foreign affairs, unification, civil cases and judicial affairs sector is categorized into the following sub-sectors: (a) the administration and safety sector addressing complaints related to local finance, land cadastre, resident registration, family relation registration, civil defense against disasters, fire-fighting, and general administrative affairs in local government agencies; (b) the personnel administration sector addressing complaints related to HR affairs, compensations and travel expenses, reward and punishment, requests, examinations, and pensions; (c) the culture and tourism sector addressing complaints related to cultural publicity campaigns, cultural properties, cultural industries, tourism, and sports; (d) the education sector addressing complaints related to education policy, school management, academic affairs, lifelong/ career education and, teacher policy; and (e) the diplomacy/unification/civil cases/judicial affairs sector addressing complaints related to foreign affairs, immigration, unification, Korean residents abroad, and other issues.

<Table 4-7> Number of complaint cases handled by sub-sector

(Unit: cases)

Category	Total	Administration and safety	Personnel administration	Culture and tourism	Education	Foreign affairs/ Unification/ Civil cases/ Judicial affairs	Others
2020	5,871	1,240	420	187	373	161	3,490
2019	6,006	1,056	336	136	305	111	4,062
Increase/ Decrease	△135	184	84	51	68	50	△572

The number of complaints handled in 2020 was 5,871, down by 135 from 6,006 cases a year earlier, but this is attributable to the fact that the number of other complaints decreased by 14%, which do not count as grievance complaints. The number of grievance complaints excluding other complaints increased from 1,944 in 2019 to 2,381 in 2020, with a 17% increase in the cases in the administration and safety category, which accounts for the largest percentage.

<Table 4-8> Complaints breakdown by handling outcome

(Unit: cases)

Category	Total	Recommendations for redress	Opinion statements	Mediation/Settlement	Rejection	Dismissal	Guidance on deliberation	Transfer/Referral	Closed through withdrawal
2020	5,871	23	19	100	-	201	755	314	4,459
2019	6,006	25	27	128	-	106	483	72	5,165
Increase/Decrease	△135	△2	△8	△28	-	95	272	242	△706

<Table 4-9> Breakdown of recommendations for redress

(Unit: cases)

Category	Total	Central government agencies	Local government agencies	State-invested enterprises	Others
2020	23	8	14	1	-
2019	25	2	19	4	-
Increase/Decrease	△2	6	△5	△3	-

<Table 4-10> Breakdown of resolution through mediation/settlement

(Unit: cases)

Category	Total	Administration and safety	Personnel administration	Culture and tourism	Education	Foreign affairs/Unification/Judicial affairs
2020	100	63	13	7	12	5
2019	128	77	12	10	25	4
Increase/Decrease	△28	△14	1	△3	△13	1

2. Defense/Patriots and Veterans Affairs

The defense/patriots and veterans affairs sector is categorized into the following sub-sectors: (a) the defense sector addressing issues related to military facilities protection areas, military reservations, general affairs in defense administration, and military affairs regarding conscription; (b) the patriots and veterans affairs sector addressing complaints related to persons of national merit, and veterans benefits; and (c) the military sector addressing complaints filed by active-duty soldiers related to beating and cruel acts within the military and general grievances, as well as complaints filed by veterans and civilian military employees.

In 2020, 1,521 cases of grievance complaints were addressed. In terms of sectors, there was an 11.7% increase (117 cases) in the defense sector, a 7.9% increase (24 cases) in the patriots and veterans affairs sector, and a 13.3% increase (8 cases) in complaints in the military sector filed by active-duty soldiers, etc. As for the type of complaint handling outcomes, there was a 2.5% increase in dismissal (2 cases), a 43.7% increase in guidance on deliberation (135 cases) and a 10.9% increase in reply with guidance (70 cases), while there was a 30.3% decrease in recommendations for redress (10 cases), a 23.1% decrease in opinion statements (9 cases), a 14.3% decrease in mediation/settlement (38 cases) and a 100.0% decrease in rejection (6 cases).

<Table 4-11> Complaints breakdown by handling outcome

(Unit: cases)

Category	Total	Recommendations for redress	Opinion statements	Mediation/Settlement	Dismissal	Rejection	Guidance on deliberation	Reply with guidance, etc.
2020	1,521	23	30	228	83	0	444	713
2019	1,377	33	39	266	81	6	309	643

<Table 4-12> Complaints breakdown by sub-sector

(Unit: cases)

Category	Total	Defense	Patriots and veterans affairs	Military	Others
2020	23	1,120	327	68	6
2019	25	1,003	303	60	11

<Table 4-13> Breakdown of recommendations for redress

(Unit: cases)

Category	Total	Defense	Patriots and veterans affairs	Military
2020	23	15	8	0
2019	33	22	9	2

<Table 4-14 > Breakdown of opinion statements

(Unit: cases)

Category	Total	Defense	Patriots and veterans affairs	Military
2020	30	13	16	1
2019	39	31	8	0

<Table 4-15 > Breakdown of resolution through settlement/mediation

(Unit: cases)

Category	Total	Defense	Patriots and veterans affairs	Military
2020	228	206	13	9
2019	266	216	37	13

3. Police

The police sector consists of the sub-sectors of investigation, traffic, public safety, and general police affairs. The investigation sector addresses complaints related to unlawfulness and unfairness in the investigation procedures/processes such as delayed investigations, or unfairness caused by biased investigations. The traffic sector addresses complaints related to unlawfulness and unfairness in the traffic accident investigation procedures, objection to traffic enforcements or dispositions regarding driver's licenses, and improvement of traffic safety facilities. The public safety section addresses complaints related to crime prevention, such as CCTV installation or patrol reinforcement, reporting to and dispatch of the police, and unkindness of police officers. The

general police affairs sector addresses complaints related to service of conscripted police officers, safety of the coast guards, and police administration.

In 2020, 1,784 cases of grievance complaints were addressed. In terms of sub-sectors, complaints in the investigation sector increased by 46.2% to 825 cases and by 31.3% to 558 cases in the general police affairs sector, up 16.6% increase (254 cases) from the previous year. As for the type of complaint handling outcomes, recommendations for redress accounted for 1.9% (34 cases), opinion statements 2.9% (52 cases), mediation/settlement 2.1% (37 cases), and guidance on deliberation 25.9% (463 cases).

<Table 4-16> Complaints breakdown by sub-sector

(Unit: cases)

Category	Total	Investigation	Traffic	Public safety	General police affairs	Others
2020	1,784	825	290	68	558	43
2019	1,530	782	321	59	365	3

<Table 4-17> Complaints breakdown by handling outcome

(Unit: cases)

Category	Total	Recommendations for redress	Opinion statements	Mediation/Settlement	Rejection	Dismissal	Guidance on deliberation	Transfer/Referral	Closed through withdrawal, etc.
2020	1,784	34	52	87	28	148	468	475	492
2019	1,530	45	34	168	52	145	210	210	666

<Table 4-18> Breakdown of recommendations for redress and opinion statements

(Unit: cases)

Category	Total	Local Police Agencies, etc.	Others
2020	86	85	1
2019	79	77	2

<Table 4-19> Breakdown of resolution through mediation/settlement

(Unit: cases)

Category	Total	Investigation					Open					Public safety	General police affairs	Others
		Subtotal	Call for investigation	Investigation procedures	Biased investigation	Others	Subtotal	Traffic accident	Driver's license	Traffic facilities	Others			
2020	87	21	1	5	1	14	36	6	6	23	1	7	23	-
2019	168	51	3	10	9	29	62	11	18	33	-	18	37	-

4. Welfare/Labor/Broadcasting Communication

The welfare/labor/broadcasting communication sector is categorized into the following sub-sectors: (a) the health and welfare sector addressing grievance complaints related to social welfare, health care, medical administration, pharmaceutical administration, women and family affairs, food, health insurance, and national pension; (b) the employment and labor sector addressing grievance complaints addressing labor standards, labor-management policy, industrial accident insurance and guarantee of job security, job training, employment insurance, and wage claims; and (c) the broadcasting communication sector addressing grievance complaints related to landline and wireless phones as well as the Internet.

<Table 4-20 > Grievance complaints breakdown by sub-sector

(Unit: cases)

Category	Total	Health and welfare	Employment and labor	Broadcasting communication
2020	2,296	1,150	930	216
2019	1,628	822	639	163

As shown in the below table of the breakdown by handling outcome, there were 31 cases of recommendations for redress (including recommendations for institutional improvement), 49 cases of opinion statements (including opinion statements for institutional improvement) and 210 cases of resolution through settlement/mediation.

<Table 4-21> Grievance complaints breakdown by handling outcome

(Unit: cases)

Category	Total	Recommendations for redress	Opinion Statements	Resolution through settlement	Resolution through mediation	Rejection	Dismissal	Guidance on deliberation	Transfer/Referral	Closed	Closed through withdrawal
2020	2,296	31	49	208	2	0	57	223	1,362	85	279
2019	1,628	16	46	175	1	6	36	126	472	634	116

<Table 4-22> Breakdown of recommendations for redress

(Unit: cases)

Category	Total	Health and welfare	Employment and labor	Broadcasting communication
2020	31	23	8	-
2019	16	12	4	-

<Table 4-23> Breakdown of opinion statements

(Unit: cases)

Category	Total	Health and welfare	Employment and labor	Broadcasting communication
2020	49	25	23	1
2019	46	30	15	1

<Table 4-24> Breakdown of resolution through mediation/settlement

(Unit: cases)

Category	Total	Health and welfare	Employment and labor	Broadcasting communication
2020	208	116	49	43
2019	175	94	25	56

5. Finance/Tax Affairs

The finance/tax affairs sector is categorized into the following sub-sectors: (a) the finance sector addressing complaints related to state-owned properties, financing, insurance, securities, fair trade,

tobacco, and procurement; and (b) the tax affairs sector addressing complaints related to national taxes, customs, and local taxes.

The number of complaints handled in 2020 decreased by 16.7% compared to 2019, with a 2.7% decrease in the finance sector and a 22.7% decrease in the tax affairs sector.

<Table 4-25> Complaints breakdown by sub-sector

(Unit: cases)

Category	Total	Finance	Tax affairs
2020	1,340	469	871
2019	1,610	482	1,128

<Table 4-26> Complaints breakdown by handling outcome

(Unit: cases)

Category	Total	Recommendations for redress	Opinion statements	Mediation/Settlement	Rejection	Indecision on deliberation	Dismissal	Transfer/Referral	Closed through withdrawal
2020	1,340	67	20	152	-	320	77	46	658
2019	1,610	83	12	189	11	475	135	38	667

<Table 4-27> Breakdown of recommendations for redress

(Unit: cases)

Category	Total	Central government agencies				Local government agencies					Public institutions	Constitutional agencies
		Subtotal	National Tax Service	Korea Customs Service	Others	Subtotal	Seoul	Gyeonggi	Busan	Others		Court
2020	67	47	45	0	2	11	0	3	0	1	9	0
2019	83	69	65	0	4	8	11	18	33	5	6	0

<Table 4-28> Breakdown of resolution through settlement

(Unit: cases)

Category	Total	Finance	Tax affairs
2020	152	29	123
2019	189	25	164
Increase/Decrease	△37 (△19.5%)	4 (16.0%)	△41 (△25.0%)

6. Industry/Agriculture and Forestry/Environment/Maritime Affairs

The industry/agriculture and forestry/environment/maritime affairs sector is categorized into the following sub-sectors: (a) the industrial resources sector addressing complaints related to general administrative affairs in commerce, patents, electricity, petroleum, mining, city natural gas, and postal services; (b) the agriculture and forestry sector addressing complaints related to agriculture, stock raising, food policy, National Agricultural/Livestock Cooperative Federation, and forestry administration; (c) the environment sector addressing complaints related to pollution, waste, water supply sources, drinkable spring water, national parks, and water supply and sewerage; and (d) the maritime and fisheries affairs addressing complaints related to maritime and fisheries, National Federation of Fisheries Cooperatives, and marine transport and ports.

In 2020, the number of complaint cases handled was 833, a 3.5% (31 cases) decrease from 2019. The complaints were filed across many different sectors, with the industrial resources sector accounting for 28% (236 cases), the agriculture and forestry sector 37% (309 cases), the environment sector 31% (255 cases), the maritime and fisheries affairs 2% (19 cases), and others 2% (14 cases).

As for the type of complaint handling outcomes, recommendations for redress represent 3% (26 cases), opinion statements 6% (48 cases) and mediation/settlement 12% (103 cases), with the cases where the petitioner's request was accepted accounting for 21% (177 cases) and the unaccepted cases 79% (656 cases) including rejection, withdrawal and guidance on deliberation.

<Table 4-29> Complaints breakdown by sub-sector

(Unit: cases)

Category	Total	Industrial resources	Agriculture and forestry	Maritime and fisheries affairs	Environment	Others
2020	833	236	309	19	255	14
2019	864	363	320	9	152	20

<Table 4-30> Complaints breakdown by handling outcome

(Unit: cases)

Category	Total	Recommendations for redress	Opinion statements	Mediation/Settlement	Rejection	Dismissal	Guidance on deliberation	Transfer/Referral	Reply with guidance	Withdrawal/Closed
2020	833	26	48	103	1	53	121	53	331	97
2019	864	23	33	117	1	66	197	5	0	422

<Table 4-31> Breakdown of recommendations for redress

(Unit: cases)

Category	Total	Central government agencies			Local government agencies									State-invested enterprises				
		Korea Forest Service	Ministry of Agriculture, Food and Rural Affairs	Ministry of Trade, Industry and Energy	Seoul	Gyeonggi	Incheon	Gangwon	Chungcheong	Jeolla	Gyeongsang	Jeju	Busan	Korea Rural Community Corporation	Korea Land & Housing Corporation	Board of Audit and Inspection	Korea National Park Service	Others
2020	26	1	0	1	0	4	0	3	6	1	3	0	1	0	2	1	1	2
2019	23	2	1	0	2	5	0	2	0	2	2	0	0	4	1	0	0	2

<Table 4-32> Breakdown of resolution through mediation/settlement

(Unit: cases)

Category	Total	Industrial resources	Agriculture and forestry	Environment	Maritime and fisheries affairs	Others
2020	103	48	39	11	3	2
2019	117	40	48	20	5	4

7. Housing/Construction

The housing/construction sector is categorized into the following sub-sectors: (a) the housing administration sector addressing complaints related to housing construction projects, supply and management of public rental housing, management of the National Housing Fund, housing and lease management, residential environment improvement projects, redevelopment/reconstruction projects, establishment of housing cooperatives, and real estate transactions; and (b) the

construction administration sector addressing issues related to construction permit/registration, approval/change of use of buildings, management of building registers, enforcement fine/execution by proxy regarding illegal buildings, and construction/technical licenses.

The number of grievance complaints received and handled in 2020 was 891, a 13.5% (139 cases) decrease from the previous year. In terms of categories, there were 606 cases of housing-related complaints, down 9.8% (66 cases) from the previous year. The number was 285 in the construction sector, a 20.4% (73 cases) decrease compared to the previous year.

As for the type of complaint handling outcomes, the number of cases where the petitioner's request was accepted was 281 (31.5%), with 12 recommendations for redress, 92 opinion statements and 177 cases of mediation/settlement. There were a total of 610 unaccepted cases (68.5%): 1 case of rejection, 21 cases of dismissal, 265 cases of guidance on deliberation, 24 cases of transfer/referral and 299 cases closed through withdrawal.

<Table 4-33> Complaints breakdown by sub-sector

(Unit: cases)

Category	Total	Housing	Construction
2020	891	606	285
2019	1,030	672	358

<Table 4-34> Complaints breakdown by handling outcome

(Unit: cases)

Category	Total	Recommendations for redress	Opinion statements	Mediation/Settlement	Rejection	Dismissal	Guidance on deliberation	Transfer/Referral	Reply with guidance	Closed through withdrawal
2020	891	12	92	177	1	21	265	24	-	299
2019	1,030	28	52	303	24	65	189	107	-	262

8. Urban Development/Water Resources

The urban development sector is categorized into sub-sectors: (a) urban planning projects addressing issues related to compensation, migration policy, support for livelihood and housing site supply for negotiated transferor, i.e. the issues that arise from urban/housing site development projects and public housing projects; and (b) the urban management planning sector addressing issues related to decisions on urban planning facilities (e.g. traffic facilities, spacial facilities and noise management measures), the management of development restriction zones, and the management of the development permit system. The water resources sector addresses issues related to state-managed rivers and dams.

The number of grievance complaints received and handled in 2020 was a total of 973, with 831 cases in the urban development sector, 129 cases in the water resources sector and 13 cases in the others sector. As for the type of complaint handling outcomes, the number of recommendations for redress was 39, a 25% decrease from the previous year, and that of opinion statements was 44, up 26% from a year earlier.

<Table 4-35> Grievance complaints breakdown by sub-sector

(Unit: cases)

Category	Total	Urban development	Water resources	Others
2020	973	831	129	13
2019	1,429	1,265	163	1

<Table 4-36 > Grievance complaints breakdown by handling outcome

(Unit: cases)

Category	Total	Recommendations for redress	Opinion statements	Mediation/Settlement	Rejection	Dismissal	Guidance on deliberation	Transfer/Referral	Reply with guidance	Closed through withdrawal
2020	973	39	44	83	2	30	447	164	-	164
2019	1429	52	35	138	21	49	306	500	-	328
Increase/Decrease	△456	△13	9	△55	△19	△19	141	△336	-	△164

<Table 4-37> Breakdown of resolution through mediation/settlement

(Unit: cases)

Category	Total	Urban development	Water resources	Others
2020	83	65	16	2
2019	138	111	27	-

9. Traffic/Roads

The traffic/road sector is categorized into the following sub-sectors: (a) the traffic sector addressing complaints related to damage relief of safety accidents involving land transportation (bus, taxi, truck, etc.), air transport, railroad, subway, etc., license/registration (de-registration, cancellation of seizure, etc.), challenges to the imposition of various fines due to parking and stoppage enforcement or other car-related issues, compensation for residual land due to railroad construction, and damage compensation; and (b) the road sector addressing complaints related to compensation for residual land due to road construction, challenges to appraisal, damage compensation, ramp construction, challenges to road occupation and fees/compensations thereof, and soundproof walls.

The number of complaints handled in the traffic/road sector in 2020 was 1,574, up 36% (418 cases) from the previous year. By breakdown, the complaints in the traffic sector increased 24.1% (102 cases) and those in the road sector increased 41.5% (303 cases).

<Table 4-38 > Complaints breakdown by sub-sector

(Unit: cases)

Category	Total	Traffic	Road	Others (Other sector)
2020	1,574	526	1,034	14
2019	1,156	424	731	1

As for the type of complaint handling outcomes, the number of cases where the petitioner's request was accepted, — recommendations for redress, opinion statements and resolution

through mediation/settlement — was 375, accounting for 25.5% of the entire 1,574 cases handled in 2020, up 3.6%p from 21.9% of the previous year.

<Table 4-39> Complaints breakdown by handling outcome

(Unit: cases)

Category	Total	Recommendations for redress	Opinion statements	Mediation/ Settlement	Dismissal	Guidance on deliberation/ Rejection	Transfer/ Referral	Closed through withdrawal
2020	1,574	23	49	303	81	651	306	161
2019	1,156	6	27	220	109	378	163	253

There were 23 cases of recommendations for redress — cancellation, change, improvement or implementation — of unlawful and unjust dispositions imposed by administrative agencies (including factual act and omission), a 283% increase (17 cases) from 6 cases of the previous year. The number of opinion statement cases, where requests for reasonable improvement measures are raised against irrational dispositions of administrative agencies, was 49, an 81.5% increase (22 cases) from 27 of the previous year, indicating a remarkable increase in the acceptance rate.

<Table 4-40 > Breakdown of resolution through mediation/settlement

(Unit: cases)

Category	Total	Traffic	Road
2020	303	82	221
2019	220	60	160

10. Business Complaints

The ACRC newly established the Business Complaints Team in December 2017 with an aim to address difficulties and grievances faced by businesses in a more prompt and professional manner. The commission is also committed to providing active support for the Presidential agenda of creating a business-friendly environment and creating quality jobs based on its powers and functions related to grievance handling, corruption prevention and institutional improvement as well as its accumulated experience in resolving grievance complaints for the public with a focus on resolving real-life problems faced by the people.

<Table 4-41> Business complaints breakdown by handling outcome

(Unit: cases)

Category	Complaints breakdown by handling outcome								
	Total	Recommendations for redress	Opinion statements	Mediation/Settlement	Guidance on deliberation	Rejection/Dismissal	Transfer/Referral	Reply with guidance	Closed through withdrawal
2020	271	12	30	56	79	25	3	-	66
2019	372	6	11	114	112	21	11	63	34

Business complaints are filed for various reasons across business activities: approval/permission of a range of development projects, establishment of factories, public contracts (construction, supplies, service, etc.), unfair trade, support/loans for business funds (small-and-medium-sized enterprises, micro-enterprises, start-ups, etc.), and unfair practices of contractors (franchising, large-scale retailers, agents, monopoly, etc.).

The number of grievance complaints received and handled by the Business Complaints Team in 2020 was 271, a 27.1% decrease (101 cases) from the previous year. The commission accepted the requests of the petitioners in 98 cases (36.2%) with 12 recommendations for redress, 30 opinion statements and 56 cases of mediation/settlement, while the number of unaccepted complaints was 173 (63.8%), with 25 cases of rejection/dismissal, 79 cases of guidance on deliberation, 3 cases of transfer/referral and 66 cases closed through withdrawal.

<Table 4-42> On-site meetings on business complaints in 2020

(Unit: cases)

Category	Total	Resolved					Guidance	In progress				Resolution rate (%)
		Subtotal	Grievance complaints	Institutional improvement	Policy recommendations	On-site consultation		Subtotal	Grievance complaints	Institutional improvement	Policy recommendations	
2020	75	26	4	4	7	11	-	49	-	10	39	34.7
2019	185	75	9	1	40	25	43	67	12	6	49	40.5

For the cases in need of additional review and/or investigation, the ACRC handles those cases by receiving the requests as grievance complaints, and delivers policy recommendations to relevant agencies for comprehensive review. In 2020, a total of 75 recommendations were received at on-site meetings on business complaints, with 26 cases (34.7%) resolved and 49 cases now in the process of handling.



Part 05

Handling Administrative Appeals
in a Fair and Prompt Manner



Chapter 1.

The Administrative Appeals System

Section 1 Overview of Administrative Appeals

1. Main Purposes of Administrative Appeals

Administrative appeals are aimed at protecting people's rights and interests while establishing internal control within administrative agencies. The former is about protecting the rights and interests of individuals violated by unlawful or unjust administrative actions. The latter is to ensure legitimacy and rationality of administrative actions by providing administrative agencies with opportunities to correct their own errors.

A. Protecting people's rights and interests

The primary mission of the administrative appeals system is to protect people's rights and interests from unlawful or unjust dispositions imposed by administrative agencies. Unlike administrative litigation, administrative appeals are a more efficient system in that they allow the petitioner to request the administrative agency to take active measures through evaluation of unfairness or appeals on obligation performance.

B. Internal control within administrative agencies

Establishing internal control within administrative agencies allow them to have autonomy and adequacy of administration by evaluating whether the dispositions they imposed are unlawful or unjust.

C. Improving administrative efficiency and expertise

In today's administrative environment where speed is required, it is reasonable to opt for administrative appeals as a means to promptly resolve disputes before going through judicial procedures. Administrative appeals are quick and simple, contributing to improving the public's convenience and ensuring administrative efficiency. They also allow for fair and accurate protection of people's rights and interests based on the expertise of administrative agencies.

2. Characteristics of the Administrative Appeals Commissions

A. Deliberative/Adjudicative agency

Administrative appeals commissions are a board-style adjudicative agency with the authority to deliberate and adjudicate on cases on appeals. They judge and decide on the arguments of the parties from a third-party perspective based on evidential examination and a review of related statutes.

B. Board-style administrative agency

Administrative appeals commissions are a board-style agency where the meetings open with the attendance of a majority of the members and a resolution is adopted with the concurring vote of a majority of those present. To ensure objectivity and neutrality of composition of the members, non-standing members from the private sector such as lawyers and professors who are not public officials are also included.

C. Quasi-judicial administrative agency

The Administrative Appeals Act applies a range of elements in the procedure laws to the deliberation and adjudication of appeal cases: intervention of interested persons; disqualification of, challenge to, and voluntary refrainment by the commission members; appointment of agents; and various measures for evidential examination.

D. Ad-hoc agency

While administrative appeals commissions play a central role in the administrative appeals system, they are not a permanent agency. The members are convened for meetings on an ad-hoc basis for deliberation and adjudication when the petitioner files an appeal case.

3. Types of Administrative Appeals Commissions

A. Central Administrative Appeals Commission

Established under the umbrella of the ACRC, the Central Administrative Appeals Commission deliberates and adjudicates on appeal cases related to the disposition or omission of the agencies below:

- The head of a state administrative agency, or its subordinate administrative agency
- A Special Metropolitan City Mayor, a Metropolitan City Mayor, a Special Metropolitan Autonomous City Mayor; a Do [Province] Governor, a Special Self-Governing Province Governor
- The superintendent of education or the Assembly of a Special Metropolitan City, a Metropolitan City, a Special Metropolitan Autonomous City, a Do [Province], or a Special Self-Governing Province
- Other administrative agencies jointly established by the state, local governments, public corporations, etc.

The Central Administrative Appeals Commission consists of no more than 70 members including the Chairperson, with no more than 4 standing commissioners (currently 3 persons). One of the Vice Chairpersons of the ACRC also serves as the Chairperson of the Central Administrative Appeals Commission. In a case where the Chairperson is absent or is unable to perform his/her duty because of inevitable circumstances, or where he/she deems it necessary, a standing member (in order of seniority of service as a standing member, and in cases of equal seniority of service, in order of their age) shall act on the Chairperson's behalf.

The meetings of the Central Administrative Appeals Commission shall be comprised of 9 persons,

including the Chairperson, standing members, and non-standing members designated by the Chairperson for each meeting. The Central Administrative Appeals Commission shall adopt a resolution with the attendance with the attendance of a majority of the members and by the concurring vote of a majority of those present.

B. City/Do [Province] Administrative Appeals Commissions

Administrative appeals commissions are established under the jurisdiction of a Special Metropolitan City Mayor, a Metropolitan City Mayor, a Special Metropolitan Autonomous City Mayor, a Do [Province] Governor, or a Special Self-Governing Province Governor to deliberate and adjudicate on the appeals filed against the disposition or omission by administrative agencies under the jurisdiction of a City/Do [Province], the head of a Si [City]/Gun [County] /autonomous Gu [District] located under the jurisdiction of a City/Do [Province], its subordinate administrative agency, or the Assembly of a Si [City]/Gun [County]/autonomous Gu [District], or an administrative agency jointly established by at least two local governments and a public corporation, etc. under the jurisdictions of a City/Do [Province]. They are also board-style administrative agencies like the Central Administrative Appeals Commission.

C. Other administrative appeals commissions

In addition to the Central Administrative Appeals Commission and the 17 City/Do [Province] Administrative Appeals Commissions, there are other administrative appeals commissions subject to the Administrative Appeals Act under the jurisdiction of the 17 City/Do [Province] Offices of Education, 6 High Prosecutors' Offices, 4 Regional Corrections Headquarters, the Board of Audit and Inspection, the National Intelligence Service, the Presidential Secretariat, the Korea Communications Commission, the National Assembly Secretariat, the Office of Court Administration, the Constitutional Court Secretariat, the National Election Commission Secretariat, and the National Human Rights Commission of Korea.

D. Specialized administrative appeals agency

Article 4(1) of the Administrative Appeals Act states that if it is necessary given the extraordinary

and exceptional nature of a specific case, other acts may provide for a specialized administrative insubordinate procedure that substitutes an administrative appeal under the Act, or for any exceptional case of the administrative appeals procedure under the Act. The leading examples include administrative appeals related to taxation, patents, land expropriation and use, dispositions on personnel affairs, unfair labor practices, and a range of insurance benefits including the national health insurance benefits.

Section 2 Operation of the Administrative Appeals System

1. Active and Warm-hearted Approaches

A. Court-appointed defense counsels

The ACRC pushed forward the with the introduction of the court-appointed defense counsel system in an administrative appeal. The system that has been in effect since November 1, 2018, allowing the appellant to request the commission to appoint a court-appointed counsel if he/she fails to appoint a representative due to his/her lack of financial capability. Upon request, the Chairperson of the administrative appeals commission appoints a representative for the appellant to handle the tasks related to the administrative appeal on behalf of the appellant free of charge. Those who are eligible to request the appointment of a court-appointed defense counsel are as follows: a recipient of the national basic livelihood security grants; a recipient of the basic pension; a person eligible for support for single-parent family; a recipient of the disability pension; a person eligible for protection under the North Korean Refugees Protection and Settlement Support Act; and other persons acknowledged by the Chairperson of the administrative appeal commission as lacking the financial capability to appoint a representative.

B. Mediation of Administrative Appeals

With administrative agencies having difficulties adjusting to rapid changes in today's society, there has been a dramatic increase in the types and scale of disputes involving citizens and administrative agencies. Given this backdrop, it is not surprising that as a system aimed at resolving public disputes within the executive branch, there are limits to administrative appeals which by

design produce only either the appellant or the appellee to have a satisfactory outcome.

The ACRC pushed for the amendment of the Administrative Appeals Act to establish mediation in administrative appeals to address the appeal cases in a prompt and fair manner within the rights and powers of the parties involved. With the promulgation of the amended Administrative Appeals Act in October 2017, the mediation system has been under implementation since May 1, 2018. This year, the Central Administrative Appeals Commission resolved 15 administrative appeal cases through mediation between the parties involved.

2. Administrative Appeals in a Visiting Format

A. Administrative Appeals Circuit

Held for the first time in Daejeon Metropolitan City and Daegu Metropolitan City in 2014, the Administrative Appeals Circuit is part of the administrative appeals services in a visiting format where the commissioners visit the appellant in person when he/she is unable to attend the hearing. In 2014, a subcommission consisting of 4 commissioners was held as a pilot. The Administrative Appeals Circuit was expanded in 2015, with the Central Administrative Appeals Commissions relocated to the Government Complex Sejong. In 2019, the Main Commission, a plenary meeting of the Central Administrative Appeals Commission was held in Daegu Metropolitan City instead of Sejong City for the first time, which is an example of a wider implementation of the Administrative Appeals Circuit on a sustained basis. In 2020, the ACRC held 3 rounds of Administrative Appeals Circuits in 2020 — 2 in Seoul and the metropolitan areas and 1 in the southwestern region of Korea — in full compliance with COVID-19 social distancing measures.

B. Evidential examination on the case site

Deliberating and deciding on hundreds of cases every week, the Central Administrative Appeals Commission handles more cases in written hearings than oral hearings. For a better handling of appeal cases, the investigators in charge of review are actively engaging in evidential examination by visiting the place to which the case is related for an in-depth investigation on the facts. In 2020, they conducted nearly 260 cases of visiting evidential examination.

C. Fair and transparent adjudication on a case of social significance

At a commission meeting held in the Administrative Courtroom at the Government Complex Sejong on December 29, 2020, the Central Administrative Appeals Commission recognized that regarding the case requesting for the notification cancellation of the dissenting opinion on the Environment Impact Assessment conducted for the installation of a cable car system on Mt. Seorak, the dissent of the head of Wonju Regional Environmental Office was unlawful and unjust.

Over the years, Yangyang County and the Wonju Regional Environmental Office have had differing opinions on this case. From November 4-5, 2020, relevant officials including a standing commissioner of the Central Administrative Appeals Commission visited Yangyang for evidential examination. Attended by a minimum number of relevant personnel on the appellant and appellee sides in compliance with the measures for COVID-19 prevention, an oral hearing was held for an in-depth deliberation on this case, which lasted from 10 a.m. to 10 p.m.

In accordance with Article 49 of the Administrative Appeals Act, a ruling recognizing an appeal binds the appellee and other relevant administrative agencies involved in the case, and thus, the Wonju Regional Environmental Office is obliged to make a disposition in a way that fulfills the purpose of the decision of the Central Administrative Appeals Commission.

3. Engagement and Cooperation with Agencies Related to Administrative Appeals and Improvement of Employee Competence

A. Professional training for administrative agencies on a sector basis

The ACRC has been developing new training courses in pace with changing needs, incorporating the newly established systems such as mediation and court-appointed defense counsel into the curriculum. The commission also came up with an introductory course on administrative appeals for working-level officials, which is conducted online to meet the demand for training on the subject while contributing to the efforts to curb the coronavirus. The ACRC is planning to step up non-face-to-face professional training in 2021 by creating micro-learning videos to maximize the effects of the courses it offers.

B. Engagement and cooperation with City/Do [Province]/Specialized Administrative Appeals Commissions

Over the years, the Central Administrative Appeals Commission has been occasionally holding policy meetings with 17 City/Do [Province] Administrative Appeals Commissions since 2011.

In 2019, the Central Administrative Appeals Commission held 8 regional meetings with the working-level officials at the 17 City/Do [Province] administrative appeals commissions to formulate an official consultative body, and has been implementing a personnel exchange program between the Director General-level officials at the ACRC and the chief administrative judge-level officials at the Intellectual Property Trial and Appeal Board since 2019. As a solid foundation for future cooperation, the program is providing opportunities for the agencies to share and learn from each other's appeal systems.

C. Operation of expert training courses on administrative appeals

With an aim to improve the expertise of officials in charge of reviewing administrative appeal cases to enhance their performance and shorten the adjudication period, the ACRC has been implementing expert training courses on administrative appeals since 2011 as part of the ACRC Academy program. In 2020, the focus was placed on providing customized training for appeal investigators, offering courses on practical skills required in the process of litigation on a sector basis such as business permit, driver's license and information protection, as well as a wide range of legal courses related to administrative appeal cases including administrative laws and labor laws. In an effort to cater to the different needs of each investigator, the ACRC allowed them to choose and take the courses they needed, while newly developing a non-face-to-face online training course, i.e. an introductory course on administrative appeals for working-level officials.

4. Engagement and Communication Efforts

A. The 5th Mock Administrative Appeals Competition

First hosted in 2016, the Mock Administrative Appeals Competition provides an opportunity for law

school students to experience administrative appeals, which is a leading mechanism protecting people's rights and interests, so that they have a better understanding about what it is like to work for that goal. It also helps the public become more familiar with the system. In 2020, the competition was held online and participated by 22 teams of 106 students from 14 law schools across the country.

B. Online/Offline publicity

The ACRC stepped up its publicity activities both online and offline using a range of channels to familiarize the public with the administrative appeals system. In 2020, a particular emphasis was placed on encouraging the users to file administrative appeals online as part of the efforts to realize the vision of an e-government by reducing unnecessary paperwork. The rate of online usage for 68 administrative appeal agencies reached 39.7%, which is the highest ever recorded.





Chapter 2.

Performance of the Central Administrative Appeals Commission

Section 1 Receipt and Handling of Administrative Appeal Cases

In 2020, 22,367 cases of administrative appeal cases were received by the Central Administrative Appeals Commission, down by 1,709 cases from the previous year. The number of general cases decreased by 2,496, whereas that of patriots and veterans affairs cases and driver's license-related cases increased by 36 and 751, respectively. The number of cases handled increased by 1,193 from a year earlier to 22,727. As for general cases and patriots and veterans affairs cases, the number decreased by 468 and 68, respectively, while that of driver's license-related cases rose by 1,498.

<Table 5-1> Receipt and handling of appeal cases over the past 7 years

(Unit: cases)

Year	Receipt	Deliberation/Resolution				Acceptance rate (%)	Withdrawal/ Transfer
		Total	Acceptance	Rejection	Dismissal		
2014	25,301	25,270	4,131	19,164	1,975	16.3	1,068
2015	24,425	24,947	3,933	18,627	2,387	17.4	1,433
2016	26,730	26,080	3,901	19,315	2,864	16.8	1,699
2017	27,918	25,775	3,584	19,105	3,086	15.8	1,307
2018	23,043	25,153	3,814	18,928	2,411	16.8	1,401
2019	24,076	21,534	1,567	14,166	5,801	10.0	1,271
2020	22,367	22,727	1,573	16,783	4,371	8.6	1,094

Section 2 Analysis on a Category Basis

Looking at the cases received by the Central Administrative Appeals Commission in 2020 by category, driver's license-related cases account for 63.8% (14,277 cases), general cases 30.2% (6,762 cases) and patriots and veterans affairs cases 5.9% (1,328 cases).

The fact that driver's license-related cases account for the largest percentage of the entire cases received seems to be mostly attributable to the Road Traffic Act, which stipulates that those who refuse to accept the disposition taken on the cases in this category shall undergo an adjudication in an administrative appeal before filing administrative litigation. In addition, the amended Road Traffic Act which has been in effect since June 25, 2019, has lowered the legal blood alcohol limits and reinforced punishment for drunk driving, serving as another factor that has increased the number of cases of driver's license revocation, which would have just ended up with driver's license suspension before the changes in the blood alcohol limits.

<Table 5-2> Receipt of cases by category

(Unit: case, %)

Category	Driver's license-related cases		Patriots and veterans affairs cases		General cases	
	Receipt	Percentage	Receipt	Percentage	Receipt	Percentage
2018	16,827	73.0	1,304	5.7	4,912	21.3
2019	13,526	56.2	1,292	5.4	9,258	38.4
2020	14,277	63.8	1,328	5.9	6,762	30.2

1. General Cases

General cases refer to other cases than the ones related to driver's license and patriots and veterans affairs, such as employment and labor, information disclosure, defense, legal affairs, land and transport, various examinations, health and welfare, school violence, finance, and the environment and culture.

The number of cases handled in 2020 was 7,139, down 6.2% (468 cases) from the previous year. What is notable is that the number of dismissed cases significantly increased from the average of around 2,300 in 2018 and before to 5,588 in 2019 and 4,074 in 2020. This is primarily because of certain groups of appellants indiscriminately and repeatedly filing a massive number of appeal cases against a range of administrative agencies when the cases actually amount to civil complaints. Recognizing the need to establish measures to deal with ill-intentioned appellants who file a massive number of cases by taking advantage of the fact that it does not cost to initiate an administrative appeal, the ACRC explored a number of approaches with the National Assembly to address this issue. And the amendment bill of the Administrative Appeals Act was proposed to prevent the misuse of the administrative appeals system, which is now pending in the National Assembly. The ACRC also conducted a public survey through People's Idea Box on the measures to prevent repetitive filing of administrative appeals, where 83.7% of the respondents acknowledged the need for the ex officio authority to restrict or close (i.e. dismiss) such cases.

<Table 5-3> Receipt and handling of general cases

(Unit: cases)

Category Year	Number of cases received	Number of cases handled			
		Total	Acceptance (Acceptance rate)	Rejection	Dismissal
2018	4,912(21.3%)	5,251	596(19.1%)	2,530	2,125
2019	9,258(38.4%)	7,607	297(14.7%)	1,722	5,588
2020	6,762(30.2%)	7,139	438(14.3%)	2,627	4,074

Compared to patriots and veterans affairs or driver's license-related cases, it takes a lot of time and personnel to address general cases as they are more difficult to handle and often involve a massive amount of records to be reviewed.

2. Patriots and Veterans Affairs Cases

Patriots and veterans affairs cases are related to requests for recognition as a person of national merit or the bereaved family thereof in accordance with the relevant statutes regarding persons of national merit, persons of distinguished service to national independence, war veterans, and Vietnam veterans exposed to defoliant during the war. The cases are mostly about disputes over

the relevant agencies (i.e. the Ministry of Patriots and Veterans Affairs, Regional Office of Patriots and Veterans Affairs and District Office of Patriots and Veterans Affairs) refusing to register the person in question as a person of national merit.

Compared to general cases, patriots and veterans affairs cases are lower in difficulty and complexity. But the fact that the event in dispute took place long ago, as in the case of the Korean War or the Vietnam War, makes it difficult to clearly establish facts due to the loss of records that may prove the injury. Addressing the cases in this category requires medical and legal expertise to clarify the causality between the injury the appellant claims to have occurred and the official duty he performed.

To address patriots and veterans affairs in a more professional manner, a committee specialized in the matter consisting of medical experts has been established within the Central Administrative Appeals Commission. The ACRC is actively seeking advice or analysis from independent experts as well.

<Table 5-4> Receipt and handling of patriots and veterans affairs cases

(Unit: cases)

Category Year	Number of cases received	Number of cases handled			
		Total	Acceptance (Acceptance rate)	Rejection	Dismissal
2018	1,304 (5.7%)	1,442	53 (3.9%)	1,317	72
2019	1,292 (5.4%)	1,148	40 (3.7%)	1,038	70
2020	1,328 (5.9%)	1,080	36 (3.6%)	974	70

3. Driver's License-related Cases

The cases in this category are related to the disposition to suspend or revoke the driver's license in accordance to the Road Traffic Act. There are nearly 370,000 cases of driver's license suspension and revocation every year, and a massive number of similar appeal cases are being repeatedly filed.

For many appellants of the cases in this category, their driver's license is often closely linked to their jobs, or is a major means to make a living. Compared to general cases or patriots and veterans

affairs cases, the number of appeals filed is much higher for driver's license-related cases. However, they do not have any juridical issue and the subject matter in question (e.g. drunk driving) rarely involves factual disputes.

<Table 5-5> Receipt and handling of driver's license-related cases

(Unit: cases)

Category Year	Number of cases received	Number of cases handled			
		Total	Partial acceptance (Acceptance rate)	Rejection	Dismissal
2018	16,827 (73.0%)	18,460	3,165 (17.3%)	15,081	214
2019	13,526 (56.2%)	12,779	1,230 (9.7%)	11,406	143
2020	14,277 (63.8%)	14,508	1,099 (7.7%)	13,182	227

Driver's license-related cases account for 63.8% of the entire cases received. Until 2018, the rate of accepting the appellant's request remained stable at around 17%, but the number significantly dropped starting in 2019. This is attributable to the partial amendment of the Road Traffic Act on December 24, 2018, which took effect on June 25, 2019. With an increase in social costs incurred by drunk driving and public awareness growing about the seriousness of the issue, there was a heightened request for stricter punishment for those who engage in drunk driving and/or cause accidents under the influence of alcohol, which led to the amendment of the Road Traffic act to lower the blood alcohol limits and extend the disqualification period for drunk drivers. This downward trend in the acceptance rate for the cases in this category is likely to continue into the future.

Section 3 Handling Period

In accordance with Article 45 of the Administrative Appeals Act, an adjudication on a case shall be conducted within 60 days from the date on which the appellee or the commission has received a written appeal. Where unavoidable circumstances arise, the chairperson of the administrative appeals commission may extend the period for another 30 days ex officio to make sure that the case on appeal is handled within 60 days, and 90 days at the latest.⁹⁾

However, there are a certain percentage of cases every year that are adjudicated on past the legal deadline, as a growing number of cases are filed to the Central Administrative Appeals Commission while the number of available personnel to handle those cases is limited. In the case of general cases in particular, which are complex and difficult to handle, the written answer of the appellee is frequently submitted to the commission past the legal deadline of 10 days.

The ACRC explored a range of possible measures with the National Assembly to make sure that the appellees submit their written answer within the designated period. The ACRC proposed a 2020 amendment to the Administrative Appeals Act, which is now pending in the National Assembly, to establish a new provision that allows the commission to specify the hearing date and adjudicate on the case *ex officio* if the appellee fails to submit the written answer even at the commission's request for submission.

The ACRC is committed to continuing to take multiple approaches to shorten the adjudication period, since promptness is just as important as fairness in handling appeal cases.

<Table 5-6 > Yearly breakdown of the handling period

(Unit: cases)

Category	Total number of cases handled	Average adjudication period	Within the designated period		In excess of the designated period
			Within 60 days	61-90 days	In excess of 90 days
2018	25,153	82.61 days	15,774 (62.7%)	3,277 (13.0%)	6,102 (24.3%)
2019	21,534	68.76 days	16,210 (75.3%)	1,723 (8.0%)	3,601 (16.7%)
2020	22,727	88.36 days	14,303 (62.9%)	2,877 (12.7%)	5,547 (24.4%)

9) <Article 45 of the Administrative Appeals Act>

Article 45 (Period for Making Rulings) ① A ruling shall be made within 60 days from the date on which the appellee or the commission has received a written appeal under Article 23: *Provided*, That if unavoidable circumstances exist to the contrary, the chairperson may extend the period for another 30 days *ex officio*.

② If a ruling period is extended under the proviso to paragraph (1), the chairperson shall inform the parties thereof by seven days before the ruling period expires.

Section 4 Oral Hearings

The deliberation of an administrative appeal is conducted orally or in writing. At an oral hearing, the concerned person appears before the commission and make statements for the deliberation. Compared to written hearings, statements made at oral hearings tend to give a more vivid impression and help visualize the matter. It is also easier to establish facts and discover inconsistencies through spontaneous questions and answers. Oral hearings provide an opportunity to directly explain the issue at hand and help facilitate the understanding about what is in dispute, which is why oral hearings are adopted as a general format of deliberation in trials, or official litigation procedures. The Administrative Act allows the appellant to request for an oral hearing, stating that if the party requests for oral hearings, the deliberation shall be conducted orally, except where it is deemed that a decision can be made only through a written hearing.

Section 5 Suspension of Execution and Provisional Disposition

The Administrative Appeals Act stipulates that an administrative appeal shall not adversely affect the effect of a disposition or its execution, or continuation of proceedings. If the commission deems that it is urgent to prevent the appellant from suffering a possible serious loss, it may, ex officio or upon request by the party, decide to suspend the execution.

While suspension of the execution is playing an important role in protecting people's procedural rights, it has intrinsic limitations as it is designed by nature to passively maintain the state prior to the disposition in question, which makes it difficult to address violations of rights and interests caused by a refusal disposition or omission. The Administrative Appeals Act contains articles on provisional disposition to better protect the rights and interests of people which are hard to be redressed through suspension of execution alone.

The commission may issue a provisional disposition where it is strongly suspected that a disposition or omission is illegal and unjust, and thus, it is necessary to prevent a serious disadvantage or urgent danger that might occur to the party to whom a provisional status

is granted. A provisional disposition can be filed if the party is unable to obtain the desired outcome through suspension of execution.

<Table 5-7> Filing and handling outcomes for suspension of execution

(Unit: cases)

Handling Year	Number of cases filed	Handling outcome			Ex officio suspension of execution	Withdrawal/ Transfer
		Acceptance (Acceptance rate)	Rejection	Dismissal		
2018	1,949	293(15.9%)	1,550	48	105	89
2019	1,767	223(14.3%)	1,336	55	89	105
2020	1,788	175(11.1%)	1,401	71	117	91

<Table 5-8> Filing and handling outcomes for provisional disposition

(Unit: cases)

Handling Year	Number of cases filed	Handling outcome			Ex officio suspension of execution	Withdrawal/ Transfer
		Acceptance	Rejection	Dismissal		
2018	46	1(3.0%)	32	9	1	4
2019	37	-	27	6	1	6
2020	41	-	21	9	-	9

Section 6 Cases of Administrative Appeals

1. [2020-4394] Cancellation request regarding the disposition to refuse the claim for refund of the extinguished deposit

【Point in dispute】

Whether the appellant raised an objection to the procedures for extinguishment of claims within the period as stipulated by the Special Act on the Prevention of Loss Caused by Telecommunications-based Financial Fraud and Refund for Loss

【Case overview】

The appellant is the holder of a bank account which was exploited for telecommunications-based financial fraud. On May 22, 2019, the Governor of the Financial Supervisory Service (the appellee) made a public announcement of the commencement of procedures for extinguishment of claims regarding ₩3,579,855 in the account in question. When the appellant's deposit was extinguished two months after the date of announcement, the ₩3,579,855 in the account was paid to a victim who applied for the remedy of damages on July 30, 2019, for the compensation for loss. On August 13, 2019, the appellant requested the appellee to refund the extinguished deposit of ₩3,579,855, to which the appellee responded by issuing a disposition on December 10, 2019, to refuse the claim for refund of the extinguished deposit on the ground that the appellant failed to fulfill all of the requirements for the claim for refund of extinguished claims as stipulated by Article 13(1) of the Special Act on the Prevention of Loss Caused by Telecommunications-based Financial Fraud and Refund for Loss.

【Essence of the adjudication】

The appellant did visit the bank during the period designated for raising an objection, but the bank refused to receive the appellant's request for objection on the ground that the appellant failed to submit objective evidence. Article 7(1) of the Special Act on the Prevention of Loss Caused by Telecommunications-based Financial Fraud and Refund for Loss states that one of the requirements for raising an objection is "[t]he account holder vindicat[ing] the account in question was not used for fraud (subparagraph (1))"; Paragraph 2 of the same article stipulates that "[a] finance company shall receive a formal objection under paragraph (1) where the objection falls under any subparagraph of paragraph (1)." Considering that it is difficult to interpret the term 'receive' as the financial company having the final authority to decide on whether the requirement in question was adequately vindicated and whether to 'accept' the request, it stands to reason that the fact that the appellant raised an objection as stipulated in subparagraph 2 of Article 7(1) of the Special Act on the Prevention of Loss Caused by Telecommunications-based Financial Fraud and Refund for Loss does exist.

Therefore, it should be deemed that the appellant raised an objection regarding the claim for refund of extinguished claims in accordance with Article 13 of the Special Act on the Prevention of Loss Caused by Telecommunications-based Financial Fraud and Refund for Loss; even if that is not the case, the financial company refused to receive the appellant's request on the ground that the account was not proven that it had not been exploited for fraud, which amounts to a case '[w]here there is a justifiable ground why the account holder has failed to raise an objection under Article 7(1);' as stipulated by subparagraph of Article 13(1) of the same Act. Thus, the disposition of this case is unlawful and unjust, which refused the appellant's request even when it fulfilled the requirement as stipulated by Article 13 of the Special Act on the Prevention of Loss Caused by Telecommunications-based Financial Fraud and Refund for Loss.

2. [2020-5949] Cancellation request regarding the disposition to refuse a permit to extend the period of stay

【Point in dispute】

Whether the disposition of this case violated the obligation of notification in an administrative appeal

【Case overview】

The appellant is a foreigner whose nationality is Russian. Having entered Korea with the visa exemption (B-1) status of stay on April 26, 2018, the appellant switched to the miscellaneous (G-1-5) status of stay on June 25, 2018, for the reason of applying for refugee status. On October 31, 2019, the appellee notified the appellant of the decision of non-recognition of refugee status. On February 25, 2020, the appellant requested the appellee to grant a permit to extend the period of stay, to which the appellee responded by issuing a disposition on March 11, 2020, to refuse the permit to extend the period of stay on the ground that the appellant failed to raise an objection and file an administrative appeal within the designated period.

【Essence of the adjudication】

Based on mistaken facts, the disposition of this case is unlawful and unjust considering the followings: the guidelines on this case provided by the Ministry of Justice state that it is possible to grant a permit to extend the period of stay for a refugee applicant (G-1-5) if the period for filing an administrative appeal or administrative litigation regarding the procedures for refugee recognition has not expired; it was not proven that the written notice of this case included any materials that can be deemed to have notified the appellant of the period for filing an administrative appeal, so it seems reasonable from the appellant's perspective to judge that an administrative appeal can be filed within 180 days from October 31, 2019, which is the date of notification of this case; and the appellee issued the disposition of this case on March 11, 2020, on the ground that the appellant did not file an administrative appeal regarding the procedures for refugee recognition within the designated period, even when the period for filing an administrative appeal did not expire at the point of the disposition of this case.

3. [2020-1770] Cancellation request regarding the disposition to refuse the payment of pneumoconiosis consolation benefits

【Point in dispute】

Whether the appellant engaged in dusty work in a workplace performing dusty work, as defined by the Act on the Prevention of Pneumoconiosis and Protection, etc. of Workers from suffering from Pneumoconiosis

【Case overview】

The appellant worked for Company A from December 1, 2012 to January 1, 2013, and was diagnosed with pneumoconiosis on December 28, 2017. On May 8, 2019, the appellant's disability grade was determined to be Grade I, and the appellant received the disability benefit (pneumoconiosis compensation annuity). On July 17, 2019, the appellant requested the appellee to pay the pneumoconiosis consolation benefit in accordance with the Act on the Prevention of Pneumoconiosis and Protection, etc. of Workers from suffering from Pneumoconiosis, to which the appellee responded by issuing a disposition on January 2, 2020, to refuse to pay the pneumoconiosis consolation benefit on the ground that the appellant was not proven to have engaged in dusty work although the workplace of this case was verified to engage in mining.

【Essence of the adjudication】

It is reasonable to acknowledge that the appellant engaged in the work of perforating, cutting or crumbling minerals in the workplace of this case when considering the followings: the parties do not have any objection regarding the fact that the appellant worked at the workplace of this case from December 1, 2012 to January 1, 2013, and the appellant worked for a long time at workplaces performing construction and mining; it is reasonable to infer that the appellant engaged in the work of mining, quarrying and cutting stones at the workplace of this case, when considering that it was proven the appellant did engage in the work of drilling and crushing stones in other workplaces in 2011 and 2014, immediately before and after working for the workplace of this case, and also worked as a 'person in a simple type of employment related to mining' at the workplace of this case; and the written statement submitted by the appellant contains information that is impossible to know unless he performed the actual work in person at the workplace of the case — the appellant's detailed memories about the equipment used to perforate stones, the method and order of the work, characteristics of the workplace of the case, attributes of dust that occurs, etc. This amounts to the work of '[c]utting or processing earth, stones, rocks or minerals' or '[c]rumbling or sorting earth, stones, rocks or minerals,' as defined by Article 1-2(2) and Article 1-2(3) of the Enforcement Decree of the Act on the Prevention of Pneumoconiosis and Protection, etc. of Workers Suffering from Pneumoconiosis, respectively. As such, the appellant is reasonably deemed to have engaged in the 'dusty work' as defined by Article 2(3) of the Act on the Prevention of Pneumoconiosis and Protection, etc. of Workers Suffering from Pneumoconiosis, and thus, the disposition of this case is unjust.



Part 06

Build-up of Policy Feedback through
Engagement with the Public



Chapter 1.

Communication System with People at the Center

1. Materialization of a One-Stop System for Communication

Under the slogan of “No voice left unheard”, the ACRC integrated all of the public communication channels that used to be separately operated by each administrative agency, including those for civil complaints, proposals from the public and policy engagement, and established the e-People system — a communication portal shared by agencies across the government.

Starting with integrating the systems for civil complaints, proposals and policy engagement of 7 central government agencies in August 2005, such systems for all central government agencies were combined in July 2006, and those for local governments and major public institutions were integrated in February 2008. Starting from 2016, the ACRC pushed for a shift towards an integrated system revolving around the e-People system, where all types of civil complaints (i.e. grievances, inquiries, recommendations, etc. except for legal complaints) can be directly processed. As of 2020, the e-People system is used by 1,021 agencies.

2. Improvement of Quality Management of Complaint Services on the e-People System

The ACRC is providing training and consultation on how to handle civil complaints on the e-People system to improve the capability of each agency in addressing civil complaints. The commission is also working to make sure that administrative agencies handle civil complaints in a proper manner by conducting inspections and evaluations on complaint services provided on the e-People system every year for reality check purposes.

The ACRC also introduced the mediation system for complaint ping-ponging in 2015, aimed at improving the practice of agencies passing the buck of addressing complaints, or ping-ponging. The commission has been implementing inspections and monitoring on a sustained basis, working to establish the system by reducing the frequency of adjusting the standard chart for the classification of complaints by type, which serves as a criterion of designating agencies for complaint handling. The chart is now revised every month, instead of every two months as was the case in the past.

Thanks to all these efforts, the percentage of complaints which were transferred (i.e. ping-ponged) for more than three times reduced from 0.57% of the entire complaints received in 2015 to 0.26% in 2020.

3. Multilingual Service on e-People

In June 2008, the ACRC established a channel to receive complaints from foreigners on the e-People system, and started to provide multilingual services in English, Chinese and Japanese. The commission is currently offering complaint services in 14 different languages.

<Table 6-1> Commencement point of complaint services in foreign languages

Commence-ment point	Jun. 2008	Dec. 2009	Jun. 2010	Nov. 2010	Feb. 2011	May. 2011	Sep. 2011	Nov. 2011	Dec. 2012	Nov. 2013	Jun. 2016
Language	English Chinese Japanese	Vietna-mese	Mon-golian	Indo-nesian	Thai	Uzbek	Bengali	Cam-bodian	Sinha-lese	Nepali	Russian Burmese

<Table 6-2> Yearly number of complaints received in foreign languages

2011	2012	2013	2014	2015	2016	2017	2018	2019	2020
724 cases	800 cases	1,230 cases	905 cases	1,370 cases	1,561 cases	1,683 cases	1,630 cases	6,346 cases	24,642 cases

When Koreans living abroad and foreigners living in Korea without access to the Korean language file a complaint in their first language via this channel on the e-People system, the agency in charge

addresses the complaint and notifies the petitioner of its handling outcome in a translated version. The system is fulfilling its purpose of facilitating international cooperation based on complaint handling in this globalized world, and was granted a national patent in 2014 in recognition of its innovativeness.

4. Groundwork for Public-Private Cooperation Online

e-People has a channel for proposals from the public to improve the quality of administrative services and the way the government performs its tasks by reflecting the ideas proposed by ordinary citizens on addressing inconveniences they face in their daily lives. Such proposals can be made both online and offline, and are shared by agencies across the government to deliver administrative services in a proactive manner to place people's needs at the center of public administration.

In addition to the yearly inspection on the proposals from the public, the ACRC is providing major performance indicators of each agency on a quarterly basis, so that they can monitor their service quality and resolve problems at an early stage.

In an effort to actively live up to the public's expectations of policy engagement, the ACRC also established People's Idea Box (idea.epeople.go.kr) in 2016, a communication platform with a focus on a mobile format to address problems with the existing communication system while exploring policy alternatives based on collective intelligence.

One of the major achievements of People's Idea Box in 2020 was public campaigns about issues where little efforts can make a big difference in people's daily lives, which were successful in attracting a lot of attention and public participation, including one implemented with private and administrative agencies to put a pictogram saying 'Guide Dogs Are Welcome Here,' and the 'Plastic Diet for Zero Carbon' campaign.

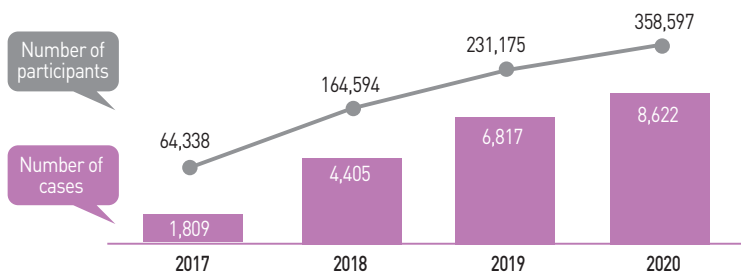


○ [Figure 6-1] Public campaigns initiated through People's Idea Box



After the establishment of People's Idea Box in March 2016, the number of members and proposals as well as the level of participation greatly increased every year, making progress in expanding the base of policy engagement of the public. The level of recognition for People's Idea Box also increased remarkably from 26.4% in 2019 to 48.0% in 2020.

○ [Figure 6-2] Yearly trends on public participation in People's Idea Box





Chapter 2.

Quality Improvement in Complaint Counseling and Guidance

The primary mission of the Government Community Service Center is to listen to the complaints of those who visit the commission to resolve their issues and to provide counseling and guidance in a prompt and accurate manner, thereby contributing to improving the quality of people's lives and playing a role as a last resort to protect the rights and interests of less privileged people.

The ACRC has a counseling center in Sejong for petitioners who visit the head office and residents living in the Chungcheong region, and a comprehensive complaint counseling center at the Government Community Service Center for those who live in Seoul and the metropolitan areas in Gyeonggi. To minimize the inconveniences of the petitioners when they are not aware of the agency in charge or they are dealing with complex complaints involving multiple agencies, the Government Community Service Center provides its counseling services all at once in a single place. It is also providing online counseling services on its website.

At the counseling centers, expert counseling commissioners (attorneys, certified labor attorneys and tax accountants) and complaint counseling commissioners (retired public officials with much experience in public administration), as well as grievance complaint investigators, provide counseling services to inform the petitioners of proper measures for redress.

In 2020, the ACRC provided a total of 41,004 cases of counseling and guidance services to the petitioners, including at the counseling centers in Sejong and Seoul.

Located in Sejong City, the head office of the ACRC is not easily accessible for those living in Seoul and the metropolitan areas in Gyeonggi to visit in person. In an effort to minimize the user inconvenience, the ACRC is providing video counseling between the investigator at the commission and the petitioner who visits the Seoul center, which was provided for 300 cases in 2020.

<Table 6-3> Breakdown of counseling cases by channel

(Unit: cases)

Category	Total	Sejong	Seoul	Online
2020	41,004	1807	7250	31,947
Daily average counseling cases	135.3	7.3	29.2	128.8
Counseling by investigators	5,302	1535	3,767	31,947
Attorneys	2,027	169	1,858	
Certified labor attorneys	213	-	213	
Tax accountants	197	11	186	
Complaint counseling commissioners	1,320	92	1,228	
2019	9,024	3,092	5,932	1,995
Daily average counseling cases	36.4	12.5	23.9	31.7
2018	9,091	3,030	6,061	-
Daily average counseling cases	37.0	12.3	24.6	-
2017	9,658	2,927	6,731	-
Daily average counseling cases	39.7	12.0	27.7	-
2016	10,229	3,191	7,038	-
Daily average counseling cases	41.1	12.3	28.3	-

As for complex complaints, the ACRC implemented various types of joint counseling, tapping into a pool of experts consisting of public officials working at the agencies in charge, attorneys, tax accountants, and certified labor attorneys. After the launch of the online counseling service in October 2019, 33,944 cases were received, 1.9% of which (640 cases) were provided with joint counseling to prevent complaint ping-ponging while resolving the questions of the petitioners all at once.

The Government Community Service Center was granted the function of handling grievance complaints through a temporary adjustment of tasks on October 6, 2020, so that it can establish itself as a full-range complaint-handling entity to deal with complaints related to major social issues. Now, the Government Community Service Center is addressing such complaints in Seoul and the metropolitan areas, including those requesting for a second opportunity to take the National Examination for Medical Practitioners.

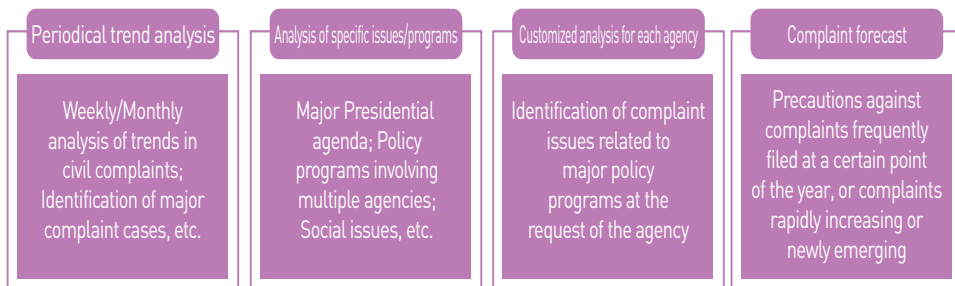


Chapter 3.

Policy Improvement through Analysis of Big Data on Civil Complaints

In 2020, 12.3 million cases of civil complaints were filed against central and local government agencies through the e-People system and the complaint channels in local governments, up 14.2% from the previous year. The number has been increasing every year since the ACRC started to collect complaint data by establishing the Complaint Analysis System in 2012. This upward trend suggests that it has become very common for the public to express their opinions about policy formulation and evaluation of administrative agencies, and that the importance of making use of data generated in the process is growing more than ever.

Using the Complaint Analysis System to collect and analyze big data on civil complaints across the government, the ACRC is taking various approaches to analyze periodical trends, complaints of public concern, or those related to major social issues and specific policy matters.



1. Periodical Trend Analysis

The ACRC is publishing *The Voice of the People* every week, a big data newsletter about weekly and monthly trends in civil complaints and inconveniences faced by people in their daily lives, which is provided for 1,270 public and research institutions and disclosed to the public.

In 2020, *The Voice of the People* was issued 39 times in a weekly, 11 times in a monthly and 1 time in an annual format. The weekly version of the newsletter addresses weekly trends in civil complaints and includes the cases of inconveniences to highlight the need for institutional improvement, so that identical or similar complaints would not occur in the future. The monthly version provides forecasts of complaints filed at a certain point of the year and features trends of the month in each agency, region and policy program.

The ACRC shared a total of 134 cases of inconveniences experienced by the public through *The Voice of the People*. 79.9% of such cases (107 cases) were used by relevant agencies for institutional improvement and publicity, which is a 14.2%p increase from 65.7% in 2018.

2. Analysis of Complaints Closely Related to People's Lives

The ACRC is supporting policy and institutional improvement both in a direct and indirect way by conducting in-depth analysis of complaints related to the government's major policy programs and social issues to identify problems and implications, which the commission shares with relevant agencies. In 2020, the ACRC analyzed 22 cases of such complaints, and stepped up its analysis efforts to focus on complaints that arise in the field of social policy (e.g. care policy, safety, the environment and income) to help resolve issues of public concern and contribute to building an inclusive society.

3. Complaint Forecast

The complaint forecast system is aimed at sharing information in advance to help relevant agencies better prepare for the complaints that are filed at a certain period of the year and take precautions against complaints that are rapidly increasing or newly emerging.

In 2020, the ACRC implemented a total of 15 complaint forecasts: 11 regular and 4 ad-hoc forecasts. The issues addressed in the category of regular forecasts include Zeropay in February; particulate matter pollution in March, which gets worse due to seasonal factors; elections in April; issues related to camping and pensions (a guest house-type accommodation) in August with increased outdoor activities; online (remote) learning provided by schools with the second wave of

COVID-19 at the beginning of the fall semester in September; interest rates used to calculate the ratio between key money and monthly rent in October, when many cases of house removals take place; and heavy snow in December.

For ad-hoc forecasts, the ACRC issued precautions against an increase in complaints related to COVID-19 in February, stimulus checks in May and preventive measures for the coronavirus pandemic immediately before the Chuseok holidays in September, to encourage relevant agencies to promptly respond to a surge in such complaints.

4. Establishment of the Next Generation Complaint Analysis System

The Complaint Analysis System collects the largest volume of data on civil complaints, encompassing major channels for complaint filing including e-People (an integrated system linking 1,021 agencies as of December 2020) and complaint channels in local governments (portal websites of municipal/provincial governments and the Saeol system). Each administrative and public institution monitors and analyzes on their own the complaints that arise under their jurisdiction. For its part, the ACRC provides support for complaint analysis of each agency by establishing and managing such system, and implementing training and consultation.

Officially established in February 2020 after the project's launch in 2018 and pilot operation, the Next Generation Complaint Analysis System is equipped with a wide range of analysis methods, including natural language processing (NLP) based on machine learning, classification, clustering, and network analysis. For this new analysis system, the ACRC adjusted the segmentation level to improve the accuracy rate, merging the 847 existing complaint classification categories into 251 and reorganizing the language database for neologisms, synonyms and stopwords. Connected to external sources of big data such as news (BIG KINDS), real-time search words on major portal websites and social media, the Next Generation Complaint Analysis System is designed to facilitate understanding about the latest trends, identification of major social issues at their early stage and implementation of proactive measures.

5. Website Overhaul of the Civil Complaint Big Data at a Glance

The website of the Civil Complaint Big Data at a Glance went through an overhaul to reflect the new features added to the 2020 Next Generation Complaint Analysis System, so that it can provide the public with data analysis results using visualizations. The website has a horizontal layout to enable users to view statistical graphs without having to scroll sideways, and is solidly based on the elements of responsive web design.

In addition, the overhauled website has 10 categories — instead of 4 in the past — that are available for public data disclosure using the Open API method, which directly involves users in developing applications and services. There has also been an increase in requests made by research institutes, the academia, media and National Assembly for access to the Open API through public data portals from 144 cases in 2019 to 278 cases in 2020, which is approximately a two-fold increase from 2019.





Part 07

Institutional Improvement to Address
Underlying Factors for Corruption
and Public Inconveniences



Chapter 1.

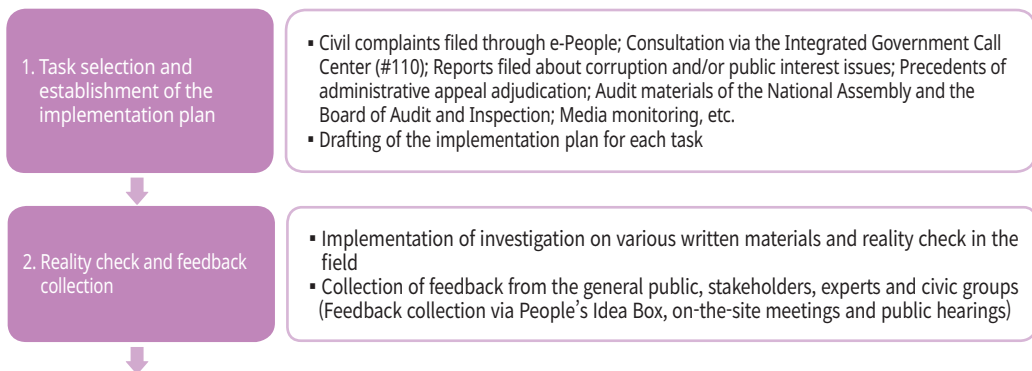
Overview and Major Cases of Institutional Improvement

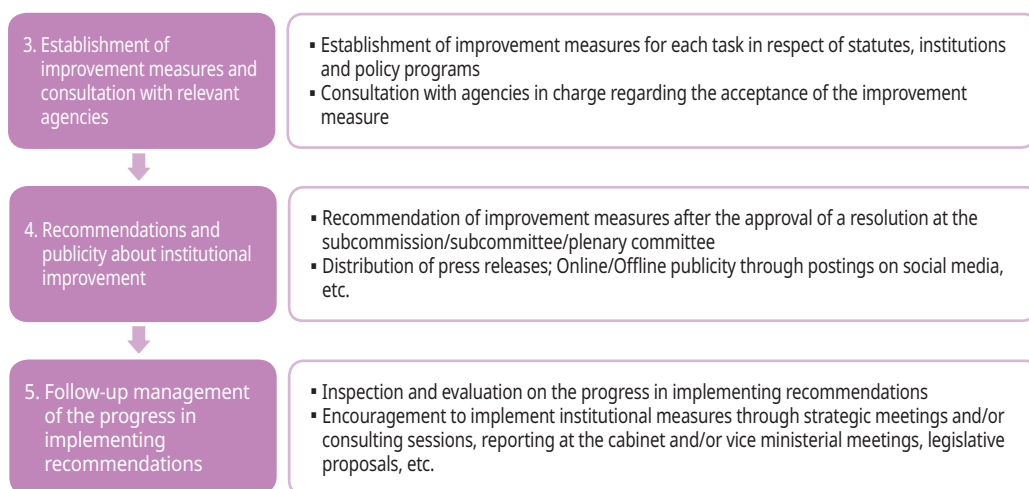
1. Overview

As a pivotal agency supervising a range of channels for public policy engagement (e.g. e-People, the Integrated Government Call Center (#110) and People's Idea Box), the ACRC has been playing a role in resolving grievances in a way that meets the needs of the Korean people, analyzing corruption-causing factors and people's opinions received through various channels, and identifying problems in institutions and programs in need of improvement. In addition to handling the complaints and cases filed, the commission is committed to preventing the recurrence of similar cases by addressing the underlying factors that cause public inconveniences and systemic corruption.

In accordance with Articles 12, 27 and 47 of the Act on the Prevention of Corruption and the Establishment and Management of the Anti-Corruption and Civil Rights Commission (hereinafter referred to as 'the Act'), the ACRC is pursuing measures for institutional improvement to prevent corruption and resolve grievances.

<Table 7-1> Workflow of institutional improvement





2. Institutional Improvement in Corruption-Prone Areas to Eradicate Chronic and Systemic Corruption

In 2020, the ACRC focused its corruption prevention efforts on everyday injustices and blind spots for systemic corruption, and made recommendations for 12 cases to improve inadequacies in relevant laws and institutions. It was to redress everyday injustices the public experiences in their daily lives in education, employment and housing, and to eliminate chronic factors that have been causing corruption for many years but still remain unresolved.

The ACRC issued recommendations to redress situations in everyday life where the benefits are not equally distributed, and to handle new types of injustices arising from changes in society such as consumer protection regarding the use of content subscription services, redress of unfair practices of dismissing temporary teachers before contract expiration, and enhancement of transparency in renting public culture facilities. These efforts made by the commission have garnered a lot of support and positive feedback from the public.

In addition, the ACRC also made recommendations to improve practices related to performance pay and early voluntary retirement benefits at public service-related institutions, and to make sure that universities guarantee student participation in operations and enhance transparency in tuition

use. These are some of the commission's efforts to reinforce internal and external control over areas prone to systemic corruption (e.g. budget waste and inappropriate alliances between the public and private sectors), thereby addressing the underlying causes of the problem.

As for the issues that continue to recur despite issuance of recommendations in the past, such as transparency issues in research commissioning by local government agencies or their project of subsidizing apartment housing management, the ACRC came up with effective measures for institutional improvement based on additional reality checks and feedback collection, and issued recommendations once again.

<Table 7-2> Recommendations for institutional improvement to prevent corruption

Category	Issue	Date of recommendation issuance
Everyday injustices	Redress of unfair practices of dismissing temporary teachers before contract expiration	Apr. 20
	Measures for consumer protection regarding the use of content subscription services	May 11
	Enhancement of fairness in granting scholarships for the children of village heads	Jun. 8
	Enhancement of fairness in hiring processes and qualification certification	Jun. 8
	Enhancement of transparency in renting public culture facilities	Sep. 7
Blind spots for corruption	Measures to enhance effectiveness in capturing and managing harmful wild animals	May 11
	Enhancement of transparency in research commissioning by local government agencies	Aug. 3
	Improvement of practices related to performance pay and early voluntary retirement benefits at public service-related institutions	Oct. 12
	Enhancement of transparency in projects subsidized by local government agencies for apartment housing management	Oct. 26
	Enhancement of fairness in assessing basic competence of universities	Nov. 23
	Measures to enhance fairness in issuing license for light construction equipment	Dec. 7
	Assurance of student participation in operations and enhance transparency in tuition use	Dec. 7

3. Institutional Improvement for a Better Quality of Life for People

There were 9.57 million complaints filed through the e-People system in 2020, with nearly 700 consultation cases for institutional improvement via the Integrated Government Call Center (#110) and as many as 8,100 proposals for policy improvement discussed on People's Idea Box (국민생각함), a communication platform with a focus on a mobile format.

The ACRC worked to establish reasonable improvement measures to address underlying factors for grievance complaints and inconveniences the public experiences. To that end, the commission analyzed repeated complaints and policy proposals to identify irrational statutes or programs, and conducted in-depth investigations on the current situation.

With an aim to spread the benefits of institutional improvement in a more convenient, safer and more equal manner, the ACRC established and recommended 25 improvement measures in 2020 to resolve public grievances. With the implementation of the Basic Youth Act starting from August 5, the commission also worked to address issues affecting young people in particular to resolve their grievances related to jobs and housing.

<Table 7-3> Recommendations for institutional improvement to resolve grievances

Category	Issue	Date of recommendation issuance
More conveniently	Measures to enhance convenience of eco-friendly vehicle users	Feb. 10
	Improvement of procedures for verifying the purpose of financial transactions when opening a bank account	May 11
	Measures to enhance effectiveness of disposition to limit passport issuance	May 25
	Improvement of de-registration procedures for vehicles recognized as destroyed	Jun. 22
	Measures to prevent consumer disadvantages when using TV home shopping	Jul. 20
	Redress of factors causing inconveniences and burdens for small-and medium-sized enterprises	Oct. 26
	Redress of administrative dispositions caused by loopholes in statutes regarding employment and health	Dec. 21
More safely	Improvement of verification procedures for mandatory insurance for motorcycles	Feb. 24
	Improvement of collection/disposal/management of household pharmaceutical waste	Feb. 23
	Reinforcement of limits on the scope of access for domestic violence perpetrators regarding the victims' records of resident registration	Oct. 26
	Measures to prevent secondhand smoke exposure in children and adolescents	Dec. 7
More equally	Measures to improve procedures for daycare closings to better protect infants and young children	May 11
	Redress of unfair factors in calculating damages	May 11
	Elimination of loopholes in providing tax cuts for households with multiple children acquiring vehicles and houses	May 25
	Measures to alleviate burdens and redress inconveniences for water and gas users	May 25
	Measures to reduce burdens of cancellation fees for using public facilities	Jun. 8
	Improvement of the national system for dementia management	Jun. 22
	Reinforcement of management and protection of facilities for the treatment of people with mental disorders	Jul. 6
	Measures to systematically manage purchased rental houses	Aug. 3
	Improvement of facilities with the purpose of providing convenience for child care	Sep. 21

Category	Issue	Date of recommendation issuance
Issues affecting young people	Enhancement of convenience in notifying military service dispositions	Jun. 8
	Enhancement of fairness in selecting students eligible for college dormitory housing operated by local governments	Jun. 8
	Redress of inconvenience factors for uniform-purchasing programs led by schools	Jul. 20
	Measures to protect the rights and interests of those performing their military service through industrial support	Sep. 7
	Handling of injustices in the application procedures for national qualification examinations	Sep. 21

4. Focused Implementation of Improvement Measures for Issues Immediately Affecting People's Lives

Every policy must be implemented from the perspective of the people, who are the end users. To make sure that the public can take the initiative throughout the entire process from issue identification to follow-up management, the ACRC focused its capacity on implementing improvement measures in 2020 in a way that exactly suits the needs of the public by redesigning the legal and institutional improvement process, which used to be led by the government as the policy supplier.

To identify issues in need of improvement, the ACRC held a contest through People's Idea Box (국민생각함) to encourage direct engagement of the public, and established improvement measures reflecting proposals from the public, discussions that took place on the platform, and consultation cases received via the Integrated Government Call Center (#110). The ACRC issued 34 recommendations for improvement measures regarding issues immediately affecting people's lives.

<Table 7-4> Major categories for recommendations related to issues immediately affecting people's lives

Category	Issue
① Resolution of grievances of those in their 20s and 30s regarding employment and child care	· Excused absence in college in a case where the student herself or the spouse of a student gives birth · Increase in the type of certified English tests recognized as valid for a qualification in licensing examinations for insurance specialists · Addition of family events including the death of parents to the exceptional cases for attendance acknowledgement at day care centers
② Protection of socioeconomically underprivileged groups and safety improvement in daily life	· Clarification of items purchasable with meal cards for lower-income children · Reinforced guidance on protection measures for persons who reported crimes · Inclusion of new and/or covert businesses (e.g. room cafes) into the list of businesses prohibited from employing and/or accepting adolescents
③ Alleviation of financial burdens faced in daily life	· Improvement of disposition procedures (e.g. business suspension) to respond to COVID-19 · Provision of COVID 19-related support for all adolescents of certain ages regardless of their school status · Improvement of attendance acknowledgement criteria regarding educational expense support for children
④ Reinforcement of the right to know information of importance with a focus on the people	· Provision of expanded information on disaster response in emergency disaster messages · Establishment of a legal basis to specify the move-in records of foreigners in the resident registration register for public inspection · Mandatory notification to the eligible persons about the availability of medical expense support for premature babies and children with congenital disorders
⑤ Improvement of user convenience in administrative services	· Diversification of channels (e.g. online platforms) for receiving applications for rural community support projects · Improvement of criteria for offline issuance of the certificate of single-parent family · Expansion of the user base allowed to access complaint services on NEIS Home-Edu

5. Reinforcement of Follow-up Management to Materialize the Effects of Institutional Improvement Measures

Since its launch in February 2008, the ACRC issued recommendations for institutional improvement for a total of 916 cases on an issue-category basis as of 2020 to help prevent corruption and resolve grievances. It is imperative that the agencies in charge actually implement those

recommendations for the ever increasing issues in need of improvement, if the public is to feel the effects of the improvement measures and have a better quality of life. It is with this purpose that the ACRC has been continuing to conduct follow-up management.

In 2020, the ACRC inspected the progress in implementing the recommendations for 451 cases — the recommendations made in 2013 and onwards, which require intensive monitoring, and those made between 2008 and 2012, where a long period of time has passed ever since. For the issues in need of urgent improvement that are still causing problems to date, the commission issued recommendations once again after additional reality checks. In August, it also made legislative proposals to the National Assembly regarding 7 cases of amendments to accelerate the implementation of the commission's recommendations for issues immediately affecting people's lives where the improvement measures failed to be taken due to insufficient commitment of the agency in charge or expiration of the recommended period.

The ACRC intensively inspected the implementation of recommendations for the issues of social significance that remained unresolved, and disclosed the inspection results to the media and public. In December, the commission called for public attention and efforts of relevant agencies, when it revealed the practice of local governments using the official budget to provide excessive cash-equivalent gifts to celebrate the public officials' long service and/or retirement.

In addition, the ACRC conducted meetings and consultation on implementation strategies, targeting agencies with low implementation rates and those having difficulties complying with the recommendations after newly designated as public service-related institutions. The commission provided customized support for a total of 27 agencies through consultation on detailed measures for implementation.



Chapter 2.

Improvement Cases in Corruption-Prone Areas

1. Enhancement of Transparency in Renting Public Culture Facilities

There are many publicly operated culture facilities across the country available for public use for cultural well-being of the people: 558 theaters, 255 art centers, 416 museums and 72 art galleries. Such facilities including theaters, exhibition halls, auditoriums and outdoor stages are rented to the public for a certain fee when not in use.

An investigation conducted by the ACRC found that there are many problems with the practice of renting publicly operated culture facilities: (a) some institutions are not providing adequate notification to the public of the availability the facilities for rental; (b) the screening and selection procedures to grant an approval for the rental are not transparent; (c) certain groups are given a priority to use the facilities, and sometimes unfair limits for use are imposed; (d) the deposits were not returned at all even when the reservation was cancelled before the designated time; and (e) there were excessive limitations on changing the purpose of use for the facilities.

The ACRC had meetings many times with professionals in the cultural and artistic community, and relevant personnel at private entities, production agencies and cultural facilities to discuss this issue. The commission also collected public opinion through its online platform People's Idea Box to come up with the improvement measures as followings:

First, the ACRC recommended that mandatory measures be in place to guarantee fairness, so that (a) the procedures for a public tender notice for technical evaluation as stipulated in the laws regarding contracts to which the state is a party can be applied to those for rental notification; (b) applications shall be made through a non-face-to-face reservation system; (c) more than 50% of the Rental Deliberation Committee shall consist of independent members; (d) the committee

members shall be subject to the rules of disqualification, challenge and voluntary refrainment; and (e) the deliberation result shall be disclosed on the official website. Second, the ACRC called for the repeal of the rules which give certain groups a priority to use public culture facilities, and the ones that limit the application qualification of certain persons or completely deny them the rental permit without any legal basis. Third, the improvement measures also addressed issues related to the fees (a) to minimize the difference in fees among different fee systems applied to renting the identical facilities; (b) to prevent the facility operator from collecting a certain portion of the sales of the renting party in additional fees; and (c) to address errors in collecting VAT from tax-exempt facilities. Fourth, as for the refund policy, the improvement measures included (a) that the entire amount of the deposits shall be returned when the reservation is cancelled within the designated period; (b) that the upper limit of the deducted amount that is not subject to refund due to breach of promise shall be less than 10% of the entire value, and that of the deposits shall be between 10 and 20%; and (c) that users of similar facilities shall also be informed of the fee refund policy to make sure public facilities do not generate illegitimate profits. Fifth, the ACRC suggested that essential information for the users (e.g. renting procedures, fee payment methods and refund policy) be disclosed at all times in the facilities and on the official websites to enhance user convenience and work efficiency of the facilities operators.

2. Enhancement of Transparency in Research Commissioning by Local Government Agencies

When implementing a new policy program or a large-scale project, local governments commission research, i.e. academic research commissioning or policy research commissioning (hereinafter referred to as 'research commissioning'). When local governments sign contracts with independent agencies, the laws regarding contracts to which the local government is a party are applied, and the commissioned research is used as the basis for policy implementation. With the local self-government system taking root and each local government agency setting out to develop unique policy programs to meet the needs of their people, research commissioning is also growing: as many as 5,971 cases of research commissioned by local governments were registered on the PRISM (Policy Research Information Service & Management) system for five years from 2015 to 2019.

However, supervision over research commissioning is inadequate in many local governments, with relevant rules not in place in some cases. An investigation conducted by the ACRC found that 31 local governments did not establish a separate ordinance to govern research commissioning and that 30 local governments did not have a provision that the research results shall be disclosed on PRISM. The followings are the problems that arose from the lack of proper rules on local governments commissioning research:

First, there are concerns about fairness in selecting research topics. Research commissioning is conducted through a contract signed with an independent agency followed by budget execution, which requires a process to identify necessary research tasks and implement the commissioning procedures in a fair manner through competitive tenders. To that end, deliberation for task identification should be conducted effectively, but there were some cases where the objectivity of the deliberation was questionable due to the absence of rules on procedures to verify similarity and redundancy of research before deliberation, which was also primarily conducted by internal commissioners at local governments. There were as many as 159 local entities that did not have the provision that deliberation shall be attended by a majority of independent commissioners.

Second, there were no specific rules on supervision over research commissioning, raising concerns about mismanagement. A significant number of local governments did not have procedures to verify whether the result of the commissioned research is valid and was produced without any misconduct. The ACRC's investigation found a plagiarism case where the result of the research commissioned by City A in 2011 was completely copied for one commissioned by City B in 2013.

Third, the results of the commissioned research were often not disclosed. Article 54 of the Regulations on the Promotion of Administrative Efficiency and Collaboration states that local governments shall register the results of commissioned research on PRISM as stipulated by the ordinance. However, there were a number of cases where the results of commissioned research had not been disclosed at all for many years. In the case of City C, over 70% of its districts did not register any of the commissioned research results after 2016. City D publicized its records of research commissioning in 2018, but did not register any of the research it commissioned after 2015. Not disclosing the results of commissioned research is inappropriate, as it undermines transparency in administration and monitoring on the part of the public.

To address these problems, the ACRC made recommendations for institutional improvement regarding the rules about ① task selection, ② supervision over research commissioning, and ③ disclosure of the result of the commissioned research.

Specifically, the ACRC recommended that when selecting a research task, a review be conducted with the attendance of a majority of independent commissioners to decide on the appropriateness of research commissioning by commissioners without any interest in the task. The recommended measures also included that the commissioned research shall be inspected via PRISM to detect plagiarism, and that the rules on disclosing the results of commissioned research be put in place for their immediate disclosure.

3. Measures for Consumer Protection Regarding the Use of Content Subscription Services

With advances in information technology, the way consumers make purchases is changing to pay a small amount of fees to purchase the right to use goods and services for a certain period, instead of acquiring full ownership. The subscription economy* is growing rapidly, a trend that is likely to accelerate even further with changes in consumption patterns of content during the global pandemic of COVID-19 accompanied by social distancing and an increase in non-face-to-face services.

* The global subscription market was estimated to be worth approximately 600 trillion won in 2020 (2015, Credit Suisse).

However, there were cases of consumer inconvenience on some online content service platforms due to complex cancellation procedures, failure to notify the terms and conditions of automatic payment, and hindrance to subscription withdrawal and/or cancellation. While the procedures for content purchase are simple, it is difficult to find those for cancellation within the applications, forcing consumers to search for the necessary information on their own, or paying unnecessary fees through automatic payment renewal if they fail to cancel their subscription in time. In other cases, consumer options were limited for refund methods, with the remaining amount after cancellation only paid in cash or points that can be used for the unsubscribed content.

<Table 7-5> Comparison between the concepts of the traditional, sharing and subscription economy

Category	Traditional economy	Sharing economy	Subscription economy
Ownership	Ownership to the purchaser	Ownership and the possessory right to the purchaser for a certain period of time	Only membership to the purchaser for a certain period of time
Cost payment	Paid by the purchaser in lump sum to the provider	Paid depending on the period of possession and ownership	Paid for the subscription period
Consumer choice	Impossible to change after purchase	Options available, but difficult to change as the consumer wishes	Possible to change as the consumer wishes any time within the scope of the membership

The ACRC reviewed and analyzed reports on the e-People System regarding content subscription services, and recommended improvement measures for consumer protection to the Ministry of Culture, Sports and Tourism. First of all, the ACRC recommended that the content subscription and cancellation procedures be visible on the same screen to make it easier for users to access the procedures for cancellation, and that consumers be provided with options for refund methods when retracting their subscription at the later stage of purchase. The recommendation also included that to prevent unfair charging through automatic payment, the user shall be notified in advance of the due payment amount via app notification, text message or e-mail before the fee change due to expiration of promotions, etc. In addition, the ACRC suggested that a full-page advertisement clarify the contract retention period and the number of months for mandatory payment, and that important matters (e.g. unsubscription) be clearly marked using signs, colors, and bold and large fonts.

In accordance with the ACRC's recommendations, the Ministry of Culture, Sports and Tourism is planning to revise the Guidelines for the Protection of Content Users through consultation with relevant agencies, operators and entities based on the recent mediation cases regarding content disputes and law amendments on this issue. These measures for institutional improvement are expected to minimize the inconveniences in content subscription services, an industry that plays a key role in the digital economy.



Chapter 3.

Improvement of Cases where Grievances and Complaints Frequently Occur

1. Reinforcement of Limits on the Scope of Access for Domestic Violence Perpetrators regarding the Victim's Records of Resident Registration

In principle, a person himself/herself and the household members are eligible to request for access to the resident registration record card and/or issuance of a certified copy or abstract thereof. In some exceptional cases, it is also allowed for some family members, such as the householder's spouse, the household's lineal blood relative, the spouse of the householder's lineal blood relative and a lineal blood relative of the householder's spouse, to make such request for the purpose of convenience. It is also possible when there is a need for litigation and/or public service, or the person has a claim, obligation, or other legitimate interest. However, a domestic violence victim can designate the offender and request for a restriction of his/her access to the resident registration record of the victim and the household members thereof as well as issuance of a certified copy of the record.

Under the current law, however, such restriction can be applied only for the household members whose resident registration is identical to that of the victim. This loophole makes it possible for the offender to find out the address of the parents or children living separately from the victim, who are then exposed to secondary violence. In many cases, domestic violence survivors are living apart from their children as it is not easy to bring them to the shelter, or leave the children to their relatives or acquaintances to make a living. Some offenders visit the registered address of the children or parents of the victim and threaten to find him/her out, which has been a constant source of complaints.

In other cases, the offenders request for inspection of the victim's resident registration record card or issuance of a certified copy of abstract thereof, claiming that they have a claim, obligation, or

other legitimate interest when their actual purpose of such request is to find out the victim's address. In addition, there are cases where the victims cannot file a move-in report of their children because of the offender's opposition, which also illustrates the need for improvement of the current system.

To prevent the recurrence of domestic violence and secondary harm, the ACRC issued a recommendation to the Ministry of the Interior and Safety that relevant laws be amended to impose a restriction on a domestic violence offender requesting for access to the resident registration record card the victim's parents or children even when their place of resident registration is different from that of the victim, instead of imposing such restriction on the offender only when the household members share the identical place of resident registration with the victim, which is currently the case.

The ACRC also recommended that a restriction be imposed on a domestic violence offender inspecting the victim's resident registration record card even when they have a claim, obligation, or other legitimate interest with the victim, to prevent the offender from having access to information about the victim's place of resident registration for such reason. The ACRC's recommendation also included that when someone registered as a person subject to the aforementioned restriction due to domestic violence files a move-in report for his/her minor child, the consent from the other parent (i.e. the victim) shall be required; and that when filing a move-in report for a minor child registered as the household member of a domestic violence offender, the consent from the former householder (i.e. the offender) may be omitted and replaced with a factual investigation of the public official in charge of resident registration tasks.

To separate child abuse survivors from the offenders, the ACRC suggested that the Certificate of Acceptance of the Shelter for Child Abuse Survivors and the Certificate of Consultation with Specialized Institutions for Child Protection be also acknowledged as valid documents for submission when requesting for a restriction on the domestic violence offender inspecting the victim's resident registration record card.

These measures are expected to help step up protection for domestic violence survivors and their families.

2. Redress of Inconvenience Factors for Uniform-Purchasing Programs Led by Schools

Starting from 2015, schools uniforms are being purchased under the programs led by each school. Municipal/Provincial Offices of Education across the country are having schools purchase student uniforms through tenders based on the Guidelines for Implementing Uniform-Purchasing Programs Led by Schools (hereinafter referred to as 'the Purchase Guidelines').

However, civil complaints are frequently taking place regarding the purchase and use of school uniforms, including low quality, tight deadlines for purchase and limited options for girls to choose trousers as their uniform. First of all, the Purchase Guidelines adopted by a number of Offices of Education only stipulate the maximum price of the entire set of uniforms and do not have any separate rules on the price ratio of each item such as jackets and trousers. This has created a situation where the aggregate contract price is low but the prices for shirts, blouses, skirts and trousers are high — items that are likely to be purchased additionally or repeatedly. In some cases, there are no evaluation standards for price appropriateness in the matrix for supplier selection, making it difficult to control the prices even when those for items with high additional purchase rates are set excessively high.

The ACRC reviewed reports on the e-People System regarding uniform-purchasing programs led by schools and recommended 17 Municipal/Provincial Offices of Education across the country that they address the loopholes in the Purchase Guidelines in a way that reflects major complaints and requests analyzed by the commission.

The recommendation included that the price ratio of each item shall be submitted with the tender to make sure that the prices for items with high additional purchase rates are not set excessively high, and that a separate category for this matter shall be established in the evaluation standards for supplier selection.

The ACRC also recommended that the School Uniform Selection Committee play an effective role in addressing complaint-causing factors in the process; that the current specifications such as textile materials and the fiber blending ratio be reflected in the tender notice; and that a sample

investigation be conducted for uniforms supplied to schools to secure trust in the quality of the products and supply processes.

Another issue addressed in the recommendation was tight deadlines for purchase, regarding which the ACRC suggested that the purchase period include a weekend to enable parents and/or guardians to take part in deciding on the size of the uniforms for their children. The commission also added in its recommendation that the uniform application form shall specify trousers as the available item for girls, so that more options can be provided.

When selecting school uniforms, a number of factors have to be considered from the perspective of students, such as quality, design and gender awareness as well as price appropriateness. The ACRC's recommendations for improvement are expected to contribute to significantly reducing the inconveniences experienced by students and parents.





Anti-Corruption &
Civil Rights Commission

ACRC

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